

Central Depository Services (India) Ltd. (CDSL)

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Call: May 2023

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Central Depository Services (India) Limited
CDSL/CS/NSE/ AJ/2023 /123 May 09, 2023

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on May 03, 2023

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Madam/ Sir,

This is with reference to our intimation dated April 27, 2023 , for scheduling of Conference Call on May 03, 2023 , please find attached the transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company: www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Group Company Secretary & Head Legal
ACS No.: A20586

Encl: As above
Page 1 of 18

“Central Depository Services (India) Limited
Q4 FY 2023 Earnings Conference Call ”
May 03, 2023

Analyst: Mr. Praveen Agarwal – Axis Capital Limited

Management: Mr. Nehal Vora, Managing Director & Chief Executive Officer,
Central Depository Services (India) Limited
Shri Girish Amesara, Chief Financial Officer. Central Depository
Services (India) Limited
Shri Sunil Alvares, Managing Director & Chief Executive
Officer, CDSL Ventures Limited
Smt. Nayana Ovalekar, Chief Regulatory Officer
Shri Ramkumar K, Chief of Business Development and New

Projects

Shri Rajesh Saraf , Chief Data and Operations Officer

Shri Vinay Madan, Chief Risk Officer

Central Depository Services (India) Limited

May 03, 2023

Page 2 of 18

Moderator : Ladies and gentlemen, good day and welcome to the Central Depository Services (India) Limited Q4 FY2023 Earnings Conference Call hosted by Axis Capital Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL 's outlook for the future or which could be construed as forward looking statement must be reviewed in conjunction with the risk that the company faces. I now hand the conference over to Mr. Praveen Agarwal from Axis Capital Limited . Thank you and over to you!

Praveen Agarwal : Thank you . Good afternoon everyone and welcome to this earnings call of CDSL. We have the entire management team of CDSL with us led by Mr. Nehal Vora, MD and CEO . We will start with a brief on the results from Mr. Nehal and then we will move on to Q&A. Over to you Sir for the opening remarks please. Thank you.

Nehal Vora: Thank you Praveen. Good afternoon and welcome everyone. I hope each of you and your loved ones are safe and healthy . Thank you for joining us today to discuss CDSL financial results for the Q4 and full year financial year ended March 31, 2023. As in the previous quarters we have posted a detailed financial presentation on our website for your reference. I am joined by the CDSL Group 's leadership team.

Let me start with the industry highlights and then take you through some of the key aspects of our performance . To begin let me highlight the industry trends and then discuss some of our key performance aspects. During FY2023 the capital market industry experienced a mixed performance while certain sections continue to show a growth momentum. Retail market participation remains muted as compared to FY2022. The business environment in the Q4 was similar to the full year trends described above. In addition to these industry developments several new regulations were introduced during the year. We believe that these regulations will benefit the industry in a medium term as they aim to protect the interest of the retail investors as well as the investors at large and reduce the systemic risk. Overall, we view these regulatory measures as positive for the industry' s long -term growth. This quarter India further strengthened its retail participation in the Indian capital markets. The total number of demat account investors in India touched a new milestone of more than 11.3 Crores in Q4 of FY2023 , of which 8.3 Crores demat account investors got registered with CDSL . The registered investors as on March 31, 2022 were 6.3 Crores which shows an increase of 32% over the last year.

Central Depository Services (India) Limited

May 03, 2023

Page 3 of 18

We are harnessing the benefits of the digital innovation and the presence carved out across years especially in the Tier-2 and the Tier-3 cities. The availability of digital services such as eDIS, margin pledge and re -pledge mechanism, eAGM and e-Voting and online account opening has had a significant impact on the growth of Indian retail investors. However , this is just the beginning , and our primary goal is to continuously enhance the financial ecosystem by making it more efficient and transparent. In terms of the performance our strategy focuses on accelerating the core annuity income , simplifying the process of emerging investors and fostering new developments in the Indian securities market. CDSL has committed to growing its business s

ustainably by diversifying its revenue , investing in advanced technology and cultivating its people. As we celebrate our 25th year of operations our focus remains on improving the financial ecosystem by enhancing its efficiency and transparency. We would like to prioritize and focus our Aatmanirbhar Niveshak approach by striving for innovation resulting in consistent and a healthy financial performance . We are dedicated in curating a secured financial ecosystem and providing differentiated experiences that create value to our investors and stakeholders. Before I hand it over to Shri. Girish Amesara, our Chief Financial Officer I would like to say that the growth of the Indian securities market is an extremely encouraging sign of India's potential. I also want to place our appreciation and gratitude to

all our stakeholders, our regulators, depository participants, investors, issuers and other market participants and employees who have constant faith in us. With this I would like to hand it over to our CFO, Shri Girish Amesara.

Girish Amesara: Thank you Neha. Good afternoon to everyone. Speaking on yearly performance total standalone income has increased by 13% for the year ended March 31, 2023, at Rs. 544 Crores as compared to Rs.483 Crores from the previous year. The net profit on a standalone basis is up by 3% to Rs.272 Crores as compared to Rs.264 Crores during the last previous year. On a consolidated basis the total income has increased by Rs.15 Crores to Rs.621 Crores for the year ended March 31, 2023, as compared to Rs.606 Crores from the previous year. The net profit on a consolidated basis is down by 11% to Rs. 276 Crores as compared to Rs.312 Crores.

Speaking on quarterly performance the standalone total income for the March 2023 quarter has increased by 3% to Rs.112 Crores as against same quarter previous year of Rs.109 Crores. The standalone net profit on a quarterly basis for the March quarter is at Rs.52 Crores as against Rs.58 Crores for the previous year same quarter. On a consolidated basis the total income for the March quarter has decreased by 3% to Rs.144 Crores as against Rs.148 Crores for the same quarter previous year. The consolidated net profit on a consolidated basis is at Rs.63 Crores for the March quarter 2023 as against Rs.78 Crores for the same quarter previous year. Now I shall request Shri Sunil Alvares to give an update about the operations of the wholly owned subsidiary CDSL Ventures Limited. Thank you. Over to you Sunil.

Central Depository Services (India) Limited
May 03, 2023

Page 4 of 18

Sunil Alvares: I think the numbers are already shared so that we can start off with the Q&A session directly.

Moderator: Thank you. We will now begin the question and answer session. Ladies and gentlemen we will wait for a moment while we pause for questions. Our first question comes from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited. Please go ahead.

Prakash Kapadia: A couple of questions from my end. If I look at CDSL Ventures, we have seen a revenue degrowth for almost all quarters during the year so can you explain what is happening at a time when SIP flows are strong, new demat accounts are strong so is there pricing pressure, is there some change in the business model, is it competition, what is leading to this fall in revenues?

Nehal Vora: So you want to finish both your questions?

Prakash Kapadia: Of the employee cost we have seen a 60% increase in 2023 so if you can share the fixed or variable nature of this to understand how would this move forward on a going forward basis and lastly what is the capex and technology spends done in 2023? These were my three questions.

Nehal Vora: First one I will ask Sunil to answer and the remaining two I will ask CFO Girish to answer.

Sunil Alvares: Yes if you see the KYC business there are

two major sources of income, one on the creation

side and the second is on the fetch side. Now the KYC business a lot depends on the state of the primary as well as the secondary market. If you see last year the number of IPOs reduced substantially as compared to the previous year so it had an impact on the number of new accounts being opened that is demat accounts and broking accounts so if you see overall stats I think the demat accounts were impacted by about 35% so to that extent I would disagree with you that though the money is coming in SIPs, but these are accounts which are already opened and for which KYC is already done. Thus, the KYC has got impacted as the number of broking and demat accounts has gone down.

Prakash Kapadia: You are saying the pace has slowed down Sunil what you are saying is they were growing at X percent?

Sunil Alvares: What I am saying is if the demat accounts have gone down by about 30% to 35% then the KYC also has got impacted by about 25% to 35% so it goes hand-in-hand. So, you can not have more KYCs and less demat accounts opening so it is directly a function of the demat accounts or the broking accounts that have opened. This has impacted the number of KYCs and the overall revenue.

Central Depository Services (India) Limited
May 03, 2023

Page 5 of 18

Prakash Kapadia: This fetch thing because incrementally you are saying the flows are coming in the same folios in mutual fund and folio addition is not so strong so the fetch business also gets affected?

Sunil Alvares: Absolutely, because we charge only a one time on the fetch side. Once the record is fetched, it is free for the lifetime of that KYC record. Even if you fetch a particular KYC record, say 12 times a year or 24 times a year, I have already charged you once and there are no further charges thereafter.

Prakash Kapadia: So there is no real pricing change or competitive intensity which is leading to this fall ?

Sunil Alvares: There are pricing pressures on the creation side because so long as there is competition they will try to pull your customers by offering lower charges. That is a part of market competition so that will go on anyway .

Girish Amesara : So in terms of employee cost if you look at historically CDSL 's employee cost was in single digit if you compare previous year 's expenditure to total revenue and now it is at 8%, last year this year it was at 13%. If you recall previous two years were high growth years and our operations had almost increased compared to what it was prior to two years and in terms of that we had planned to increase manpower base so current year on a net basis there is increase in the employee strength of roughly 35 people and typically if you look at the SEBI regulations also , the bonus is one third of fixed cost so basically that is how the categorization of the combination works and addition of 33 employees during this quarter.

Nehal Vora: To add to what Girish said the regulations do not allow any ESOPs to be granted so obviously to retain talent you need to kind of appropriately compensate them to get the best of people and to retain the team. As compared to our comparison of employee cost as a percentage of revenue to other market infrastructure institutions , we are one of the lowest so I think that continues even after this , but we need to continue to retain talent to ensure that we get the best in class as a part of our structure .

Prakash Kapadia: Girish you mentioned employee cost I think if I look at consolidated , they are almost 15 % of sales so is it some operating leverage because subsidiaries have not grown so that is why also on a consolidated basis it looks higher than the standalone businesses is that right understanding?

Girish Amesara: I gave you the details on consolidated basis. We always speak on consolidated basis.

Prakash Kapadia: Rs.555 Crores revenue , employee cost was Rs.80 Crores so that is 15% and not 12% or 13% which I think you mentioned ?

Central Depository Services (India) Limited
May 03, 2023

Page 6 of 18

Girish Amesara: Turnover on consolidated basis is Rs.620 Crores.

Prakash Kapadia: I think you are adding other income I am just checking income from operations so may be that.

Girish Amesara: When I am comparing I will always compare with total revenue . I will not compare it with operating revenue .

Prakash Kapadia: Understood and on the last question on the capex side if you could give some idea what has been the capex trend in 2023?

Girish Amesara: The capex expenditure that we have incurred is in line with the implementation strategy that we had implemented and it is also driven by the regulator .

Nehal Vora: I will just take that question. I think it is driven more with the new age regulatory reforms which we are bringing into place whether it is basically the authorization happens at the depository and directly with a customer and also bringing in sync with new hardware , servers and the new tech infrastructure . As our volumes are growing it has to kind of be in sync with that the new age technology and also as our people are growing we need more space so this is the two broad areas in which we are going to be spending money .

Prakash Kapadia: If you could quantify that amount what we have spent in 2023?

Girish Amesara : I will come back on that during the call.

Prakash Kapadia: Sure. I will join back if I have more questions. Thank you.

Moderator: Thank you . Our next question comes from the line of Swarnabh Mukherjee from B&K Securities . Please go ahead.

Swarnabh Mukherjee: Thank you for the opportunity so three to four questions from my side? Firstly on the employee expense the discussion just happened so wanted to understand that this bonus cost that you have mentioned which is roundabout a third of the fixed cost so is this prorated or provisioned over the years , over the four quarters or will it come disproportionately in the Q1 because I think last year Q1 also there seems to be a bump in the employee expense so that is the first question ? Secondly I wanted to understand so in the KYC business what proportion of it will be coming from the demat account opening and what proportion will be coming from say KYC for other financial products ? Thirdly if I were to understand if I have to mix some color on how would be the number of folios that you have say at the end of FY2023 on an average of over FY2023 vis-à-vis what it was over 2022 in the demat accounts just to have Central Depository Services (India) Limited
May 03, 2023

Page 7 of 18

an understanding of how the annual issuance charges could move not looking for a forward looking statement but since the year is over you must already be having the details about

number of folios that you have so some ballpark number about the growth will also be good that is the third question and tech expenses spend are we kind of reaching the peak or should we see kind of continue to increase here also? So these are the four questions.

Nehal Vora: I will answer the first and fourth question first. On the employee cost last year, it was done in one quarter for additional bonus which the Board had recommended. This year it is each quarter wise it has been pro-rated so that is how it is done. On the tech cost it is a constant because we are in the business of providing infrastructure and technology is the key driving force and the key differentiator and technology is something which needs to continuously evolve as we move forward so based on that, this will be a process which we will continuously kind of assess and see as and when it is required we will be putting it in place. There is an

entire structure in place before we kind of go into play but there will be a continuous focus on ensuring that our technology is really up to speed with the latest so that the ease of doing business as well as basically the efficiencies of business continue to remain with CDSL. The second question on the KYC I do not think we give that details between the mutual fund folios as well as that because it is kind of a consolidated number and a kind of difficult because there could be a single investor doing both in terms of direct equity and mutual funds. As regards the folio I will ask the CFO what has been the increase over the last year as compared to this year. It is part of the presentation but I think he will just pull it out.

Girish Amesara: The number of folio previous year it was Rs.7.68 Crores and this year it is Rs.13.22 Crores. I am saying 2021-22 compared to 2022-23.

Swarnabh Mukherjee: Sir this growth is it safe to understand that if I only were to look at the listed corporates this growth would be fairly similar what we have seen vis-à-vis 2020?

Nehal Vora: No this is kind of a combination of both listed as well as unlisted space so this will continue to embark upon as we move forward. The listed space on new kind of investors and yes unlisted space the companies are coming into the folio.

Swarnabh Mukherjee: But in terms of overall say number of folios in the listed space dominate the number of folios in the listed part of the company because I think the number of shareholders seem to be limited there?

Nehal Vora: Folios obviously would dominate in a listed space because the number of investors by its very definition has to be more than 200. In unlisted it is lower than 200 investors so obviously by that very definition the domination would be in the listed space.

Central Depository Services (India) Limited
May 03, 2023

Page 8 of 18

Swarnabh Mukherjee: Sure Sir so just again a quick followup on the KYC numbers I understand that you do not give a broad detail but would it be fair to some kind of ballpark say 80% or 90% coming from the demat so that we can understand?

Nehal Vora: It will be kind of difficult to assess because there are a lot of common ones which could be across both the asset classes so it will be difficult to come to a ballpark number on that.

Sunil Alvares: See what happens is when somebody fetches a KYC record, the KRA maintains a tag of that intermediary. That intermediary maybe opening and fetching the KYC record for a demat account or for a broking account or for some mutual fund investment. We only have a tag of the intermediary, so it is very difficult for us to figure out for what particular purpose the KYC has been fetched.

Swarnabh Mukherjee: Got it Sir very helpful. Thank you so much Sir and all the best.

Moderator: Thank you. Our next question comes from the line of Senthil Kumar from Joindre Capital Services Limited. Please go ahead.

Senthil Kumar: Good afternoon. I could see capital work in progress of Rs.173 Crores can you please elaborate on that what kind of investment?

Nehal Vora: I will ask the CFO to answer that.

Girish Amesara: So last year we have purchased two floors at the Marathon Futurex building that represents the capital work in progress.

Senthil Kumar: The whole Rs.173 Crores am I right?

Girish Amesara: Yes.

Senthil Kumar: My second question is on insurance respository compared to the last year even though in the last year in the concal I the management said like we are in the early stage of implementation so any strategies to improve again market share in that?

Nehal Vora: Yes so there is a move towards, we have already recruited a professional MD and CEO. He is the process of joining and there will be a management team which will get created but however the regulatory changes are also at the cusp of change. It

is yet on a voluntary basis.

It has yet not been converted into a mandatory basis but there is definitely a value proposition both from an investor as well as from an insurance company point of view so as the market

evolves and matures they will understand the key there will be benefits to it and that will
Central Depository Services (India) Limited
May 03, 2023

Page 9 of 18

move towards that. Also the regulator is also looking at it very closely and it is going to come out with the necessary policy formulations as soon as they feel it is required.

Senthil Kumar: Any timeline for that when can we expect?

Nehal Vora: I can not predict how that regulator will come out with a policy formulation so we are in constant touch whatever inputs they need we are giving them but that is up to them to finalize when they will come out.

Senthil Kumar: Thank you Sir. That is it from my side.

Moderator: Thank you. Our next question comes from the line of Karthik Chellappa from Indus Capital Advisors (HK) Limited. Please go ahead.

Karthik Chellappa: Thank you very much for the opportunity Sir. I have three questions. The first one is despite the strong growth in our depository accounts the revenue growth still seems to be challenged especially on the transaction charges side, apart from lower retail participation which you alluded to at the beginning of the call. Are there any other factors at play which is impacting revenue growth?

Nehal Vora: Yes it is basically the delivery volumes of the exchanges which drives the market base in transaction and over the last financial year there has been a reduction at about 33% of the delivery based volumes on the exchanges and that kind of explains the reduced charges or the revenue for the depository because it is only when it culminates into a delivery that is when the charges are paid to us as a depository.

Karthik Chellappa: Got it so apart from that there is really no rate reduction or any sort of competitive pressures which are at play which is causing this it is just purely volume driven?

Nehal Vora: Yes it is purely volume driven exactly.

Karthik Chellappa: Second question is on the technology spends which you alluded to where you are saying continuously you need to assess the volume and the requirement and enhance the spends if we were to bifurcate the spends between those which are directly related to higher volumes versus a different kind of technology what would that split be if you were to do that for your total expense?

Nehal Vora: We have already created that framework which makes the infrastructure really scalable and it is done with the exponential growth which we have seen in the number of demat accounts over the last two to three years so from that spend, the spend is more or less done but however
Central Depository Services (India) Limited
May 03, 2023

Page 10 of 18

there is a constant assessment done in bringing in value proposition on how basically the transactions are getting really processed so that there is a throughput time comes down it can handle scale, so there is a complex web of various kind of technological basically inputs which are put in to play which kind of really assess that where we need to spend on the application side, on the hardware side depending so that basically the stakeholders will continue to enjoy ease of doing business and a value proposition with CDSL.

Karthik Chellappa: To ask it in a different way if I just look at the Q4 number of about Rs.10 Crores to Rs.11 Crores of computer related op ex would annualize that be more or less in line with let us say what you are thinking subject to volume changes?

Nehal Vora: Future it will be difficult for me to predict that but I can assure you that there is a very robust process which is done in terms of what is absolutely essential,

is getting spent and there is a framework as a company we do not give future kind of guidance so I will have to kind of not be able to answer that question.

Karthik Chellappa: Got it. The last question Sir you mentioned that you have now reached about 83 million accounts out of let us say about 113 million which implies a market share of somewhere close to 72% to 73% which means on an incremental market share basis it is even higher would it be fair to say that with growth more or less moderating or normalizing the market shares have more or less peaked for you?

Nehal Vora: Difficult to again say about the future because three years ago we were at 46% and at that time also somebody could have said that this is kind of an optimum level at which both if the market will function but there has been a surge which has happened so again market is basically a dynamic place difficult to really predict whether you have reached or not. My intent is and I think overall the ecosystem is about 6% to 7% of the population is only yet in the securities market so the market at large has a huge potential to grow. Whether that growth happens in the next one year, two years, three years, five years or 10 years that is for something which we will have to see, but there is a potential and I am not looking at what is

the current trend it is more of the potential which is yet not come into the market . India has a young population and we are adding youngsters and large middle class into a population every year there is a huge potential which is there .

Karthik Chellappa: One just follow -up Sir based on the response that you gave if you were to look at unique accounts at a household level what will it be on a household penetration level?

Nehal Vora: That again will be a little difficult to answer because people sometimes have more than one account also which is permissible under the law and sometimes they are in basically they are Central Depository Services (India) Limited

May 03, 2023

Page 11 of 18

in joint holder with the family member so again each household is depending on how many people are there also, so it is difficult to really assess how much will be the penetration from a household level but I can say that today CDSL is about 98 % of the pin codes of the country where the demat accounts is there so there is a fairly comprehensive spread in where the CDSL demat accounts are there.

Karthik Chellappa: Got it. That is all from my side Sir. Wish you and the team all the very best.

Moderator: Thank you . Our next question comes from the line of Prithvish Uppal from AMSEC . Please go ahead.

Prithvish Uppal: Thank you for taking my question. Sir first question I had was just a followup on the transaction income that we report so again for this quarter we have seen that for demat account realization has it was roughly averaging close to about Rs.24 and it has gone down substantially so I understand one reason you mentioned is the fact that there have been lower retail market participation but despite a higher increment in terms especially in this quarter in incremental demat accounts so is it fair to assess that the amount of per demat account transaction has also reduced substantially and do we expect this kind of dip the number to sort of the kind of new normal because last two years the per account number of transactions would have obviously peaked for us so have you seen that this has come back to sort of pre - COVID levels that would be my first question ? Second question is in terms of the uses of cash so apart from the investments that we make and the dividend that we have been declaring any other cash uses that you see in terms of from a growth perspective any color on that you could give and third this has been talked about on previous calls which is the pricing on issuer charges from Rs.11 so any discussion

on from the regulator where this is how the conversation is? These are my three questions .

Nehal Vora: On the first one it is not only as I said in my reply to an earlier question is the delivery based volume. If you see the delivery based volume s have seen a reduction of about 33% over the last year and that is really the key reason . Whether we have reached a peak or not is very difficult to assess because it is the market function and it is very difficult to predict volumes in the coming years and therefore the important thing is to create the right toolkits and right value proposition so that it is there to support any volumes as we move forward. Could you repeat your second question ?

Prithvish Uppal: It was to do with the operating cash flow that we are generating .

Nehal Vora: We are infrastructure company so the strength of the balance sheet becomes very critical as more and more assets and more and more demat accounts are added to your fold it kind of Central Depository Services (India) Limited

May 03, 2023

Page 12 of 18

gives that comfort factor. There are areas of growth both in the securities markets and in the other markets where we have our subsidiaries and there is a constant endeavor as India embarks upon its journey of digitization. More and more products and platforms are going to come into the core which will require that kind of investment both in terms of system, technology and people to ensure that we are kind of specifically in sync with what the reforms are implemented . Also we have just added the account aggregator model where we have gone live as a financial information provider and that is a new line of business which CDSL has recently started and it is the first depository to go live . Second , the other sectors like the commodities repository and the insurance sector , where we shall continuously need to assess as we move forward and third, we have a consistent dividend payout which has been consistent over the years , at about 60% of the net profit which gets paid as dividend.

Prithvish Uppal: Sir just on the last question about the pricing ?

Nehal Vora: That will be difficult to comment because normally we do not disclose the SEBI conversations it is kind of confidential but that is the kind of process which we will follow and as and when in whichever form it gets approved that will get promptly communicated to the market.

Prithvish Uppal: This is a data keeping question. You mentioned the folio number to an earlier participant so

I just missed the number so if you could just repeat that please?

Nehal Vora: It is part of the presentation which is uploaded on our website it will become easier. We can repeat it but I think it will be easier for you to just look at that .

Girish Amesara: In FY2021-22 we had a folio count of 7.68 Crores and for FY2022-23 we had count of 13.72 Crores.

Prithvish Uppal: Thank you Sir. That is it from my side. All the best.

Moderator: Thank you . Our next question comes from the line of Parimal Mithani from Credential Investments . Please go ahead.

Parimal Mithani: Sir I just wanted to know recently you came out and you mentioned in your previous statement about the account aggregator model can you explain to me in detail how do you plan to go ahead and does it benefit CDSL ?

Nehal Vora: So the account aggregator model is where basically the information flow from various sectors be it banking , insurance, securities market can be accessed based on client consent and given to an information user who can curate the data and give it to him in a structured format and Central Depository Services (India) Limited

May 03, 2023

Page 13 of 18

there are various components which are expected to be added to it be it basically the income tax, GST, etc., so it is a common information flow framework which is client consen

t based

and that is where we are part of the larger ecosystem.

Parimal Mithani: Does this data monetizable or how does it help us?

Nehal Vora: It is kind of really early days as to how the commercials will get factored in but there will be some amount of commercials which will come in at some stage.

Parimal Mithani: Thank you.

Moderator: Thank you . Our next question comes from the line of Vivek Sethia from HDFC Securities . Please go ahead.

Vivek Sethia: Thanks for the opportunity so in our last call you had mentioned some numbers about CDSL Ventures , their financials , the creation and fetches so if you could just help me with those numbers for Q4 ?

Girish Amesara : Total annual issuer income that we have achieved during the financial year is Rs.183 Crores as against previous year income of Rs.115 Crores. In case , of CVL we have achieved the operating income of Rs.87 Crores during this financial year as compared to Rs.120 Crores of previous financial year .

Vivek Sethia: The profitability ?

Girish Amesara: We have put all the numbers on the presentation also .

Vivek Sethia: The presentation I do not think there are these number in the presentation neither creation nor fetches I have been looking at the presentation .

Nehal Vora : In terms of presentation we have creation and fetch normally we just give us a broad trend finally it has to culminate into revenue and that is more critical so from again our financial disclosure point of view we are more focused on how it culminates into basically the revenue so I think that would be a fair reply to your question.

Vivek Sethia: So the other components of other income like e -cas, e -voting if you could give a broad number of those?

Girish Amesara : I will still repeat. You want on quarterly basis or you want the full year ?

Central Depository Services (India) Limited

May 03, 2023

Page 14 of 18

Vivek Sethia: Anything would do.

Girish Amesara : So on a quarterly basis we have closed transaction charge at Rs.33 Crores , online data charge which is CVL income at Rs.22 Crores , IPO & corporate action at Rs.7 Crores, annual issuer income at Rs.47 Crores, eCAS and e -voting put together at Rs.9 Crores, this constitute almost 96% of our total operating revenue.

Vivek Sethia: The pledge income ?

Nehal Vora: I do not think we gave that pledge income separately right it is part of the transaction income.

Vivek Sethia: Just wanted to understand about your outlook like going forward are we completely dependent on growth in the retail participation or like how are we planning to grow our business and will it be purely volume driven going forward or are we looking into other avenues as well so what is the outlook like?

Nehal Vora: Again future outlook we do not give as a policy .

Vivek Sethia: No in terms of numbers but the strategy?

Nehal Vora: It is important that we are going to continue to invest in technology because the entire digital journey is something which is going to grow as we move forward and CDSL is going to be at the forefront of that journey both from the ease of doing business , from a investor

protection point of view, making investors self sufficient so giving more to the investors to take decisions themselves that is going to be our cornerstone of our entire focus. Obviously, we will be kind of part of the market infrastructure institutional framework which SEBI has prescribed so that is something which will continue to really embark upon and as more and more new policies, products and platforms get permitted by SEBI, CDSL would be as a part of that framework.

Vivek Sethia: Thank you so much.

Moderator: Thank you. Our next question comes from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Thank you for the opportunity. Sir just two data points if you can give the full provision

ing
cost in the current quarter and second just wanted to understand that the corporate action income is seasonally weak in Q4 is that a fair assumption to make Sir?

Central Depository Services (India) Limited

May 03, 2023

Page 15 of 18

Nehal Vora: So I will answer the second question first and I will ask the first question to be answered by the CFO. Normally the AGMs technically occur in the Q2 and Q3 means if it gets extended otherwise it the Q1 and Q2 so it is kind of connected with the AGM so it is a kind of a broad trend that you see major incomes happening in Q1 and Q2 and when it gets extended like it has been do in the past two years to the Q3 also. I will request Girish to answer the first question.

Girish Amesara: In terms of debtor provision there is a reversal of Rs.2.4 Crores.

Sanketh Godha: Two questions with respect to the business just a KYC for insurance company especially the general insurance company was made mandatory from January 2023 and just wanted to understand that this revenue is somehow flowing to our insurance repository business if we are doing the KYC for the insurance company or is it done through CKYC predominantly and therefore we are not accreting any revenue with respect to KYC on insurance which has been made mandatory from 2023?

Nehal Vora: There was a draft circular which was proposing to make it mandatory. It has not converted itself into a final circular so it yet remains in a draft stage so as of now it is not mandatory, it is optional.

Sanketh Godha: Conversion into a demat format is voluntary yet but KYC has been made mandatory from January 1, 2023 so just wondering if the KYC income flow is somehow getting reflected in our insurance repository income or not?

Ramkumar K: Sir this KYC that you are talking about is for the creation of the policy for the existing policy which is handled by the insurance company themselves because bulk of the policies are stored in the physical format so this does not come to the depository base in terms of our group company CVL for the reason that is the share of CVL because it is in the physical form so this KYC is done by the insurance company's internally.

Sanketh Godha: You mean to say that when the depository or demat format becomes a reality compulsory and not voluntary you have two revenue sources one is KYC income probably and second is the charges with respect to the repository income right?

Nehal Vora: That is normally how this business works so there is both sides business which is potentially expected to flow but it depends as and when it is made mandatory.

Sanketh Godha: Got it and Sir the last one from my side is that this account aggregator SIP what are the charges we are going to charge for SIP as an information provider and finally do we want to

Central Depository Services (India) Limited

May 03, 2023

Page 16 of 18

get into TSP that is technology service provider or we just wanted to remain high providing financial information to the guys who ask for it?

Nehal Vora: So the commercials as I said earlier, it is early days it is yet not yet finalized it is in the process of first really establishing the framework and then the commercials will kind of follow so that is for us to wait and watch in the future. CDSL will continuously assess which part of the account aggregator model. The SIP was mandated by the regulator and we are kind of the first depository which has done it, whether we are part of the account aggregator model and the FRU that the financial information user model is something which we will have to really assess as the system really grows and matures.

Sanketh Godha: Perfect. Thanks for answering my question.

Moderator: Thank you. Our next question comes from the line of Sujal Hazare an Individual Investor. Please go ahead.

Sujal

Hazare: Good afternoon Sir. My first question was that the IRDAI mandated the dematerialization of new insurance policy I guess that you have answered in previous questions so that is not an issue . I am a naïve investor so I just wanted to ask you what are the key revenue drivers in your company of CDSL?

Nehal Vora: Basically there are three principal revenue drivers one will be for demat accounts that transaction revenue so every debit is charged by the depositories so that is a revenue charge. Second is the companies which are dematerialized or whose shares are dematerialized pay us an annual fee that is the second charge and the third is know your customer , there is a repository in which our subsidiary CDSL Ventures is there so that is the third source that for every creation of know your customer or a fetch by anybody in the system is a charge with CVL again so these are the three principal charges besides that for the annual general meetings we conducted through online mode so we charge companies for that the value add service. There is e-voting platform which we have so that is the other area where we charge so these are principally the broad areas of revenue for C VL.

Sujal Hazare: Which is the most revenue gaining of all of this which you stated ?

Nehal Vora: I would recommend there is a fairly easy to comprehend presentation on our website . It will give you not only what is the comparison how has the growth been over the years . It is a fairly pictorially represented presentation . It will be easy for you to understand. For any follow -on questions feel free to e -mail us we will give you a reply .

Sujal Hazare: Thank you Sir. That is all from my side.

Central Depository Services (India) Limited

May 03, 2023

Page 17 of 18

Moderator: Thank you. Our next question comes from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited . Please go ahead.

Prakash Kapadia: Yes if that capex figure is available I just wanted to know that ?

Girish Amesara -: On a consolidated basis we have capitalized Rs.35 Crores capital expenditure , and on a standalone basis we have capitalized Rs.22.5 Crores .

Prakash Kapadia: Thanks Girish.

Moderator: Thank you . Our next question comes from the line of Vinutha Sugur from Infosys . Please go ahead. Since there was no response we move on to our next question which is from the line of Rajesh Gajra from Informist . Please go ahead.

Rajesh Gajra : My question is with regard to the Q4 transaction charges trend in that , you mentioned that it is based on capex that take place and it is linked to the delivery volume obviously so I wanted to understand two things from this one is key what was the trend in the delivery volume in Q4 versus the year ago quarter and secondly I wanted to understand if the per debit charges that are applied is it based on the value of the trade which is where the debit is taking place or is it based on per debit that is going on a fixed charge or is it based on the number of shares that are getting debited so just wanted a clear understanding of this ? Thank you .

Nehal Vora: So the response to your question is , there is a 31% reduction in the year -on-year delivery volume across exchanges over the previous financial year and as compared to this financial year so that gives you an overall trend that why there has been a lower transaction revenue . The second question is that we charge on our per debit basis; however, it is basically a slab wise approach so a person who is a frequent user of the system has to pay a per debit lower charge as compared to infrequent user of our system so it ranges from Rs.5.50 per debit to Rs.4.25 per debit depending on the number of transactions which you are doing. It is not linked to the number of shares or the value of the number of shares it is per debit instruction where the charge

s are done .

Rajesh Gajra : Thank you very much.

Moderator: Thank you . Our next question comes from the line of Sanketh Godha from Avendus Spark . Please go ahead.

Sanketh Godha: Thanks for the opportunity again. Sir in the past you have disclosed the annual issuer charges broken down into listed and unlisted and similarly you used to give the pledge mortgage income or pledge income in the transaction side it will be great if you can share this time too?

Central Depository Services (India) Limited

May 03, 2023

Page 18 of 18

Nehal Vora: The first one we never used to do it listed and unlisted I think pledge is what the CFO tells me that they do disclose .

Girish Amesara: In this quarter we have made an income of Rs.3 Crores.

Sanketh Godha: Perfect. Thank you.

Moderator: Thank you . As there are no further questions, I would now like to hand the conference over to Mr. Nehal Vora for closing comments .

Nehal Vora: I would like to thank you for all your questions and continue to remain safe and secure . Take

care. Thank you.

Moderator: Thank you . On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

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Central Depository Services (India) Limited
CDSL/CS/NSE/JB/2023/222 August 17, 2023

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on August 10, 2023

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Madam/ Sir,

This is with reference to our intimation dated August 03, 2023, for scheduling of Conference Call on August 10, 2023, please find attached the transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company: www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Group Company Secretary & Head Legal
ACS No.: A20586

Encl: As above
Page 1 of 13

"Central Depository Services Limited
Q1 FY '24 Conference Call"
August 10, 2023

MANAGEMENT : M R. NEHAL VORA – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – CENTRAL DEPOSITORY
SERVICES (INDIA) LIMITED
MR. GIRISH AMESARA – CHIEF FINANCIAL OFFICER –
CENTRAL DEPOSITORY SERVICES (INDIA) LIMITED
MR. SUNIL ALVARES – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CDSL VENTURES
LIMITED

MODERATOR : M R. AMIT CHANDRA – HDFC SECURITIES

Central Depository Services Limited
August 10, 2023

Moderator: Ladies and gentlemen, good day, and welcome to the CDSL Q1 FY '24 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be on listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call, which reflects CDS's outlook for the future or which could be constituted as forward-looking statements must be reviewed in conjunction with the risks that the company faces.

I would now like to hand the conference over to Mr. Amit Chandra from HDFC Securities.

Thank you, and over to you, Mr. Chandra.

Amit Chandra: Thank you, operator. So good morning, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 1 FY '24 Earnings Call. We have with us today the management team of CDSL represented by Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, CFO; and other senior leaders. We will start with a brief on results from Mr. Nehal Vora, and then we'll start with the Q&A. Thank you, and over to you, sir.

Nehal Vora: Thank you so much, Amit, for that kind introduction. Good morning to everybody. I hope each of you and loved ones are safe and healthy. Thank you for joining us today to discuss CDSL's financial results for the first quarter of the new financial year FY '23 '24 call. We've posted a detailed presentation on our website for your reference. I'm joined by the CDSL Group leadership team.

Let me start with the industry highlights and then take you through some of the key aspects of our performance.

During the Q1 of FY '23, '24, the overall Indian capital markets demonstrated a healthy growth. The total market capitalization increased by 15% to about INR296 lakh crores as on June 30, 2023, compared to INR258 lakh crores as on March 31, 2023.

Furthermore, the daily turnover for Q1 of FY '24 witnessed an 11% increase when compared to the Q4 of FY '23. The quantity of shares delivered also displayed a quarter-on-quarter growth of about 10%. All these trends indicate a renewed confidence amongst the investors in the Indian capital markets.

The numbers also truly underscore the strengthening belief in the potential of our markets. These positive trends are also attributable to the recent industry advancements implemented. We believe that these new implementations will benefit the industry in the long term as they aim to protect the interest of all kinds of private investors and reduce the systemic risk.

Overall, we view these regulatory measures as positive for the industry's long-term growth. This quarter, India further strengthened its retail participation in the Indian capital markets. The total number of demat account investors in the country achieved a significant milestone of over 12 Central Depository Services Limited

August 10, 2023

crores in July, out of which more than 9 crores demat account investors are registered with CDSL.

Comparing the numbers, the registered investors with CDSL as on June 30, 2023, were 8.83 crores and which shows a remarkable 29% increase over the same quarter last year. This growth can be attributed to the increased use of digital innovation and also being able to connect to the interiors of India, including the Tier 2 and Tier 3 towns.

In terms of performance, our strategy focuses on accelerating core annuity income, simplifying the process for emerging investors and fostering new developments in the Indian securities market. It has and will continue to be team CDSL's relentless endeavor to empower the Indian capital markets with innovative technology and tools, such as the AGM e-voting, EDIS, margin

pledged mechanism, etcetera, that enhance the experience and security of market participants.

As we present another successful quarter in terms of both business and financial performance, we at CDSL would like to express a heart for gratitude to our investors and the people of India, whose unstinted faith in us continues to serve as a guiding light. Our focus remains steadfast on building value for our stakeholders, while playing our part in enabling and securing a robust Indian digital financial ecosystem for our investors.

Before I hand it over to our Chief Financial Officer, I'd just like to say that the growth of the Indian securities market is an extremely encouraging sign of India's potential. I also want to place our appreciation and gratitude to all our stakeholders, our regulators, depository participants, investors, issuers and all other market participants and employees for their constant faith in us.

Thank you for your continued support and trust in us. I would like to hand it over to our Chief Financial Officer, Girish Amesara, for the key highlights of the financial performance.

Girish Amesara: Thank you, Nehal. Good morning to everyone. The total consolidated income for the quarter ended June 23 has increased by 19% to INR174 crores as against INR146 crores for the same quarter during the previous year. Accordingly, the consolidated net profit for the quarter ended June 23 is achieved at INR74 crores as against INR58 crores for the same quarter during the previous year.

Talking for the stand-alone basis, the total income for the quarter ended June 23 is increased by 8% to INR170 crores as against INR158 crores for the same quarter during the previous year. And the resulted net profit for the quarter ended June 23 achieved at INR92 crores as against INR89 crores for the same quarter during the previous year.

Now I shall request Sunil Alvares to give an update about the operation of lean subsidiary, CDSL Ventures Limited. Thank you. Over to you, Sunil.

Sunil Alvares: Good morning, everyone. So far as CDSL Ventures Limited income was concerned, total income for Q1 FY '24 was INR32.7 crores as against INR28.0 crores for Q1 FY '23, which was an increase of INR3.67 crores or 13%. The profit before tax was INR15.63 crores as against Central Depository Services Limited

August 10, 2023

Page 4 of 13

INR14.17 crores, which was again an increase of about 10%. And the profit after tax is INR11.90 crores against INR9.94 crores, an increase of 20%. With this now, we may start the Q&A session.

Moderator: We'll take the first question from the line of Swarnabh Mukherjee from B&K Securities.

Swarnabh Mukherjee: So 2, 3 questions. First of all, if you could highlight the reason for the jump in the annual issuer charges? Was there any particular -- seeing that drove maybe the increase in number of policies -- sorry number of folios that you have, which would have resulted in this? And also if you could share the number of folios with you, which is there for building the annual issuer charges for this year? So that is the first.

And the second is on the cost side. So yes, if I see on the standalone business, the other expenses ahead that you have reported has increased quite sizably, both from the last quarter and also compared to the last year's first quarter. So if you could throw some light on this one.

Nehal Vora: Okay. First question, the number of folios have increased in terms of the number of demat accounts also increased, and that has led a consequential increase in number of folios registered with CDSL as the primary reason for the increase in the annual issuance charges, which we've charged the companies, and hence, that revenue has grown. We don't share the folios in the public domain. So that remains a consolidated revenue impact as you see on a quarter-on-quarter basis. For the second question, I'll ask

Girish to answer.

Girish Amesara: So the other head expense largely has increased due to certain regulatory expense, which we have to incur, and are based on the operating revenue of the company and increase in collection of the annual issuer fees. So it is consequent to the increase in operating profit and increase in annual issuer fees.

Swarnabh Mukherjee: Okay. So just as a follow-up on the first question. As you have mentioned that I mean it is understood that the number of folios have increased. I just wanted to check from you that is it something like, say, for example, last year, there was a LIC IPO, which brought a lot of new investors to the market. Is it a factor of that? Or is it a steady-state thing that you were seeing a big increase, please? I just wanted to see if there is some one-off net number.

Nehal Vora: No. It's a combination. See, with the buoyant market conditions, the participation has grown overall. And therefore, the secondary market participation has also grown, as I had stated as part of my comments in the initial part of my speech. And also because of buoyant market conditions, there are also the IPOs, which are getting the market. So it's a combination of all these factors, which has led to this increase.

Swarnabh Mukherjee: So just wanted to, again, to drill a little bit deeper. So what we have seen in the capital markets right now is that the cash delivery part of the market which I think primarily impacts your revenue side, that is essentially cyclical that is not expanding that significantly while the derivative side is expanding. So any thoughts in context of that in terms of the annual insured income.

Central Depository Services Limited
August 10, 2023

Page 5 of 13

Nehal Vora: . So what you see as the secondary market increase is only quarter-on-quarter. But if you see over a period of time, the buoyant market conditions is what leads to a higher participation of

shareholders and companies, and that leads to increase in folios. That's the point I was trying to explain.

Swarnabh Mukherjee: Understood, Sir, and in terms of the number of folios, you had given some colour last time. So even if not the exact number, if you can give us some ballpark that would also help us in understanding how this number overall issuer charges. So we request some ballpark on that.

Nehal Vora: Typically, we don't give the folios as per the regulatory standpoint. But as of now, we don't do that. In case if we do that, then we'll put it out on our public domain. But I think you can take it as a general trend that as the delivery volume, the market volume increases, leading to a growth of folios in a conceptual sense it is a factor of that.

Moderator: The next question is from the line of Prakash Kapadia from Anived Portfolio Managers Private Limited.

Prakash Kapadia: A couple of questions from my end. If I look at our subsidiary fetch business, 5 quarters in a row subsidiary revenues have degrown. So can you give us some understanding how much of revenue is from new folio creation? How much on the Fetch side, is there some pricing-related pressure, which is causing this degrowth to continue? If you could give us some direction on the subsidiary business. Secondly, on the total other income of INR24 crores, how much is mark-to-market gains on that portfolio? And how much is capital gains if you have that figure ready? And lastly, one data-keeping point. If you could share the revenue of e-voting and consolidate DCS for the quarter?

Nehal Vora: Okay. On the first point, I think the extent of degrowth, if you see the quarters, one in the June quarter ended April, May months were muted. It's only in the month of June where there was buoyancy seen. And therefore, that will have a lag effect on CVL's income. I'll ask Sunil to answer that. But before he answers, I just ask Girish to answer your second part of second question.

Girish Amesara: The mark-to-market g

ain is INR13.36 crores in total INR24 crores income.

Nehal Vora: And Sunil, if you can answer that, though we don't give any specific numbers on catches on new and versus...

Prakash Kapadia: Yes, I am looking for a direction...

Nehal Vora: It's a conceptual answer, I'll ask Sunil to take it.

Sunil Alvares: Yes. So like Nehal rightly said, April and May have a slightly muted increase. And secondly, the question on how many fetches are linked to new folios that we will not know because -- those are actually set by the intermediaries and then whether there's a new folio or an old folio, that is really not knownt.

Central Depository Services Limited

August 10, 2023

Page 6 of 13

Prakash Kapadia: And is there is some pricing-related pressure because 5 quarters, we've obviously degrown. The pace of degrowth maybe has come off, but still there is degrowth happening. So is there some competition or pricing pressure which we should be aware in terms of the degrowth happening.

Sunil Alvares: Not really.

Prakash Kapadia: Okay, fine. And in case, Girish, you have those revenue breakups of those 2 subfields?

Girish Amesara: That we have provided slides on breakup of income and expenditure, both that we are doing for the last 2 quarters. If you want, I will repeat it, but we have already provided.

Prakash Kapadia: I just wanted the E-voting and ECAS. I have the annual charges, transaction charges.

Girish Amesara: E-voting, we have achieved at INR3.40 crores. And ECASE we have achieved at INR8 crores.

Moderator: We'll take the next question from the line of Amit Chandra from HDFC Securities.

Amit Chandra: So my question is on the annual issue charges. I know that the annual issue charges is linked to the number of issuers, and it's a lag indicator in terms of the retail shareholders that increased last year. The impact is in the first quarter. But if I see the increase in the total retail shareholding in FY '23, that has been in the renowned 18% to 20% Y-o-Y growth. And in FY '22, it was around 55%. So that is reflected in quarter 1 numbers, but quarter 1 FY '24 numbers are much higher than what the actual retail shareholding has increased. So is there any other thing that we need to know in the annual issue charges that is getting included here?

Nehal Vora: So I think, Amit, the way the charges are formulated is that there is a ceiling. And if the folio increases beyond a certain limit and it's folio-based charges. So the holding in some of the top companies has grown higher than overall increase. So what you are seeing is the retail participation increase over the entire year. But how that gets further fragmented in terms of its holding in terms of the top companies versus the other companies is getting reflected in the issuer charges.

Amit Chandra: Okay. And sir, my second question is on the e-voting. So we have seen significant traction there. So last year in FY '23, it was INR25 crores, and it is 80% growth. So I just want to understand that have we achieved the adoption of e-voting by most of the companies or the companies which you target in terms of e-voting, what kind of growth we will see? I know this is forward-looking.

But in terms of adoption, if you can throw some light, how many companies that we target have adopted in voting and how many left?

Nehal Vora: So I think rather than specific numbers, I would say the broad trend is our focus on technology.

And more-and-more, we focus on technology, the value proposition, which the products provide to the stakeholders. There are more-and-more people who are wanting to adopt CDSL platforms.. And that is going to continue to remain our endeavour.

Our philosophy as a management team is going after the value proposition of products and then that will reflect in the renewed participation of more-and-more people wanting to adopt that

Central Depository Services Limited

August 10, 2023

Page 7 of 13

because there is a clear ea

se of doing business, it's a clear value proposition and what the products are getting offered. And you have your ear to the ground to ensure that whatever the needs of the relevant stakeholders are getting reflected in the products which are getting rolled out.

Amit Chandra: And sir, you have mentioned a lot of innovative services that we're offering. So out of these services do think the DLP is one thing which is being implemented across the depositories. So can you throw some more light on what can we be a potential in terms of is monetization and expanding these services over other classes?

Nehal Vora: So again, that's a forward-looking statement. I'll not give specific numbers. But from a reforms point of view, it's leading to a more systematic way of monitoring of the bonds and covenants, which are the ecosystem. So, the intent is that it becomes a systematic solution to ensure that there is more accuracy as we move forward. And it's a system-driven solution. So more-and-more trust gets built in the system. So therefore, the participation would go up. And as the participation goes up, the relevant numbers is at least the hope and prayer as the participation grows or those will get reflected in the numbers also.

Amit Chandra: Okay. Lastly, on the insurance repository, are we seeing traction there in terms of the participation from more-and-more companies and more on insurance policies getting demat? So, any view there?

Nehal Vora: I think on insurance, it's still on a voluntary basis. So it depends on the insurance holder and the insurance company on to the extent they would like to adopt e-insurance framework. Definitely, there is a proposition for ease of doing business from an insurance holder because custody of the insurance policy, the ease of access and also basically the ability to raise funds out of that insurance policy becomes a more sophisticated way than it is in a physical mode. So, I think as that benefits gets percolated to the last mile, more-and-more people are hoping. We hope that more-and-more people would like to really adopt it as we go forward.

Moderator: Thank you. We'll take the next question from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Sir, just wanted to understand bit on more transaction income because cash segment volumes for the country as a whole has done well in the current quarter even compared to first quarter of FY '23. Then we see a bit of weakness or not that much amount of growth in the transaction income from INR33 crores, it has grown to INR36 crores. So just wanted to understand what led to little muted growth in the transaction income given the cash volumes are doing well for the country as a whole.

And second, within the INR36 crores, if you can give how much is pledge related income, it would be useful, sir. That's my first question.

Nehal Vora: So the first question, the first two months of this quarter was a muted growth in terms of delivery volumes, etc. It's only in the last month of the quarter where we've started seeing some buoyancy.

And therefore, what we report is on a quarterly basis. And hence, the basically the muted growth

Central Depository Services Limited

August 10, 2023

Page 8 of 13

because it was low delivery volumes in the first two months of this quarter. The second question, I'll ask the CFO to answer.

Girish Amesara: Sanket, the Margin Pledge income is INR3 crores in this quarter.

Sanketh Godha: Okay. And just given you have said that the exit month that is June month has been better. So is it fair to assume that compared to April and May run rate of transaction income, June is meaningfully better than even July cash volumes data is much superior. So you are clearly seeing numbers the trajectory of better transaction income playing out?

Nehal Vora: It's a future-looking statement, I'm sorry, I will not be able to comment on this.

Sanketh Godha: Okay, sir. And Ias

t second question on the other costs. So just wanted to understand whether this -- you alluded to the point that the regulatory costs led to the growth. But is it somewhere related to the impairment cost also, they just wanted to know that number has that played any role in increase in the other opex?

Girish Amesara: No. It is not led to the impairment, it is as per our regular standard.

Sanketh Godha: So what's the number, sir, if you can tell that for the quarter?

Girish Amesara: INR1.7 crores.

Sanketh Godha: Okay. And this regulatory cost is the only reason or there are some other costs which has led to that growth basically because regulatory costs as per the presentation is only INR8 crores, but in that number, which has grown, but other expenses looking the other expense seems to have grown. So I just wanted to understand the part better.

Girish Amesara: So regulatory, if you look at the component of regulatory, it consists of a 5% charge on operating profit. So if operating profit is on a higher side, obviously, the charge is going to be on the higher side. Then there is SEBI fees, incentives, which are linked to the issuer fees. Now, if the issuer fees collection is on a higher side, these charges are also going to be on a higher side. So, whenever we see a very good profit number or very good operating margin number, this number would also be on a higher side.

Sanketh Godha: Got it, sir. And lastly, on the employee cost last year, in the same period, we had that one-off with respect of or rather one-time payout to the employees of INR10.8 crores. But if I knock up that number in the base and see the growth, the growth is year-on-year 50 percentage in the employee cost, which is much higher than the top-line growth. So just wanted to understand this INR22.6 crores of employee cost has any similar kind of a one-off? Or this is the number what we need to see in subsequent quarters?

Girish Amesara : You refer to INR22 crores in consolidated result, right?

Sanketh Godha: Yes, consolidated.

Central Depository Services Limited

August 10, 2023

Page 9 of 13

Nehal Vora: Yes. we are a financial infrastructure company. And there are two critical inputs. One is technology and second is the human resource. And this is the specialized human resource. It is very, very pertinent to this line of business. And also, there is increased regulatory expectations as we move forward. So that regulatory staff footprint also has to grow with a risk also has to grow. And since there is exponential growth, it has to be hand-in-hand with the control functions of the business also. Besides the business as well as the operations, human resource, to support the renewed growth to ensure that our services don't continue to remain top class and grow as we grow.

Sanketh Godha: Got it, sir. But this number is going to remain right around INR22 crores.

Nehal Vora: Yes.

Moderator: Thank you. We'll take the next question from the line of Jeet Suchak from Nuvama Wealth Management. Please go ahead.

Jeet Suchak: Okay. So I have two questions, starting with the first one. So out of the total issuers registered, how many are early stage registered from the total?

Nehal Vora: I'll ask CFO to answer, Girish.

Girish Amesara: You are asking during this quarter, right?

Jeet Suchak: Yes, for this quarter end.

Girish Amesara: Okay. Unlisted admitted is 423 companies during this quarter.

Jeet Suchak: It is incremental. So what is the closing figure assets, total issuers at the end?

Girish Amesara: We'll give you during the course of this discussion.

Jeet Suchak: Okay. And other question was, can you give me any colour out of the INR630 million revenue from annual issuers? How much can be from unlisted issuers and out of the listed issuers? Any idea of that?

Nehal Vora: We generally don't give that breakup. It's consolidated number.

Moderator: Thank you. We'll take the next question from the line of Prayesh Jain

from Motilal Oswal. Please

go ahead.

Prayesh Jain: Yes. Just one question on the issuer charges. Time and again, you have told that there is that you will consider going to the regulator for an increase. What has been the thoughts around it? And with your investments into the businesses increasing with regards to your employee expense, all with regards to your tech expense, do you think it would be the right time to go back to the regulator and ask for an increase in the issuer charges?

Central Depository Services Limited

August 10, 2023

Page 10 of 13

Nehal Vora: I think we're not able to answer that in a specific format because it's again a culmination of various factors the overall growth, which we are seeing in issuer income because the regulator is also seeing all of that. So, when the regulator will feel would be an appropriate time for the increase to take place is something which I will not be able to answer. But we continue to engage with them to give them the relevant numbers and where the growth has seen. You have to see basically the overall scheme of things that how and when, if at all they permit an increase.

Prayesh Jain: Perfect. And secondly, the investments with regards to technology in particular. And I assume both would be the tech expenses would be split of between employee and the tech expense that you report separately. So I know I'm asking a forward-looking statement, and I might not get an answer for this, but still, I'm trying my luck with regards to this as to what increase we should start look because it's been some time that you've been investing into our employees and the tech part. Do you think that the increase in that run rate could slow down going ahead?

Nehal Vora: Difficult to answer that question because in any infrastructure business, the quality and the value proposition of the product is of prime most importance. And technology is the DNA with which our business function. We need to not only be up to date and up to speed with the latest changes in the tech field, but also ensure that it is comprehensive and very relevant to our line of business and continue to provide a value proposition to ensure a loyal customer base not only is retained but enhances as we move forward. So I think that's our ethos, which we work. I think whilst the tech expenses, human resource expenses are growing. But as we can see that, that has been able to support the renewed participation in the securities market, and that is our main focus as a management team.

Prayesh Jain: And on the insurance depository business, apart from account opening and annual charges, I think these are the two heads where you, on income, if I'm correct?

Nehal Vora: Yes.

Prayesh Jain: So apart from that, any other new line items that have emerged recently with regards to loan against insurance policies or any other servicing that would have been more, say, in the last some time or we could see in the next take couple of quarters or years.

Nehal Vora: So I don't know whether it will emerge in the next couple of quarters or years. But as the participation grows, probably the market will also come to realize that this could be another use case for that platform to be used or loan against the insurance policies. Now we have seen a muted response at least where our subsidiary is concerned. How that will pan out as we move forward? There is something which we also have to wait on.

Moderator: We'll take the next question from the line of Devansh Nigotia from SIMPL.

Devansh Nigotia: Yes, insurance repository, I mean, you used some initial remarks and also clarified now, and we also mentioned in the PPT that there are no charges for customers. So if you can just elaborate a bit more at what can figure revenue from this line item?

Nehal Vora: I'll just ask the CFO to answer that.

Central Depository Services Limited
August 10, 2023

Page 11 of 13

Girish Amesara: The charges are not levied to the end policyholders. These are paid by the insurance companies.

Devansh Nigotia: Okay. And what is the current revenue mix or the current revenue from insurance deposit rates?

Girish Amesara: We generally don't discuss this mix of the revenue of annual maintenance and addition. Currently, the income from operation in this quarter that we have achieved is roughly INR16 lakhs as against 1 lakh of the previous quarter.

Devansh Nigotia: 16 lakhs from insurance repository?

Girish Amesara: Yes.

Devansh Nigotia: Okay. And what is the underlying user base? A number of customers who have the policies?

Girish Amesara: We generally don't give the number of customers and all that. Because this is not available in public domain.

Moderator: We'll take the next question from the line of Amit Chandra from HDFC Securities.

Amit Chandra: Sir, if I see most of the business lines for us has recovered. But if I see the online data charges, that has been flat for almost five quarters now. So if you can share some views of what is the mix in terms of fetch and creation and what part is getting impacted there? And are we seeing any recovery as you said in transaction, there has been only 1 month of higher activity. Are we seeing similar activity change in online data charges as well?

Nehal Vora: So again, really, basically, Amit, as the charges as the renewed activity grows, there is obviously a lag effect on the CVL in terms of fetch and all that. And so I think we should just wait and watch for 1 or 2 quarters as to how this will pan out. It may be early to predict based on the first quarter impact because, as I have said earlier that it was the June quarter, which showed some renewed interest. April and May were muted. So obviously, the lag effect will continue. So we should wait for 1 or 2 quarters and see how this moves.

Amit Chandra: So why I'm asking this because generally, with the increase in the account additions because you

have seen that the account addition has actually picked up in 2, 3 months. So there is an account opening KYC that comes in, that generally follows that. So it is not getting reflected. So I'm wondering if there is a bigger in terms of leakage in terms of even that is happening in the base.

Nehal Vora: It's difficult to predict at this stage. But I think, as I said earlier, there is obviously a lag effect, which continues. So I think we should wait for 1 or 2 whether this is a real impact or the lag.

Amit Chandra: Okay. And one question to the CFO. Sir, the facility expenses in terms of the new expansion that you have done. So have we incorporated the higher facility expense charges? Is it in the base? Or is it yet to come?

Girish Amesara: Facility charges in the sense?

Central Depository Services Limited

August 10, 2023

Page 12 of 13

Amit Chandra: Like new property that you have bought. So in terms of depreciation in terms of the expenses that goes up generally in terms of expansion?

Girish Amesara: Yeah, work is still going on. So it's shown as a capital work in progress in the financial statement as of now. Is that when we capitalize it, the depreciation will start.

Moderator: We'll take the next question from the line of Franklin Moraes from Equentis Wealth Advisory.

Franklin Moraes: So in this quarter's employee cost, what percentage would be on account of variable payout?

Nehal Vora: We generally don't give out these breakouts. See, I think from an organization point of view, total compensation is more critical. How much is variable, how much is fixed, is a function of various market conditions, etcetera. So I think that's how we will be in the new reporting.

Franklin Moraes: So what I was trying to understand is we had made a change wherein the variable will be more amortized now going forward. So whether that has already gotten implemented and this would be amortized over the entire year?

Nehal Vora: So I think we continue to work on basically t

he accounting standards and advice given by with the statutory auditors. And that is in line with what we have been doing. We are not able to answer specifics on this because this is not in public to.

Moderator: We'll take the next question from the line of Santosh Keshri from Keshri Wealth.

Santosh Keshri: Okay. So I have two questions. One is that the technology investment that we started on around 4, 5 quarters back, is that done? And are you done with that? Or do we have some more plans to expand on technology? That's my first question.

Nehal Vora: So technology is something which is continuously has to be assessed and the latest changes, updations. Also, there are newer products, platforms and regulatory requirements, which are getting rolled out on a month-on-month basis, which also requires the technology to get really upgraded and to ensure that it all goes seamlessly.

Also, the participation of newer demat accounts also leads to a potential capacity assessment, which has to be done to ensure that service standards continue to remain very, very high even as we see a growth. So technology is something which is our core input, as I said earlier. And human resources are core input. These are two critical expenses to ensure that the business continues to run seamlessly.

Santosh Keshri: Right. But then we need to distinguish between the technology expense that is a maintenance expense may be to take care of the increased demat additions or increased volume of the business. But the expense which is to bring an altogether a different technology paradigm. And I believe that 4, 5 quarters back, we spoke about INR10 crores be spent on the new technology platform. So my question is more with regard to -- are we done with the new technology platform? Or it is all the maintenance expense that we are incurring now?

Central Depository Services Limited

August 10, 2023

Page 13 of 13

Nehal Vora: So what we have done earlier has been completed, but there is continuously a proactive assessment being done whether the technology platforms needs to get further upgraded the applications need to get further upgraded in line with the latest trends to ensure that the people who are basically the relevant with the stakeholders, be it the issuers or the retail between investments and the depository participants continue to see that renewed technology platform being really up to speed with what their requirements are.

So it will be difficult to give a very straight jacket answer because the continuous assessment is being done. And we are bringing in more and more changes, which is more maintenance-oriented also, but also even the newer way the technology platform is done. Your specific question about what had spoken for 5 quarters earlier, that process has been completed.

Santosh Keshri: Okay. Makes sense. And secondly, my second question is regarding the recent notices to the questions that you made on 3rd of August were in the SEBI has given instruction and they had

an observation. So my question was that did it involve any panel implication for the company?

What is the amount of...

Nehal Vora: There is no financial impact, there is no penal, it is basically a warning which is issued and that is more from a process point of view which is in the process of getting done.

Moderator: We'll take the next question from the line of Jeet Suchak from Nuvama Wealth Management.

Jeet Suchak: So you talked over the call that a total number of unleased issuers will be described during the call.

Nehal Vora: So we'll send it to you on in e-mail, if you can mail it to our CFO, his email is on the -- and we will send you the numbers.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Nehal Vora for closing comments. Over to you, sir.

Nehal Vora: As I wish you all the very best, and thank you for all your questions. I would want you to continue

to remain loyal and chose CDSL. And as a management team, our constant endeavour is to ensure that CDSL continues to remain more and more tech-savvy to ensure more and more stakeholders continue CDSL and its platforms. Thank you, everyone. Stay safe. Stay healthy.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of HDFC Securities, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Note: This transcript has been edited for readability.

Call: Nov 2023

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Central Depository Services (India) Limited
CDSL/CS/NSE/SJ/2023/ 329 November 07, 2023

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on November 01 , 2023

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Madam/ Sir,

This is with reference to our intimation dated October 23 , 2023 , for scheduling of
Conference Call on November 01 , 2023 , please find attached the transcript of the
aforesaid Conference Call.

The above information is also available on the website of the Company:
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Group Company Secretary & Head Legal
ACS No.: A20586

Encl: As above

Page 1 of 17

"Central Depository Services (India) Limited
Q2 FY '24 Investor Call"
November 01, 2023

Management: Mr. Nehal Vora–Managing Director and Chief
Executive Officer– Central Depository Services
Limited
Mr. Girish Amesara – Chief Financial Officer –
Central Depository Services Limited
Mr. Sunil Alvares–Managing Director and Chief
Executive Officer – Central Depository Services
Limited Ventures
Mr. Rajesh Saraf – Chief of Data and Operations

Mr. Vinay Madan – Chief Risk Officer
Mr. Amit Mahajan – Chief Technology Officer
Mr. Swaroop Gothi – Financial Controller
Mr. Nilesh Kittur – AVP Finance
Ms. Sandhya Dubey – Sr. Manager

Moderator: MR. AMIT CHANDRA – HDFC SECURITIES

Central Depository Services (India) Limited
November 01, 2023

Page 2 of 17

Moderator: Ladies and gentlemen, good day and welcome to CDSL's Q2 FY '24 Conference Call, hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL's outlook for the future or which could be constituted as forward-looking statements must be viewed in conjunction with the risks that the company faces.

I now hand the conference over to Mr. Amit Chandra from HDFC Securities. Thank you and over to you, Mr. Chandra.

Amit Chandra: Yes. Thank you, operator. So good morning, everyone. On behalf of HDFC Securities, we welcome you all to this CDSL Quarter 2 FY '24 Earnings Call. We have with us today the management team of CDSL, represented by Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, CFO; and other senior leaders. We will start with a brief overview of the results by Mr. Nehal Vora and then we will start with the Q&A. Thank you and over to you, sir.

Nehal Vora: Thank you so much, Amit. A very, very good morning to all the listeners and participants and welcome, everyone, I hope each of you and your loved ones are safe and healthy. Thank you for joining us today to discuss CDSL's financial results for the second quarter for the financial year, FY 2023, '24. We posted a detailed investor presentation on our website for your reference. I'm joined by the CDSL Group's leadership team.

Let me start with the industry highlights and then take you through some of the key aspects of our performance. During the Q2 FY 2023-24 the overall Indian capital markets demonstrated a healthy growth. The total demat accounts as on September 30, 2023, stood at INR12.96 crores, of which CDSL's share was at INR9.62 crores. The net demat accounts opened in India in this quarter was at 91.58 lakh, of which 80.28 lakhs were registered with CDSL in the Q2 FY '23, '24. The comparative numbers for CDSL were 52 lakhs for Q1 of FY 23-24 and 48 lakhs for Q2 of FY'22-23.

The total market capitalization of the market increased by 8% as at the end of this quarter, reaching INR319 lakh crores compared to INR296 lakh crores as on June 30, 2023. Furthermore, the daily turnover for Q2 FY24 witnessed a 33% increase when compared to Q1 of FY24.

These positive trends reflect the financial inclusion and an increased participation by the investors in the Indian capital markets. These positive trends in the markets also attributed to the recent industry advancements and regulatory measures. We believe these measures will benefit Central Depository Services (India) Limited

November 01, 2023

Page 3 of 17

the industry in the long run by protecting the interests of retail investors and reducing the systemic risk.

The 25th year of operation is also very special for us, as we celebrate the 9 crores demat accounts milestone in July 2023. And further, I'm delighted to announce that CDSL has received a recognition for its excellence in digital execution. In October 2023, we were honored the TechCircle business transformation award. As we reach the midpoint of our 25-year journey, we remain committed to enhancing ease of doing business and instilling trust within the financial ecosystem.

Our ongoing efforts have yielded promising results. The current financial year is also a representation where we have experienced a sustainable and healthy business and financial performance as a result of the efforts of all the market infrastructure institutions.

Before I hand it over to our Ch

ief Financial Officer, I would like to take a brief moment to place our appreciation and gratitude to all our stakeholders, the beneficiary owners, the depository participants, issuers and regulators, employees and other market participants for their constant faith in us. We extend a heartfelt gratitude to our investors and the people of India whose unwavering faith continues to guide us. Our focus remains steadfast on building value for our stakeholders and securing a robust Indian digital financial ecosystem. Thank you for your continued support and trust.

Over to you, Girish.

Girish Amesara: Thank you, Nehal. Good morning to all of you. Speaking on the quarterly performance, on a consolidated basis, the total income for the quarter ended September 2023 is increased by 35% to INR 230 crores, as against INR 170 crores for the corresponding period of the previous year. The net profit for the quarter ended September 2023 is increased by 35% at INR 109 crores, as against INR 81 crores for the same quarter during the previous year.

Speaking on the half yearly numbers, on a consolidated basis, the total income has increased by 28% to INR 404 crores, as against INR 316 crores. The consolidated net profit for the 6 months ended September 2023 has increased by 32% to INR 183 crores, as against INR 138 crores during the 1st half of previous year.

Speaking on a stand-alone basis, the total income for the quarter ended September 2023 is increased by 29% to INR 182 crores, as against INR 141 crores for the same quarter during previous year. The net profit for the quarter ended September 2023 is increased by 28% at INR 88 crores, as against INR 69 crores for the same quarter during the previous year.

Speaking on a half yearly basis, on a stand-alone basis, the total income is increased by 18% to INR 352 crores, as against INR 298 crores during the 1st half of previous year. The consolidated net profit has also increased, by 14%, to INR 180 crores, as against INR 158 crores during the 1st half of previous year.

Central Depository Services (India) Limited
November 01, 2023

Page 4 of 17

Now I shall hand over to Sunil Alvares to give an update about operations of the wholly owned subsidiary CDSL Ventures Limited. Thank you. And over to you, Sunil.

Sunil Alvares: Good morning to all the participants. So far as CDSL Ventures is concerned, the Q2 FY '24 operating income was higher by 67%, as compared to Q2 FY 23. The operational income was INR 43 crores in this quarter, as compared to INR 26 crores in same quarter of last financial year. The - other income was at INR 4 crores, as compared to INR 3 crores in the same quarter of previous year.

The total income was at INR 47 crores, as compared to INR 29 crores in the corresponding quarter of the previous financial year. And so far as the expenses are concerned, the expenses were higher by 66% at INR 18 crores, as against INR 11 crores as compared to the corresponding quarter of the previous financial year. The profit before tax for Q2 FY24 was INR 29 crores, as compared to INR 18 crores for Q2 FY23, which was higher by 63%. The net profit was higher by 61% at INR 22 crores, as compared to INR 13.44 crores in Q2 FY23.

I hand it over back to the moderator for the -- question-and-answer session.

Moderator: First question is from the line of Swarnabh Mukherjee from B&K Securities.

Swarnabh Mukherjee: Yes. Great performance for the quarter. 2, 3 questions. First one, on the IPO, corporate action line item. So I just wanted to understand. How much of this growth can be kind of sticky? So if you could give us some color or a quantifiable breakup on how much of this has come due to IPOs, how much through AGMs etc and how much through corporate actions? So as to give us a flavor whether some part of this can be retained or whether there is a substantial seasonal element in this? So that's the first one.

Secondly, on the KYC KRA business, if yo

u could give us a sense why this performance has

been very strong. So whether the share of fetch transactions has increased or is it like the mix relatively similar and volume-driven, because of which the growth has come?

And thirdly, on the cost side, so if I look at the tech cost and so about a year back, it was somewhere around INR 9 crores, INR 10-odd crores. It has steadily moved up, around INR 15 crores run rate in this quarter, so are we peaking out, I mean, in terms of the run rate? Or should we expect further inflation in this given that you have previously also highlighted the technology intensive nature of the business?

And on the other expense increase, if you could highlight, in the stand-alone business, what is driving that? I understand that with some inter-KRA charges, KYC in subsidiary, but in the stand-alone business, what is driving that? That's all from my side, sir.

Nehal Vora: Okay, thank you. On your first question, on IPO and corporate actions, it's kind of market-driven,

so it's kind of difficult to predict. And we don't give any future reference points, so we would not be able to kind of give a picture of the future. That's for you to assess.
Central Depository Services (India) Limited
November 01, 2023

Page 5 of 17

Your second question was on the KRA charges, on fetch, and so I think it's broadly driven by the buoyant market conditions; number of demat accounts growing; and participation growing both in terms of delivery, volumes; etc. We don't generally give the bifurcation on how much is fetched versus creation it's a consolidated number. Sorry, your third question was?

Swarnabh Mukherjee: Sir, before that, if I could just ask you. Even if a quantifiable number this is possible, but if you could maybe some highlights whether this is relatively more fetch because -given their usual penetration on the other financial products are also increasing, etc. So I mean, is that an outcome of this? So...

Nehal Vora: Again it's difficult to predict what has caused this outcome. It's kind of the overall buoyant market conditions. What has led to whether it's fetch or increase in KYC creation? It's a culmination of variety of factors and it plays one upon the other, so it's difficult to give an answer which would be absolutely give the reason. It's a multiplicity of factors which leads to this, and hence, we are not able to give you a specific answer on that.

Swarnabh Mukherjee: Okay. Sir, on the previous question, on the IPO and corporate action, I don't want to have forward-looking guidance, but if you could at least give us a breakup between how much is due to IPOs and how much is due to other things which will at least on a year-on-year basis...

Girish Amesara: Yes. So basically this is IPO, corporate action, the head itself is based on the IPO that comes in the market, so it is totally market-driven activity. Higher number of IPOs, we will be able to process higher number of...

Swarnabh Mukherjee: So it's mainly due to IPOs.

Nehal Vora: Your answer is right.

Girish Amesara: So basically that's the answer.

Swarnabh Mukherjee: Okay, all right, sir. On the costs, if you could...

Nehal Vora: The costs. On technology, cost is something which is constant for that. We are growing in number of accounts. We have to plan and this is kind of a market infrastructure company, so it has to plan for the rise and growth. And then infrastructure takes time. And technology infrastructure, especially, needs to not only be built with what the current trends are but what are the future sophistications which are coming into the market, so it's going to be a constant investment which we will continue to do as we move forward.

This will be in sync with what is expected both from the regulators and the market, to ensure that we are able to give the best-in-class performance as we move forward. In terms of other expenses, I'll ask Girish to answer that...

Girish Amesara: See,

largely the other expenses, if you look at our cost structure, payment to SEBI is again related based on my profitability and billing done for annual issuer income. So higher the profitability, higher the income, there will be higher cost on these accounts. Again if you look at inter-KRA
Central Depository Services (India) Limited
November 01, 2023

Page 6 of 17

expense, it could be directly proportionate to the business, the earnings that I do on a top line in terms of KRA income. Proportionately there will be higher KRAs, inter-KRA charges. Having said this, certain costs will move in proportion to the movement in the income.

Swarnabh Mukherjee: Okay, sir. So on the regulatory bit, you what we said, other expense or I was talking in terms of the split that you have given in the presentation, where I think the regulatory cost is booked separately. So excluding that, I was kind of interested in understanding for the standalone. So for the KYC KRA, we have an understanding. For the remaining business, ex of regulatory cost was what I was pointing towards.

Girish Amesara: So the regulatory cost largely is on account of CDSL, okay? And these are driven by the regulation, so we can hardly do anything about it.

Swarnabh Mukherjee: Yes. So sir, outside that, if the breakup you have given. So there is one regulatory cost. The other hand is other expenses, which has moved from last quarter at INR 41 crores to this quarter at INR 52 crores. And I think in fourth quarter it was at INR 30-odd crores, so I wanted to understand that movement, if you could help me.

Girish Amesara: See, this being second quarter, okay, our e-voting business would also have cost equivalently incurred. So e-voting expense are there. Then we have consolidated account statement related expenses. Then such kind of expenses are there, which would be there in second quarter mostly because the income corresponding is higher in the second quarter.

Swarnabh Mukherjee: Understood. So it is largely granular. There is nothing lumpy about it...

Moderator: Next question is from the line of Amit Chandra from HDFC Securities.

Amit Chandra: Sir, my question is on the account addition, demat account addition. So obviously we have seen a lot of traction coming back in terms of the additions. And it has gone to the, I think, peak levels, but if I see the revenue per demat, it has been coming down. And if I see the revenue per incremental demat, it is also coming down, so how do you see the, like, newer account additions that are happening? So these are not contributing much to revenues, so how do you see this? And secondly, on the private companies demat opportunity that has come up recently there are around 14 lakh MCA-registered private companies. And taking the lowest slab, that comes to a bigger opportunity, so is there any timelines in terms of these companies getting, like, demat-ed? So if you can provide some overview on that.

Nehal Vora: On the first question, Amit, it's more of the building blocks getting created in terms of number of demat accounts. How the investors will react to as a group or as a collective group will be dependent on how the market conditions are, etc. See, we are in the business of creating the right building blocks. So for the people, to invest whenever there is an opportunity for them to, they would like to really invest.

And that for me is the biggest victory, that from a financial inclusion standpoint, more and more people are coming into the ecosystem. And that will kind of play out over the long term, so we
Central Depository Services (India) Limited
November 01, 2023

Page 7 of 17

are not on a quarter-to-quarter game plan that will be the revenue increase. It's more of a long-term sustainable game plan creating the right ecosystem and creating the right building blocks for us to take it forward from there. So that's the answer to the first question. On the second question: M

CA has just recently put out this regulation. I think the timelines are given by September, 24, if I'm not mistaken. So I think we are anyways, have been doing this for a long time, so from a technology and system point of view, we are ready to go. It's for them to now kind of really kind of approach the depositories for taking it forward.

Amit Chandra: Okay. And sir, on the e-voting and eCAS revenue, if you can provide the breakup. What was the e-voting and eCAS revenue in this quarter? And also, in terms of the private company opportunities, obviously the timelines is of September, but is there any incremental cost that will incur or any incentive schemes that we earlier used to have incentive scheme for getting companies because we have a lowermarket share there. So are there any plans of investing in that piece?

Nehal Vora: So the first question, I'll ask Girish to answer, but the second question is on the incentive schemes, see, we have been very transparent. And that's been the foundation of our entire ethos, so whatever schemes we have, we put it out on the public domain. And I think it's the costs will be a function of, as more and more people join the ecosystem, the technology infrastructure has to be enhanced, in sync with the increased participation, and to ensure that the service levels remain of high quality.

And therefore, there will be a constant assessment done and a constant investment done as to what is necessary and required to be put in from a technology standpoint. So again I would like to repeat that we are not in a quarter-on-quarter target point of view. We are more on a long-term sustainable business. We are in that business of creating a market infrastructure like building a road and the value proposition will then kind of come over a longer period of time. So that's how we see ourselves as we move forward. First question, I'll ask Girish to answer.

Girish Amesara: So the eCAS income for the quarter is INR 7 crores, as against INR 5.5 crores in the same quarter previous year. E-voting stood at INR 15 crores in this quarter, as against INR 14 crores in the same quarter previous year.

Moderator: Next question is from the line of Prakash Kapadia from Anived Portfolio.

Prakash Kapadia: Most of the questions are answered. I just have one question. If I look at annual issuer charges, they are at the run rate of around INR 63 crores, which is a huge bump-up on a year-on-year basis. Even last quarter, I think we were at this rate, so if you could give us some qualitative flavor on what is leading to this. Is it larger unlisted company revenues? Is it more folios given buoyancy of capital markets? Is there some pricing impacts? If you could give us some flavor.

Nehal Vora: See, pricing impact is obviously put out in the public domain. It's there is no change there, but it's a combination of both the first 2 factors. It's the increased number of private companies coming in into the fold as well as number of folios increasing which leads to this increase to take
Central Depository Services (India) Limited
November 01, 2023

Page 8 of 17

place, so the point is that, as any growth is concerned, our endeavor is to have multiple touch points to ensure that the growth remains very sustainable.

Prakash Kapadia: Touch points in terms of business development activities where we are ready for the opportunity as it comes is what you are hinting at, Nehal...

Nehal Vora: No, both things, also ready from a technology point of view but also ready from an ecosystem point of view, that as more and more opportunities come and multiple sources of this, whether it be folios, whether it be private limited companies. So there are multiple sources of how the revenue would grow. So based on that, that is basically how we are planning ourselves.

Prakash Kapadia: Okay. And if it's possible to just quantify the revenues from unlisted companies maybe at the year-end or in the first half

, if you can just share a number...

Nehal Vora: We generally don't share these numbers, so it will be difficult for us to do that.

Moderator: Next question is from the line of Paresh from Club Millionaire.

Paresh: Nehal, congratulations to you and your entire team for a fantastic performance yet again. Most of my questions, I mean, have been answered, but really a couple of clarifications. And before I ask, Girish, clarifications on the financial numbers: Maybe you have thoughts on the demat...

Moderator: Paresh, we are losing your audio.

Paresh: Yes. So Nehal, maybe again on the larger question, longer-term question. You're having all the financial assets in one place. Where are we in the journey? We've seen what the private companies, the private listed companies, from these announcements that come through. A clarification on that: What will define a small company? And the newspaper article mentions the number of small companies is just about 50,000 out of, say, 13 lakh, 14 lakh companies which are on the private space. A clarification on that. What will be the definition?

Nehal Vora: So we have to wait and watch because the regulations have just come in. The rules are yet to be notified, so I think that is going through the process. And we are also kind of really examining this, but that intent is that it's like any regulatory approach, it's basically a top-down approach where the larger companies are first subjected to the reform.

And then as the success grows, the knowledge grows, it's kind of the meter would go to the remaining part of the group. So that's really the intent behind and that is how they have gone about doing this.

Paresh: Okay. So Nehal, on the other asset classes basically, whether it's insurance, whether it's commodities or whether it's mutual funds, any update on what is the progress? Or any other what's the update on that?

Nehal Vora: So insurance is, anyways, permitted through our subsidiary, insurance repository. The mutual funds are on a voluntary basis. And I think the important thing from an India point of view and Central Depository Services (India) Limited

November 01, 2023

Page 9 of 17

that's how we look at ourselves, that for us, India is the prime most focus. It's that there's a unique identifier of PAN and PAN-Aadhaar combination which kind of gives it that unique identity.

So if it needs to get aggregated at some point and even the account aggregator system is something which has also been rolled out. So that will give a lot of information and data on the investor to kind of pull for his or her consumption and for further analysis. And that's how we will see how the system evolves, matures and is taken forward, but the right building blocks have been created to create a very strong foundation on which this entire structure can be built.

Moderator: Paresh, sorry, but we are losing your audio...

Paresh: Yes. Really just wanted to seek clarification whether you started charging the account aggregator in terms of a full basis for the information that they seek?

Nehal Vora: Not yet.

Paresh: Okay. And then just some questions to Girish as well. So Girish, our revenues and profit both have grown by 35%, but actually other expenses grew by about 44%, so do we have any one-off on those expenses?

Girish Amesara: No, there are no one-offs in the expenses.

Paresh: Okay. And then regarding the SEBI charges, Girish, I saw that that's gone up by 50% even though the revenues from our depository side, just up to 33%. Has there been any change? Or what actually led to a faster growth in SEBI fee this time compared to our depository revenues?

Girish Amesara: See, SEBI fees are basically based on the collection and not revenue. So if we have collected, say, revenue of previous year or before 3 years, then we have to pay 2% of those collected amount to SEBI. So basically that's the reason how it works.

Paresh: Can you clarify that once again, Girish? For

some reason, I don't understand. I thought the percentage of the revenue...

Girish Amesara: The SEBI circular specifies that, whatever annual issuer income that you levy to your customer,

you collect that and whatever is the collection amount, 2% has to be paid to SEBI as a fee. Now suppose in this financial year we have collected, say, for previous year or previous 2 years. So the incidence of fee would happen in this year.

Paresh: Okay, sir, understood. So whatever the pending receivables are, they get added on this year, okay. And...

Girish Amesara: Yes, So basically our collection has improved. That's the answer.

Paresh: Understood, Sir, have you had any write-backs because of that because you normally provide for the annual issuer charges?

Girish Amesara: No.

Central Depository Services (India) Limited
November 01, 2023

Page 10 of 17

Paresh: Okay. So Girish, just one more clarification on the same thing. For example, when there are transaction charges, charges, does it need to be included and be part of the SEBI fees, right?

Girish Amesara: No, only annual issuer fees.

Paresh: Only annual issuer, okay, okay.

Moderator: Next question is from the line of Supratim Datta from Ambit Capital.

Supratim Datta: Sir Nehal, for the first question. If I look at your employee costs and I am talking about the stand-alone business. The employee costs have stabilized vis-à-vis the first quarter. Should we assume this to be the run rate going forward as well? So that's the first question before I go into my other questions.

Nehal Vora: I think it will be difficult. We don't give forward-looking statements, but the important thing is that this is a specialized business. We need really the specialized personnel. And as we embark on our growth journey, we will need to kind of earmark more and more people also. Besides the technology increase, even the human resource needs to be enhanced to ensure that it's able to handle the increased growth.

Supratim Datta: Okay. On the MCA and the notification by MCA. So, like, people, before me also discussed. There are around 14 million, 15 million companies -- 14 lakh companies, 14 lakh, 15 lakh companies. How out of this, how many would fall into this bucket of above INR40 crores turnover? Do you have any sense around that?

Nehal Vora: We are yet analyzing this. It's just come in, but it will be the small companies which are kind of out of this embed. I don't think that number is there at this stage, but this is something which we are analyzing, so I will not able to give you a definitive answer at this stage.

Supratim Datta: Got it. And typically we have seen that unlisted players have gone with NSDL, as compared to CDSL, so are you working on certain aspects to better target these companies as and when they come for demat services?

Nehal Vora: As I've said earlier, I'm not in a quarter-to-quarter game. I'm not in a competition game. I'm gearing for a long-term value proposition for India. And that has been our thoughts as a management team, that you prepare. you put across a platform which gives the best-in-class services to the people and let the market choose whichever is the better platform. Like we've seen in demat accounts, we were lower. We've increased. That has been the culmination of a long-term strategy. Same thing is what we will follow in this particular space also.

Supratim Datta: Got it, got it. And last question from my side: So on the KRA charges, could you give a breakdown of how much of this will be coming from mutual funds and mutual fund account opening versus the demat account openings?

Nehal Vora: We generally don't give that number. I'm sorry I'm not able to show it.

Supratim Datta: Okay, but could you give a broad sense about which would be the bigger...

Central Depository Services (India) Limited
November 01, 2023

Page 11 of 17

Nehal Vora: We generally do not provide this. .

Sunil Alvares: So it's actually d

ifficult to say because there are many brokers who offer credit of mutual fund securities in the demat accounts. So, it will be difficult to say whether a broker is creating / fetching a KYC record for a mutual fund investment or for any other investment. or both.

Supratim Datta: Got it. And final question from my side, on the insurance repository business. One of your peers is working on launching an app which would not only be an insurance repository but provide additional functions as well, as in you could have all your policies at the same place and other services, so are you also looking at enhancing the service? How are you thinking about that business ecosystem...

Nehal Vora: We have a new management team now. We have a new MD and CEO who has joined the insurance repository, and he would be driving the entire strategy. I am pretty confident he will

be driving basically the digital journey, so that is something which we'll have to see in future.

Moderator: Next question is from the line of Arushi Shah from Sushil Financial.

Arushi Shah: Just one question from my side. The transaction in our financial performance consolidated, which has increased substantially from Q1 to Q2 because of new accounts are being opened or the absolute charges have increased, if you could throw some light on that?

Nehal Vora: So we don't charge anything for account opening. It's only on debit transaction that we charge.

Arushi Shah: Okay. Sir, what I meant that since new accounts are being opened to like per account, whatever per transactions, what we charge. So since more transactions are...

Nehal Vora: I'm just coming to that. So therefore, it's a culmination of both existing as well as new investors.

And that can be showcased as I have given the industry highlight as to how the daily traded volume, the delivery volume, etc., is growing quarter-on-quarter as compared to the last quarter.

That kind of showcases the increased participation. But difficult to bifurcate between whether this is from new investors or from old investors. It's a combination.

Arushi Shah: Okay. And also like per transaction or meeting our transaction charges have in absolute terms, like if you are charging INR 1, we charge INR 1.5, something like that?

Nehal Vora: We've actually brought it down.

Arushi Shah: Okay. So it's reduced.

Nehal Vora: We have actually have introduced additional layer of transaction charges. We have a layer-based transaction based on your slab. So we induced a lower slab.

Arushi Shah: Okay. So more like a volume play, right? That's the correct what you read?

Nehal Vora: Yes. So more the volumes, the lower the charges you pay.

Central Depository Services (India) Limited

November 01, 2023

Page 12 of 17

Moderator: Next question is from the line of Miraj from Arihant Capital.

Miraj: Congratulations on a great set of numbers, sir. I have 2 questions. The first one is regarding the announcement that came some time ago regarding the settlement, T+1 hour settlement which this SEBI aiming to do by January and later subsequently by October, they are planning a instant settlement. I wanted to understand that any infrastructure layout that needs to be put up the expenses are supposed to be done by us? If yes, then have we incurred anything in this regard yet?

And secondly, I wanted to understand that, is this play i.e. idea of introducing T+1 hour settlement more towards increasing volumes? Or is there any other goal for this? And this was my first question, sir.

Nehal Vora: Yes. So this is going to be a constant process of investment. As reforms happen, we need to kind of --? and each market infrastructure institution will have to incur its own cost of implementing these changes and whatever share is of both CDSL and NSDL will have to incur it themselves.

So that's something which is something. The intent is it's going to be on an optional basis. It's very clearly put out by the SEBI, is giving more

power to the investor to choose. And if him. he

or she would like to get instantaneous settlement, moving towards an instantaneous settlement, thereby reducing basically the risk which is there in the system, where he or she can get the funds immediately.

So it is moving, given more products for the person to opt for. Somebody can offer a T+1 or T+0. And finally, moving to instantaneous settlement.

Miraj: Understood, sir. So in this regard from our end, have we incurred any expenses yet to set up T+1 hour or instant?

Nehal Vora: Yes. It's a constant process, as I said, that we will have to evaluate as we are in a constant process of investment. Our technical team is obviously working to ensure that it is able to be satisfied timelines, which would be prescribed by SEBI in this regard.

Miraj: Understand. And my final question, sir, is that on the annual issuer charges revision part, if I'm not wrong, it is currently 11% annual issuer charges. Has there been any discussion on the revision part?

Nehal Vora: Not yet. It's a constant process. So we've not yet and we generally don't discuss our regulatory matters in this forum. So that's something which is a separate discussion.

Moderator: Next question is from Santosh from Kesari Finance.

Santosh: Thank you for such a great set of numbers. I have 2 questions. One is that typically, the number of additions that we are seeing in the demat account. So looking at that, if you can share what incremental revenue we get out of every demat account that's gets? Because typically, a customer is getting charge something like INR 500 if my understanding is correct, but some brokers do not charge as much. For example, Zerodha charging just INR 200. So we are not getting a sense,

Central Depository Services (India) Limited

November 01, 2023

but how much is the CDSL revenue from each incremental demat account that comes? If you can just throw some light. .

Nehal Vora: We don't charge anything for retail. So for retail it is completely free. And for the nonretail corporate accounts, it's about INR 500 a year.

Santosh: Okay. So by retail mean the?

Nehal Vora: Yes.

Santosh: Do you want to divided it from me?

Nehal Vora: Yes.

Santosh: And corporate is private sector -- private companies or FIIs and things like that, right?

Nehal Vora: Yes.

Santosh: Okay. So for anything that you don't charge for demat because you're providing such a valuable service to investors and it's free as you have been saying and maintaining all along. It's such an infra, such a big, huge infra or this. Then any reason that we are not charging, is there a bar from SEBI?

Nehal Vora: No. from SEBI. It's more to do with our responsibility towards a country also. We are kind of contributing to financial inclusion. And whilst commercial aspects are critical, but also the market development is extremely critical as a theme for us to continuously grow and our contribution to enhancing the sophistication of the securities market in India.

And that's one of the reasons why we want more and more people coming into. Today, CDSL is there at 98% , - 99% of the pin codes in India. And there has been a growth which has taken place in terms of number of demat accounts. We want more and more people to join this ecosystem.

So therefore, the entry is kind of remains, especially for the retail. We are trying to kind of really encourage more and more people to join the ecosystem and hence, there is no charge.

Moderator: Next question is from the line of Sanketh from Avendus Spark.

Sanketh Godha: Sir, again, this question of private companies mandatory to be done of the shareholders, you probably on about the number of companies, which are less than INR 4 crores credit capital of INR 40 crores turnover. But in your guess, how much that will be, if you have any wild guess on that one? And then second, your are is INR 2,500 on the unlisted company. Is such a big volume come

, whether we can see downward pricing pressure from INR 2,500 to come down, which could have an impact on the potential revenue realization? That's my first question. .

Nehal Vora: So on the first part, I would not like to give any wild answers. I would like it to go through a proper working before I can reveal that, I'm not able to give any numbers on what are the numbers. In terms of the pricing, it's a function of various things. And anyway, the depository pricing is approved by SEBI also. So in terms of that, it will go through its own process. I think Central Depository Services (India) Limited
November 01, 2023

it's a fairly low chart our in-house helps get paid probably more than this. So I don't think a company should have a problem in kind of paying up the charges. They are very, very, very less and nominal.

Sanketh Godha: Got it. And the second question, what we have said -- what I have is that income, which has done in the current quarter. So there seems to be a very strong correlation when the IPO activity is very strong in the year or in the quarter. Then when we see a very bump up in KYC income.

Sir, just wanted to understand, out of the INR 59 crores of KYC income, how much you can attribute to -- or directionally, how much you can attribute to the IPO activities? If it slows down a in subsequent quarters, we will see a moderation in the KYC income?

Sunil Alvares: Actually, that's going to be difficult because when an entity fetches a particular record, creates a particular record, we have no clue whether it is because of an IPO or because he's using it elsewhere. So that is something we will not be able to track.

Sanketh Godha: But is it safe to assume that activity has a meaningful impact on the KYC income growth, right?

Sunil Alvares: Because IPOs will add to the number of demat and...

Nehal Vora: But again, it's difficult for us to predict that it's because of IPO or it's because of other factors.

It's basically the participation in the securities market will cause this impact to occur. Now the participation is due to IPOs or due to secondary markets or due to mutual funds is difficult to predict in the future. And that's why we are really unable to see.

Sanketh Godha: Got it. Got sir. And 2 data-keeping questions. I think in the past, you have disclosed these numbers. First is on impairment cost, which has happened in the current quarter. Second is pledge income. And then third is also charges from unlisted entities.

Nehal Vora: I'll ask Girish to answer.

Girish Amesara: I think we are not disclosing the unlisted annual issuer fees. But yes, margin pledge, we are disclosing. We have achieved INR 4.19 crores income during the quarter. And with to

impairment, value is INR 3.3 crores in this quarter.

Sanketh Godha: Okay. So it has gone up compared to last quarter, right? It was INR 1.7 crores. So is it due to any specific reason? Or is this conservative...

Girish Amesara: If you understand the ECL requirement on the provision, it is basically based on the history of the collection. Now in one quarter, there could be higher collection. And because of that, there could be a lower charge. So it will not and we cannot derive any fixed formula for that, yes, in this quarter, the cost will remain the same. And accordingly, we can make predictions. That would not be possible to do it for impairment.

Moderator: Next question is from the line of from Sundram Mutual Fund.

Sundram: One question. You mentioned that online charges are dependent on the demat account offering, delivery volumes and IPOs. So if I do a sequential comparison, demat has gone by 9% and

Central Depository Services (India) Limited

November 01, 2023

Page 15 of 17

delivery volumes by 41%. However, online charge is up about 80% growth sequentially. So the gap, can I assume it to be IPO driven?

Nehal Vora: Yes, you can possibly take that as your derivation, but we it's diffic

ult to, again, predict that

whether it is only because of this factor, there are multitude of factors which happened which play upon that because one can impact the other factor also. But as a broad thumb rule, probably what you have analyzed, you can take that.

Girish Amesara: Just one clarification. The income due to the delivery volume correlation would be for the depository business and not KRA business.

Moderator: Next follow-up question is from Swarnabh Mukherjee from B&K Securities. .

Swarnabh Mukherjee: Yes. So on similar lines of, I just wanted to understand if I look at the growth in the number of demat accounts there in first quarter versus second quarter, that growth is around 55%. So given that, that revenue moved close to 80%. So I could not understand what is the difference of around 20%, 25% remaining growth. So some highlighting some on that would be?

Nehal Vora: It's overall the market activity, because whatever are there we charge for the debits, we charge for the margin pledges, we charge for corporate actions so it's again a multitude of factors. so one-to-one correlation on the factors is difficult to do because it's a culmination of these transactions which lead to whatever is the income which is really drawn out of that.

Swarnabh Mukherjee: Sir, just to clarify, for or the online data are, we only book the revenue from the KYC business, right? Or is there anything else also?

Girish Amesara: That's right.

Nehal Vora: That's right. That's right.

Swarnabh Mukherjee: Yes. So I'm not sure -- I'm not getting how transactions are this will a transaction and we it will also benefit the if you could explain?

Nehal Vora: No, it depends on how the tech takes place. And what -- whether that will lead to a debit, whether he has transacted in 1 stock or 5 stocks or 50 stocks or 100 stocks, that's difficult to predict. And whether that will lead to revenue, whether that is done through 1 account or through many accounts. So, whether the fetch for many accounts will be much more. If it's one account fetch, it will be less but all the transaction income will be more. So therefore, 1:1 correlation is not possible. That is the point I was trying to make.

Swarnabh Mukherjee: Okay, sir. I'll take this off-line for.

Moderator: The next follow-up question is from the line of Santosh from Finance.

Santosh: I just wanted to know that what is the market share of CDRL in the business site?

Nehal Vora: CDRL?

Central Depository Services (India) Limited

November 01, 2023

Page 16 of 17

Santosh: Sorry, your KYC business, CDSL, right? CDSL Ventures.

Sunil Alvares: The figures are, but our estimate is about 65%.

Santosh: 65%. Okay. But our will be.

Nehal Vora: That not only an estimate. So I think that should be very clear.

Santosh: 65%. So are you going to increase your market share and decreasing market share over the past year or so?

Sunil Alvares: It's been more or less constant.

Moderator: The next follow-up question is from the line of Miraj from Arihant Capital.

Miraj: Sir, just a follow-up on the same point I had earlier regarding the T+1 settlement. It is planned to be implemented from January onwards. So is there any circular on it that SEBI has released? Or is this just -- is there any discussion paper or anything on that?

Nehal Vora: Yes, we should expect something. There will be a circular to that effect or discussion paper. I will not be able to comment on how the regulator will do it. But there will be a formal kind of an announcement. So what will be the time lines, etc, based on that.

Moderator: Next question is from the line of Sanket Godha from Avendus Park.

Sanketh Godha: One small data-keeping question is how many capital market records we have last ended up with around INR 5.5 crores number. What it would be today?

Nehal Vora: All right. The question is not clear. What do you mean by capital market record?

Sanketh Godha: The KYC records what you have with

you, which was around INR 5.5 crores?

Sunil Alvares: At the end of September quarter, we had about INR 6.1 crores.

Sanketh Godha: Okay. Perfect. And the second question, sir, was, again, a simple question that given in the current year, promoters did a lot of selling which means that the number of folios probably at the retail level will increase. So that benefit might not be reflected in the corner, right, because what you have charged on an issue is based on last year number of full years. So that benefit should flow in FY 25 as the number will increase. So my understanding is right there, sir?

Nehal Vora: Again, I'm not able to predict how this will pan out over the next course of the next 2, 3 quarters. It's only compared at the end of the year as to how many folios are there. Again, these are forward-looking statements, so we don't give any forward-looking statements. So I'll not be able to give a specific answer on this.

Sanketh Godha: Got it, sir. Actually, it was to understand directionally that we...

Central Depository Services (India) Limited

November 01, 2023

Page 17 of 17

Nehal Vora: I understand what you are saying, but my point is that tomorrow in the next quarter, there could be a reversal which could happen. Promoters start buying more and the retail starts selling. So how will I tell you that whether this is wrong, right, etc. So again, it will be what is at the end of the year the folios that the formula will be applied as per the numbers on that.

Moderator: As there are no further questions, now I'd like to hand the conference over to Mr. Nehal Vora for closing comments. .

Nehal Vora: So I'd like to thank all the people for their questions and the participation. Please stay safe and well. Thank you.

Girish Amesara: Thank you.

Moderator: Thank you very much. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Feb 2024

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CDSL/CS/NSE/RG/2024/ 37 February 13, 2024

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on February 07, 2024

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Madam/ Sir,

This is with reference to our intimation dated January 31, 2024 , for scheduling of
Conference Call on February 07, 2024 , please find attached the transcript of the aforesaid
Conference Call.

The above information is also available on the website of the Company:
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Group Company Secretary & Head Legal
ACS No.: A20586

Encl: As above

Page 1 of 16

Central Depository Services (India) Limited
Q3 FY '24 Conference Call
February 07, 2024

Management: Mr. Nehal Vora–Managing Director and Chief Executive
Officer– Central Depository Services (India) Limited
Mr. Girish Amesara – Chief Financial Officer – Central

Depository Services (India) Limited
Mr. Sunil Alvares – CDSL Ventures Limited
Mr. Swaroop Gothi, Financial Controller

Moderator: Mr. Amit Chandra – HDFC Securities

Central Depository Services (India) Limited
February 07, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to CDSL's Q3 FY '24 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL's outlook for future or which could be constituted as a forward-looking statements must be reviewed in conjunction with the risks that the company faces.

I would now like to hand the conference over to Mr. Amit Chandra from HDFC Securities.

Thank you, and over to you, sir.

Amit Chandra: Yes. Thank you, operator. So good evening, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 3 FY '24 Earnings Call. Today, we have with us the management team of CDSL represented by Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, the CFO, and other senior leaders. And we will start with a brief overview of the quarter given by Mr. Nehal, and then we will start with the Q&A.

Thank you, and over to you, sir.

Nehal Vora: Thank you, Amit. A very, very good afternoon to everybody. I trust all of you are well, safe and in good health. Thank you for joining us today to discuss CDSL's financial results for the third quarter of the financial year '23-'24. For your convenience, we have provided a comprehensive investor presentation on our website. I'm joined by the CDSL Group's leadership team.

I'd like to begin by highlighting some key aspects of the securities market before going into our company's performance. Commencing with the broader industry landscape, the retail equity average daily turnover saw sequential quarter-on-quarter increase of about 4%. Notably, December was a good month with a remarkable 50% growth compared to the preceding months of November and October.

In line with CDSL's efforts towards enhancing ease of business, we introduced a new series this quarter such as the facilitation of ASBA in secondary markets, multilingual CAS and chatbot services in 4 languages. Investors now have the convenience of accessing their Consolidated Account Statements, CAS in the preferred language among the 23 operating languages in India, while our chatbot service currently is in 4 languages.

So basically, all these initiatives are aimed at promoting the concept of financial inclusion and really access to all. Our overarching goal is to make the capital markets more accessible, convenient and secured for both retail and institutional investors. As we move towards our silver jubilee, we remain steadfast on our commitment towards our efforts towards enhancing trust in the financial ecosystem and really empowering Atmanirbharta amongst the securities market

Central Depository Services (India) Limited
February 07, 2024

Page 3 of 16

investors. The sustainable financial growth has been a byproduct of our effort towards simplifying the entire journey and enhancing market accessibility for all.

I will request our CFO, Shri Girish Amesara, to take you through the financial performance.

However, before I hand it over to him, I would like to express our gratitude to all our stakeholders, the beneficiary owners, the depository participants, issuers, regulators, employees and other market participants for their support in ensuring CDSL continues to grow. I additionally extend heartfelt appreciation to our investors whose trust continues to drive us forward. Our focus remains on creating value for all our stakeholders and enhancing the

Indian

digital capital market ecosystem.

Thank you for your continued support and trust in us. I'll now hand it over to the CFO, Shri Girish Amesara.

Girish Amesara: Thank you, Nehal. Good afternoon to everyone. I'll first speak on the consolidated part. So on a

quarterly performance on consolidated, the total income for December quarter has increased by 47% to INR236 crores as against INR161 crores for the same quarter during previous year. The net profit for the quarter ended December '23 is increased by 44% at INR107 crores as against INR74 crores for the same quarter during the previous year.

Now for 9 months ended December, on a consolidated basis, the total income has increased by 34% to INR640 crores as against INR477 crores in the previous 9 months. The consolidated net profit for the 9 months has increased by 36% to INR290 crores as against INR213 crores of the previous 9 months.

Now I'll speak about stand-alone. The stand-alone quarterly total income for the December quarter has increased by 40% to INR186 crores as against INR133 crores for the same quarter during the previous year. The net profit for the quarter ended December is increased by 37% to INR86 crores as against INR63 crores for the same quarter during the previous year. On a 9-month basis, on a stand-alone basis, the total income has increased by 25% to INR538 crores as against INR431 crores in the previous 9 months. The net profit on a stand-alone basis for the 9 months has increased by 21% to INR266 crores as against INR220 crores.

Now I shall request Shri Sunil Alvares to give an update about operation of the wholly owned subsidiary, CDSL Ventures Limited. Thank you. Over to you, Sunil.

Sunil Alvares: Good evening, and welcome to this call. To give you a brief about CDSL Ventures' financial performance, the operational income increased by INR 38 crores to INR114 crores as against INR76 crores for the 9-month period ending December 31, which was an increase of about 50%. The total income increased to INR128 crores as against INR84 crores in the same period last year, which was again an increase of 52%. The total expenses increased by 51% from INR35 crores to INR53 crores. And the profit after tax was at INR56 crores as against INR35 crores, which was again an increase of 57%.

I now request that we can have the Q&A session so we can start with the questions.

Central Depository Services (India) Limited
February 07, 2024

Page 4 of 16

Moderator: First question is from the line of Prakash Kapadia from Anived Portfolio Management Private Limited. Please go ahead.

Prakash Kapadia: Yes. A couple of questions from my end. If you could give us some sense on what is the year-to-date capex on technology in FY '24. Secondly, if I look at other expenditure, it is up 52% for the quarter. Any one-offs in this?

And Sunil mentioned about the growth. So if I look at the subsidiary growth, the KYC business, you've seen a 50% growth in the 9 months. So what has changed? Has pricing helped? Is it more volume? Is it the low base of last year? If you could give us some sense.

And just one data keeping question, if we can have the breakup of e-CAS and e-Voting charges for the quarter. These were my questions.

Nehal Vora: I'll just ask Girish to answer 3 questions pertaining to CDSL, and then Sunil can answer CVL.

Girish Amesara: So to start with your first question on the capex, we have incurred around INR20 crores towards capital expenditure on technology. With respect to the breakup of the other income, CAS is around INR10 crores in this quarter, e-Voting income was achieved at INR3 crores in this quarter.

Prakash Kapadia: Okay, understood.

Girish Amesara: Other expenses if you look at, largely the mix is almost equivalent to what it was in the last quarter. But if you look at the increase in operating income, it has led to increase in various variable expenses, like payment to SEBI and related exp

enditure, other operational expenses like SMS alerts, etc., which are in line with the increase in operating income.

Prakash Kapadia: No one-off. It is just the volume growth...

Girish Amesara: It's largely on account of volume growth.

Prakash Kapadia: Right, understood.

Sunil Alvares: On the CVL front, again, it's more because of the volume growth. So if you see the number of demat and broking accounts which have been added in this financial year, it's much higher compared to the previous financial year in the same period. So as the number of accounts increase, it has a direct impact on the KYC because each account requires a KYC to be done. So I hope that answers your question.

Prakash Kapadia: Okay, fine. I will come back if I have more questions. Thank you.

Sunil Alvares: Thank you.

Moderator: Thank you. Next question is from the line of Siddhant Dand from Goodwill. Please go ahead.

Central Depository Services (India) Limited
February 07, 2024

Page 5 of 16

Siddhant Dand: Yes. I just had a question about the term limits of the MD. So will you be throwing your hat in again for the second term?

Nehal Vora: The rule is that one term can be of 5 years and maximum of 10 years. So I am currently eligible for another term. So we'll see how the process goes.

Siddhant Dand: Okay. Second question was you rightfully shared the number of accounts. But because we are seeing a lot of double and triple accounts being opened by people, is it possible to share the number of unique PAN holders at some point?

Nehal Vora: We don't share that as part of our public domain. So we continue to whatever we have already shared.

Siddhant Dand: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yes, so thanks for the opportunity. So my question is on the unlisted opportunity that you have spoken last time. So what's the progress on that? And have we done any analysis based on the new rule? What is the kind of potential, or the company is eligible for the unlisted? And from when we can see that coming in the revenues?

Nehal Vora: So the law is that if there are any changes in the promoter holding or any raising or any transfer of holding or raising of capital for private companies which has INR40 crores turnover or INR4 crores of share capital, and that is going to come in by September of '24. So we'll have to see how it pans out. We are engaging the right stakeholders to ensure that any queries, etc., are getting addressed. But towards September, we'll come to know and only when there are changes in the share capital or any transfer, then only it's required. So we'll see how it goes.

Amit Chandra: Okay. And sir, the second part of the question would be on the overall costing part. So obviously, we are investing in the business, and there's also some SEBI or regulator-related things that we have to do. So that is scaling up our expenses. but if you see in terms of the expense per employee or our overall expenses, that is around 30% to 40% higher than what the competition is doing. So is it that we are under-invested and still we have to increase our expenses overall at a higher rate? Or we can say that most of the investments are now behind and we can grow the expenses will grow along with the revenue or indexed to inflation?

Nehal Vora: So Amit, as I've told earlier, we are like infrastructure companies building like a road. So ensuring that the right kind of technology and people, these are kind of the specialized on both accounts are required. So we'll have to continue to invest in both to ensure that we get good value proposition to the clients, customers and to the securities market at large.

And so it will be a function of that. It's difficult to forecast, anyway, we don't give any forward-looking statements. but the intent is to ensure that the value proposition continues to remain, the

C

entral Depository Services (India) Limited
February 07, 2024

Page 6 of 16

platform continues to be kind of a preferred platform, and that is going to be our intent, and to ensure that it is safe, convenient and secure.

Amit Chandra: Okay. And sir, lastly, on the newer opportunities, obviously, we have some areas where we can see some potential in terms of revenue. So insurance is like one of them. Apart from that, can you identify any other areas which can be big in the coming years? Or is it work in progress right now? Or if you can throw some light on that.

Nehal Vora: Again, it's forward-looking statement. So we kind of not give a firm reply. But the overall intent is to ensure that India remains securities market infrastructure sophisticated and really top notch, so more and more people can link up, participate in the securities market seamlessly. And as and when the regulators permit newer kinds of asset classes to come in, we are in terms of an infrastructure provider, be ready to kind of take that on.

Amit Chandra: Okay. And sir, my last question is on the online data charges. So is there a flat fee in terms of creation and fetch for all the DPs? Or is there a slab that we operate there? And what would be the range in terms of discounts that we give to the larger members there?

Sunil Alvares: We have a flat fee. But so far as discounts are concerned, we don't discuss it in the public domain.

Amit Chandra: Okay sir. Thank you.

Moderator: Thank you. Next question is from the line of Santosh Kesari from Kesari Finance. Please go ahead.

Santosh Kesari: Hello, sir. Congratulations for a good set of numbers. I had a few queries. One is that regarding CIRL, that is CDSL Insurance Repository, we do not seem to have the number of policies growing compared to quarter-on-quarter every year. And it appears that the management is not pushing very hard in terms of business penetration or tie-up with other insurance companies or making the business really acceptable at a large public level the way we have pursued the depository industry. So is that perception correct? Or there is something that's going on that we

are not aware of?

Nehal Vora: See, again, I think from an effort point of view, again, we are like an infrastructure provider, and insurance also is another such set of business. The linkages with insurance companies is there but it's not really mandatory for insurance policies to be converted into a demat. So it's on a voluntary basis. So only as and when people feel the need, they would do it.

The important thing is that we have the right kind of technology and platform to ensure that the value proposition continues to be driven both from a lower cost and a higher efficiency to the market. And the same ethos is continued from an insurance point of view.

Santosh Kesari: Right, sir. At present, there are companies in competition who are tying up with, let's say, Oriental Insurance and other public sector insurance. And there, it becomes a joint DBE of the insurance company as well as the insurance repository company to sell the product and get more business from the clients.

Central Depository Services (India) Limited

February 07, 2024

Page 7 of 16

So if that kind of effort is there, it should be brought in public domain. Because it appears that the number of policies remain stagnant quarter-on-quarter and it's not moving beyond 15 lakhs. As I can see, it is just 13 lakhs or 12 lakhs policies that's there. Even in the last quarter, it was same. So the business has become stagnant. That was my question.

Nehal Vora: No, it means the business is not stagnant. There is a considerable effort, and we are in really ramping up in terms of the senior employees also. So we are hopeful and we continue to invest in that business. I don't see it as an issue.

Santosh Kesari: Yes. So basically, we are not getting into very active tie-up with large insurance companies to be

really big in the space.

Nehal Vora: I don't think this would be the forum to really discuss the strategy on what we are planning to do. Intent is to provide as a broad thought that to ensure that our platform is available. Because it's not about specific insurance. But these are all finally forward-looking statements. So we'll continue to invest and ensure that technology platforms continue to remain the right kind where the value proposition would remain.

Santosh Kesari: Okay. Great. And my second question is regarding the cash balance that you have, the consolidated one. And since it is 25 years. So any consideration from the management side on bonus or share split or any other special dividend?

Nehal Vora: The feedback is taken. It has come through various forums. The Board will take it up at an appropriate time.

Santosh Kesari: Right, sir. And what is the cash balance on a consolidated basis?

Girish Amesara: We have an investment of roughly INR700 crores.

Santosh Kesari: Okay. Thank you so much. Wish you all good luck.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Pratik Shah an individual investor.

Pratik Shah: Yes. So firstly, just congratulations to the CDSL team for the good set of numbers. And also, I'd like to congratulate for having this INR10 crores in active demat account is like a milestone really, and I can see in the presentation, there are a lot of awards CDSL has won this time around. So congratulations for that.

A couple of questions from my side. First one is like, I mean, is CDSL using any of this artificial intelligence technique in any of the processes for you, if you're moving in the security domain? And second question is just you answer that, I mean, since last couple of, CDSL has raised capital from IPO and a lot of cash in Balance Sheet, while parent BSE has also given a buyback and bonus. So why CDSL is not focusing on to gain the investor back? So these are my 2 questions.

Central Depository Services (India) Limited

February 07, 2024

Page 8 of 16

Nehal Vora: So see, artificial intelligence and all are various tools, so CDSL uses various tools in various facets, be it regulation or technology or whatever, to ensure that the value proposition is. So it's finally a tool and there are various such tools which are used in our day to day functioning.

Regards your question on buyback, etc., as I said earlier, it has come as a feedback. We will surely be speaking up with the Board and we'll see at what time and in what form, if at all it comes, will be taken up.

Pratik Shah: Yes, that's it. And hopefully, Nehal Vora will be the MD & CEO continuing for the next 5 years.

Nehal Vora: I would really thank you for your vision. Thank you.

Pratik Shah: Thank you.

Moderator: Next question is from the line of Bhargav Sangi from AMSEC.

Bhargav Sangi: Hello sir, Can you provide the number of folios for the quarter?

Nehal Vora: We generally don't give that number on the public domain.

Bhargav Sangi: Ok. Thank you.

Moderator: Thank you. Next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: Thank you for the opportunity. My first question is on the faster settlement that the regulator has been pursuing. So just wanted to understand what is the current timelines that we are working with on that? And what kind of investment or change in infrastructure, what CDSL has to take to adapt to these changes when it comes to faster settlement? That's the first question.

And the second question is on the compulsory dematerialization of private company shares. Now I understand that all the companies will have to get their shares dematted by September '24. So, when should we start seeing the companies coming up to CDSL and your competitor, NSDL and getting their shares dematted? Should that start happening from the fourth quarter or first quarter next year? When do you start seeing

the volumes? Those are my 2 questions. Thank you.

Nehal Vora: On the first question, SEBI has released a public consultation paper on faster settlement. So once the comments are received, they will kind of be deliberating internally. And once they issue the circulars, then they will kind of be moving. As an optional, there are public consultation talks about an optional T plus zero and instantaneous. So CDSL as part of the ecosystem of the MIIs is working very closely around how the entire processing will have to be done. And we are putting in the right kind of infrastructure as well as processing to ensure that we're able to comply with that.

On your second question sorry?

Central Depository Services (India) Limited

February 07, 2024

Page 9 of 16

Supratim Datta: If I could just have a follow-up on the first one. So I understand that you are putting in the right kind of infrastructure. But when you say right kind, does it mean more people or does it mean more investment in technology? If you could just elaborate on what does right mean.

Nehal Vora: Yes, we don't give forward-looking statements. But technically, it will need people as well as technology both in terms of investment and whether the shorter settlement cycle comes or not, that is kind of the core building blocks for CDSL as we move along and as more and more customers come in. So these are the 2 core areas which needs to be constantly be reviewed and invested on to ensure that the value proposition continues to grow.

And on the second question, as I said earlier, on September '24, it is not for all the private limited companies as per the current rule of MCA. It's for people above share capital of INR4 crores or a turnover of INR40 crores. And only for those companies which are going to either transfer their securities or raise further share capital, where compulsory demat will be required.

So we'll have to wait and watch how that will pan out because of these conditions which are there. So I don't think we'll be able to really predict from whereon that revenue will be able to grow.

And anyway, it's a forward-looking statements, so we don't give forward guidance.

Supratim Datta: Got it, got it. Understood. And just last year, you had given that number of folios. So you had said that it was around 137 million at the end of cycle for you. So is it possible at least to give a relative...

Nehal Vora: I don't think 137 million would have been our number. I think you may have got it from, at least, we have not given that number. So I don't know, I'm a little surprised seeing this number has come from us. But anyways, we don't provide that number. So I don't think we're able to give that.

Supratim Datta: Okay, no problem. Thank you.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: Yes, hi, sir. Thank you for the opportunity. I just wanted to understand a little bit more on the private company side following up on the previous participant's query. So first of all, if you could highlight if you have done any kind of assessment, basically that how many companies would be there from with this turnover and capital limits that you have highlighted, which could be addressed by the depositories. Overall, if you could give us the opportunity size.

And secondly, for the September '24 deadline, which companies would need to dematerialize? Ones who are doing this corporate action in the current financial year, is the rule for them? And then henceforth, as and when companies continue to further do corporate actions, then they will come into ambit of the law. If you could give some bit more granularity on that. That is the first question.

Central Depository Services (India) Limited

Second is in terms of the T plus zero settlement or instantaneous settlement, I understand that

you would not like to give a forward-looking statement. But broadly, sir, when we moved from T plus two to T plus one, could you highlight that had that resulted in a higher proportion of transaction income last time and that had benefited us? If you could give some color on that. That is the second question.

And thirdly, on the online data charges. So the number has been flat in third quarter vis-a-vis second quarter. However, I think in third quarter, particularly towards the end, the number of new demat accounts opened had increased quite significantly. So beside that if you could explain why number is flat.

And also if you can give some color that we understand that January has been fairly strong in line with, I mean, even better than December. But how are you seeing the trends in the first few days of February? Is a similar run rate being maintained? That would be very helpful. Yes, sir. Those are my questions.

Nehal Vora: I just hope I can remember all the questions, but I will try my best. On the first question on the private limited, it is difficult to assess because the kind of the eligibility comes in by September '24. So it could range from a few thousands to a few lakhs companies. But out of that, only those which kind of indulge in any raising of capital or transfer of holding will be required to demat before they can do such a thing.

So it is a condition contingent upon that action, which will prompt them to move into compulsory demat. Voluntary basis, people can anyways do it even now. So therefore, it will be difficult to kind of give a firm number on what would be the opportunity because the number of companies from today to September can grow or can be closed down also. So we'll have to kind of assess in September as to how many number of companies will be there at that.

Your second question on T plus...

Swarnabh Mukherjee: Sir, before we move on to the next question, just a clarification. So the regulation would be saying that the number of companies who will fall in that above the limit of INR4 crores and INR40 crores, they will then from the following period will have to come and demat? Would that be a correct understanding?

Nehal Vora: No, those companies who then want to transfer their share capital or raise any share capital have to compulsory demat before they can...

Swarnabh Mukherjee: Yes, post September '24.

Nehal Vora: So there are 2 limits. The first limit is about this INR40 crores and INR4 crores. And second is that condition contingent that they have to raise any share capital or transfer any share capital, then they have to compulsory demat.

Central Depository Services (India) Limited

February 07, 2024

Swarnabh Mukherjee: Right, sir. Right. And at this current stage, do you have a view on how many would be there? Maybe it might change at September, but currently, whatever data you have, would you like to share some view?

Nehal Vora: See, again, we do our kind of analysis. But again, that information will have no meaning today, it should not give a false picture about what will be the situation in September. So I think it has to wait until September once the rule really comes in before we can go in for that.

On your second question on T plus two to T plus one, I think there has been a significant participation, as you can see in the number of invested accounts, demat accounts, which have grown between T plus two and T plus one. So the credit, the risk in the market goes down. So therefore, the systemic risk goes down. How that will pan out with T plus zero will have to be seen. We don't anywhere give any forward-looking statements, but it will be difficult to assess at this stage.

We'll have to see once it comes, how that pans out. But overall, the ethos of the regulator is to make the market safer and more secure and reduce the systemic risk in the market. And therefore, these new initiatives are being taken.

Your

third question, I'm sorry, could you repeat your third question?

Swarnabh Mukherjee: Yes. Sir, so on the online data charges, Q3 over Q2 has been flat. However, I think the number of demat accounts added in the overall industry was significantly higher in third quarter. So if you could explain why our revenue remained flat despite that addition? And secondly, from public data, we see that January has been, I think, stronger than December as well. So how are the trends panning out in the first few days of February, if you could highlight?

Nehal Vora: Yes. So far as the number of accounts would have increased, but then each of these accounts are linked to one particular PAN itself. So I mean, somebody could have multiple accounts, but it is linked to one PAN. So to that extent, you really cannot compare it. There will be some increase in the income, increase in the demat and broking accounts, but you cannot take into account saying that because the demat and broking accounts have increased by so much the online data charges also has to increase proportionately. It will never be in proportion. I hope that answers your question.

Swarnabh Mukherjee: Yes. Sure, sir. Understood, sir. Any color on February, how it is going?

Nehal Vora: We don't give any forward-looking statements. And again, that once it comes in the public domain, we anyways disseminate the monthly number of accounts at the end of the month. So just wait for a few weeks, and you should be knowing what the number looks like.

Swarnabh Mukherjee: Sure, sir. Got it. Thank you so much. And all the best.

Nehal Vora: Thank you.

Central Depository Services (India) Limited

February 07, 2024

Page 12 of 16

Moderator: Thank you. Next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Yes. Thank you for the opportunity . Sir, I have a few data keeping questions. First of all, if you can provide data provision number in the current quarter. Because why I'm asking this number is that if this number played a role in increasing the other opex? Or irrespective of that, other opex has grown?

Nehal Vora: I'll ask CFO to answer that.

Girish Amesara: The provision for this quarter is around INR4 crores.

Sanketh Godha: Okay. Sir, which means that even if I take that number, the other admin expenses other than the regulatory cost, because regulatory costs have been flat year on year, quarter-on-quarter, INR10 crores, there has been 8% growth or 57% year-on-year growth in the other and admin expenses. So just wanted to understand, this is largely linked to the operational level growth or some line I think you have answered that question, but just wanted to reconfirm that number has been driven by some other spends which you might have done with respect to technology or instantaneous settlement or something, which is getting reflected here.

Girish Amesara: So in the first question, we had answered this, that there are no one-offs in this quarter, okay? All the expenses which we have incurred in this quarter are more or less directly related to rising operational income, and expenses which are to be required to be incurred continuously over a period of quarter have been incurred.

Sanketh Godha: Okay, sir. And the second question is that again, a data-related question. I think you used to give the data in the past, but if you can share now also it will be great. How much is your pledge income in the current quarter?

Girish Amesara: INR4.5 crores.

Sanketh Godha: Sorry?

Girish Amesara: INR4.5 crores.

Sanketh Godha: Okay. And if you can share your revenue earned from unlisted companies in annual issuer charges?

Girish Amesara: INR1.2 crores, revenue earned in this quarter from unlisted companies.

Sanketh Godha: And how much was it in second quarter, sir, if you can share that data?

Girish Amesara: More or less, it was similar.

Sanketh Godha: Okay, okay. Perfect, sir. And maybe sorry to harp on

this point, but we know a number of companies which are private. And we probably might have done the analysis that out of the Central Depository Services (India) Limited
February 07, 2024

Page 13 of 16

entire population of private companies, how many have a turnover of INR40 crores and INR4 crores net worth. I agree with your point that everyone will not come and raise capital or do a share transfer.

But if I want to identify the outstanding number of companies today based on your assessment which qualify for the first rule, that is INR40 crores turnover and INR4 crores shared capital, if you can give us an indicative number that will be useful just from an industry point of view to understand maybe a long-term opportunity.

Nehal Vora: Again, Sanketh, what I was trying to say that in September i.e between today and September, there's about 5 to 6 months yet left. And there can be companies which will open, which will shut. So again, giving today's numbers, in my opinion, will not have a meaning. We should kind

of reassess this question in September because that is when the true point will be in picture.

Sanketh Godha: Okay, sir perfect. That's it from my side. Thank you very much.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha: Hi, good evening and congratulations on a good set of numbers.

Nehal Vora: Thank you.

Madhukar Ladha: Sir, I wanted to understand just this one thing. There are a lot of new SEBI initiatives, especially on instantaneous settlement, I'm not sure whether this question was asked earlier. But any thoughts on or any sense on how the revenue model will change? That's question number one. And question number two, what would be the likely additional sort of expenses that we would need to incur for this? And what are the current timelines on this? And you could conceptually sort of help us also understand right now, for example, the settlement happens at the end of the day or T plus two is when the shares get debited. So how will it work in that in the new sort of revised framework?

Nehal Vora: So again, see, it is T plus one, it's not T plus two we have right now. So technically, the pain happens today in the morning on T plus one for the cash market equities and generally the securities markets. T plus zero will be on the same day.

The details and all will get finalized after SEBI receives comments from the public consultation paper, and they will firm up their rules as to what time and all that will be announced by SEBI.

As well as the instantaneous settlement also, the contours of how it will work will all get announced after SEBI finalizes the rules on that.

So the intent is that it makes basically the systemic risk lower because you are able to get your securities and funds faster. And hence, therefore, more and more people would want to participate in the securities market.

Central Depository Services (India) Limited

February 07, 2024

Page 14 of 16

I think that's the overall direction in which it is going. And we are today T plus one also, we're now one of the only leading markets to be on T plus one in the world. So I think that is also a great sense of kind of achievement also for the Indian securities markets to ensure that it continues to remain robust in terms of new reforms, etcetera.

Madhukar Ladha: Sure. All right. All the best.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Siddhant Dand from Goodwill. Please go ahead.

Siddhant Dand: Hello. I just wanted to really understand the annual issuer charges. So it's the total number of folios divided by total number of working days in a financial year, right?

Nehal Vora: No, no. There is...

Girish Amesara: Sir, we didn't get your question fully understood.

Siddhant Dand: The annual issuer charges, how are they calculated? Can you just explain that again?

Girish Amesara: If you look at our operating instruction, there are two sets of charges mentioned. One is slab-based and another is based on folio. So at the year-end, what we do is we arrive at an average folio of a particular company and then we match with both the criteria. Now if the valuation based on INR11 is higher, then we raise the bill based on the higher amount that is generated.

Siddhant Dand: Okay. And so for the next year because it's quite stable every quarter, right? So for the next year, it will be decided based on this year's data.

Girish Amesara: This invoicing is done in the month of April for the full next year. It is not quarterly billing.

Siddhant Dand: Yes, yes. So on the P&L, I'm saying, of course. So it will be based on this year's data, right?

Girish Amesara: We do appropriation of the yearly invoicing that we have done on an accrual method of accounting.

Siddhant Dand: Correct. But the amount that will be decided for next year will be based on this year's data average?

Girish Amesara: Yes, for next year, the amount will be decided based on the average folio as on 31st of March '24.

Siddhant Dand: Correct. Perfect. Thank you.

Moderator: Thank you. Next question is from the line of Santosh Keshri from Kesari Finance. Please go ahead.

Santosh Keshri: Sir, just I had one more question regarding sorry, sir, I'll come back in the queue. I'm so sorry.

Central Depository Services (India) Limited

February 07, 2024

Page 15 of 16

Nehal Vora: Okay.

Moderator: Next question is from the line of Hiten Jain from Invesco. Please go ahead.

Hiten Jain: Yes, thanks. I have one question. So I'm just trying to understand the growth in the other revenue sources ex of what you reported in your PPT, which is essentially all combined in terms of consolidated statement charges, the e-Voting. So what I've done is I've taken total revenue from operations minus annual issuer, minus transaction business, minus corporate action and minus online data charges.

So that number is coming down to this quarter at INR18.5 crores versus INR26.6 crores previous quarter. So it's sequentially down 30%. And if I take 9 months year-on-year data, it is up just 5%, 9 months growth. So can you just help me why this segment is seeing such low growth and sequentially it is down by 30%?

Girish Amesara: See, other revenues, if you have a question on the breakup of the other income, other income largely consists of 3 major portions. One is investment income, another is annual issuer charges sorry, CAS charges and e-Voting income. Now if you intend to have a breakup of what we have reported for this quarter, I can provide. Because I'm a little confused on your question because we are not able to figure out the difference of INR18 crores anywhere.

Hiten Jain: Yes, yes. So you can help me, what is the 9 months growth for e-Voting and what is the 9 months growth for your consolidated Account Statement i.e. CAS charges? That seems to be weak. Can you just help me understand why is that weak?

Girish Amesara: See, e-Voting, if you see predominantly e-Voting income would accrue majorly in second quarter.

Hiten Jain: But even 9 months growth is weak.

Girish Amesara: So irrespective of. That income would predominantly be at the highest, at the peak in the second quarter. So if you compare 9 months to 9 months, more or less, it is almost same.

Hiten Jain: Okay. So we haven't seen much growth there.

Girish Amesara: Yes.

Hiten Jain: Okay. And CAS charges?

Girish Amesara: You will see growth in the CAS charges because currently, we are sending CAS statement to all the investors.

Hiten Jain: Correct. So what is that number, 9 months versus 9 months absolute?

Girish Amesara: So if you look at in the current 9 months, we have earned an income from CAS at around INR25 crores on a 9-month basis. And in the previous 9 months, we had earned an income of INR17 crores.

Central Depository Services (Indi

a) Limited

February 07, 2024

Page 16 of 16

Hiten Jain: Okay. So it's e-Voting which has not grown much this year versus prior year?

Girish Amesara: It's grown by INR50 lakhs.

Hiten Jain: Okay. All right Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Nehal Vora for closing comments.

Nehal Vora: Thank you all for your questions. I wish you all a very safe, secure and healthy life ahead. Thank you. Take care.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

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Central Depository Services (India) Limited

CDSL/CS/NSE/RG/2024/ 37 February 13, 2024

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst /Investor Call /Conference Call held on February 07, 2024

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Madam/ Sir,

This is with reference to our intimation dated January 31, 2024 , for scheduling of
Conference Call on February 07, 2024 , please find attached the transcript of the aforesaid
Conference Call.

The above information is also available on the website of the Company:
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Group Company Secretary & Head Legal
ACS No.: A20586

Encl: As above

Page 1 of 16

Central Depository Services (India) Limited
Q3 FY '24 Conference Call
February 07, 2024

Management: Mr. Nehal Vora–Managing Director and Chief Executive
Officer– Central Depository Services (India) Limited
Mr. Girish Amesara – Chief Financial Officer – Central

Depository Services (India) Limited
Mr. Sunil Alvares – CDSL Ventures Limited
Mr. Swaroop Gothi, Financial Controller

Moderator: Mr. Amit Chandra – HDFC Securities

Central Depository Services (India) Limited
February 07, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to CDSL's Q3 FY '24 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL's outlook for future or which could be constituted as a forward-looking statements must be reviewed in conjunction with the risks that the company faces.

I would now like to hand the conference over to Mr. Amit Chandra from HDFC Securities.

Thank you, and over to you, sir.

Amit Chandra: Yes. Thank you, operator. So good evening, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 3 FY '24 Earnings Call. Today, we have with us the management team of CDSL represented by Mr. Nehal Vora, MD and CEO; Mr. Girish Amesara, the CFO, and other senior leaders. And we will start with a brief overview of the quarter given by Mr. Nehal, and then we will start with the Q&A.

Thank you, and over to you, sir.

Nehal Vora: Thank you, Amit. A very, very good afternoon to everybody. I trust all of you are well, safe and in good health. Thank you for joining us today to discuss CDSL's financial results for the third quarter of the financial year '23-'24. For your convenience, we have provided a comprehensive investor presentation on our website. I'm joined by the CDSL Group's leadership team.

I'd like to begin by highlighting some key aspects of the securities market before going into our company's performance. Commencing with the broader industry landscape, the retail equity average daily turnover saw sequential quarter-on-quarter increase of about 4%. Notably, December was a good month with a remarkable 50% growth compared to the preceding months of November and October.

In line with CDSL's efforts towards enhancing ease of business, we introduced a new series this quarter such as the facilitation of ASBA in secondary markets, multilingual CAS and chatbot services in 4 languages. Investors now have the convenience of accessing their Consolidated Account Statements, CAS in the preferred language among the 23 operating languages in India, while our chatbot service currently is in 4 languages.

So basically, all these initiatives are aimed at promoting the concept of financial inclusion and really access to all. Our overarching goal is to make the capital markets more accessible, convenient and secured for both retail and institutional investors. As we move towards our silver jubilee, we remain steadfast on our commitment towards our efforts towards enhancing trust in the financial ecosystem and really empowering Atmanirbharta amongst the securities market

Central Depository Services (India) Limited
February 07, 2024

Page 3 of 16

investors. The sustainable financial growth has been a byproduct of our effort towards simplifying the entire journey and enhancing market accessibility for all.

I will request our CFO, Shri Girish Amesara, to take you through the financial performance.

However, before I hand it over to him, I would like to express our gratitude to all our stakeholders, the beneficiary owners, the depository participants, issuers, regulators, employees and other market participants for their support in ensuring CDSL continues to grow. I additionally extend heartfelt appreciation to our investors whose trust continues to drive us forward. Our focus remains on creating value for all our stakeholders and enhancing the

Indian

digital capital market ecosystem.

Thank you for your continued support and trust in us. I'll now hand it over to the CFO, Shri Girish Amesara.

Girish Amesara: Thank you, Nehal. Good afternoon to everyone. I'll first speak on the consolidated part. So on a

quarterly performance on consolidated, the total income for December quarter has increased by 47% to INR236 crores as against INR161 crores for the same quarter during previous year. The net profit for the quarter ended December '23 is increased by 44% at INR107 crores as against INR74 crores for the same quarter during the previous year.

Now for 9 months ended December, on a consolidated basis, the total income has increased by 34% to INR640 crores as against INR477 crores in the previous 9 months. The consolidated net profit for the 9 months has increased by 36% to INR290 crores as against INR213 crores of the previous 9 months.

Now I'll speak about stand-alone. The stand-alone quarterly total income for the December quarter has increased by 40% to INR186 crores as against INR133 crores for the same quarter during the previous year. The net profit for the quarter ended December is increased by 37% to INR86 crores as against INR63 crores for the same quarter during the previous year. On a 9-month basis, on a stand-alone basis, the total income has increased by 25% to INR538 crores as against INR431 crores in the previous 9 months. The net profit on a stand-alone basis for the 9 months has increased by 21% to INR266 crores as against INR220 crores.

Now I shall request Shri Sunil Alvares to give an update about operation of the wholly owned subsidiary, CDSL Ventures Limited. Thank you. Over to you, Sunil.

Sunil Alvares: Good evening, and welcome to this call. To give you a brief about CDSL Ventures' financial performance, the operational income increased by INR 38 crores to INR114 crores as against INR76 crores for the 9-month period ending December 31, which was an increase of about 50%. The total income increased to INR128 crores as against INR84 crores in the same period last year, which was again an increase of 52%. The total expenses increased by 51% from INR35 crores to INR53 crores. And the profit after tax was at INR56 crores as against INR35 crores, which was again an increase of 57%.

I now request that we can have the Q&A session so we can start with the questions.

Central Depository Services (India) Limited
February 07, 2024

Page 4 of 16

Moderator: First question is from the line of Prakash Kapadia from Anived Portfolio Management Private Limited. Please go ahead.

Prakash Kapadia: Yes. A couple of questions from my end. If you could give us some sense on what is the year-to-date capex on technology in FY '24. Secondly, if I look at other expenditure, it is up 52% for the quarter. Any one-offs in this?

And Sunil mentioned about the growth. So if I look at the subsidiary growth, the KYC business, you've seen a 50% growth in the 9 months. So what has changed? Has pricing helped? Is it more volume? Is it the low base of last year? If you could give us some sense.

And just one data keeping question, if we can have the breakup of e-CAS and e-Voting charges for the quarter. These were my questions.

Nehal Vora: I'll just ask Girish to answer 3 questions pertaining to CDSL, and then Sunil can answer CVL.

Girish Amesara: So to start with your first question on the capex, we have incurred around INR20 crores towards capital expenditure on technology. With respect to the breakup of the other income, CAS is around INR10 crores in this quarter, e-Voting income was achieved at INR3 crores in this quarter.

Prakash Kapadia: Okay, understood.

Girish Amesara: Other expenses if you look at, largely the mix is almost equivalent to what it was in the last quarter. But if you look at the increase in operating income, it has led to increase in various variable expenses, like payment to SEBI and related exp

enditure, other operational expenses like SMS alerts, etc., which are in line with the increase in operating income.

Prakash Kapadia: No one-off. It is just the volume growth...

Girish Amesara: It's largely on account of volume growth.

Prakash Kapadia: Right, understood.

Sunil Alvares: On the CVL front, again, it's more because of the volume growth. So if you see the number of demat and broking accounts which have been added in this financial year, it's much higher compared to the previous financial year in the same period. So as the number of accounts increase, it has a direct impact on the KYC because each account requires a KYC to be done. So I hope that answers your question.

Prakash Kapadia: Okay, fine. I will come back if I have more questions. Thank you.

Sunil Alvares: Thank you.

Moderator: Thank you. Next question is from the line of Siddhant Dand from Goodwill. Please go ahead.

Central Depository Services (India) Limited
February 07, 2024

Page 5 of 16

Siddhant Dand: Yes. I just had a question about the term limits of the MD. So will you be throwing your hat in again for the second term?

Nehal Vora: The rule is that one term can be of 5 years and maximum of 10 years. So I am currently eligible for another term. So we'll see how the process goes.

Siddhant Dand: Okay. Second question was you rightfully shared the number of accounts. But because we are seeing a lot of double and triple accounts being opened by people, is it possible to share the number of unique PAN holders at some point?

Nehal Vora: We don't share that as part of our public domain. So we continue to whatever we have already shared.

Siddhant Dand: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yes, so thanks for the opportunity. So my question is on the unlisted opportunity that you have spoken last time. So what's the progress on that? And have we done any analysis based on the new rule? What is the kind of potential, or the company is eligible for the unlisted? And from when we can see that coming in the revenues?

Nehal Vora: So the law is that if there are any changes in the promoter holding or any raising or any transfer of holding or raising of capital for private companies which has INR40 crores turnover or INR4 crores of share capital, and that is going to come in by September of '24. So we'll have to see how it pans out. We are engaging the right stakeholders to ensure that any queries, etc., are getting addressed. But towards September, we'll come to know and only when there are changes in the share capital or any transfer, then only it's required. So we'll see how it goes.

Amit Chandra: Okay. And sir, the second part of the question would be on the overall costing part. So obviously, we are investing in the business, and there's also some SEBI or regulator-related things that we have to do. So that is scaling up our expenses. but if you see in terms of the expense per employee or our overall expenses, that is around 30% to 40% higher than what the competition is doing. So is it that we are under-invested and still we have to increase our expenses overall at a higher rate? Or we can say that most of the investments are now behind and we can grow the expenses will grow along with the revenue or indexed to inflation?

Nehal Vora: So Amit, as I've told earlier, we are like infrastructure companies building like a road. So ensuring that the right kind of technology and people, these are kind of the specialized on both accounts are required. So we'll have to continue to invest in both to ensure that we get good value proposition to the clients, customers and to the securities market at large.

And so it will be a function of that. It's difficult to forecast, anyway, we don't give any forward-looking statements. but the intent is to ensure that the value proposition continues to remain, the

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entral Depository Services (India) Limited
February 07, 2024

Page 6 of 16

platform continues to be kind of a preferred platform, and that is going to be our intent, and to ensure that it is safe, convenient and secure.

Amit Chandra: Okay. And sir, lastly, on the newer opportunities, obviously, we have some areas where we can see some potential in terms of revenue. So insurance is like one of them. Apart from that, can you identify any other areas which can be big in the coming years? Or is it work in progress right now? Or if you can throw some light on that.

Nehal Vora: Again, it's forward-looking statement. So we kind of not give a firm reply. But the overall intent is to ensure that India remains securities market infrastructure sophisticated and really top notch, so more and more people can link up, participate in the securities market seamlessly. And as and when the regulators permit newer kinds of asset classes to come in, we are in terms of an infrastructure provider, be ready to kind of take that on.

Amit Chandra: Okay. And sir, my last question is on the online data charges. So is there a flat fee in terms of creation and fetch for all the DPs? Or is there a slab that we operate there? And what would be the range in terms of discounts that we give to the larger members there?

Sunil Alvares: We have a flat fee. But so far as discounts are concerned, we don't discuss it in the public domain.

Amit Chandra: Okay sir. Thank you.

Moderator: Thank you. Next question is from the line of Santosh Kesari from Kesari Finance. Please go ahead.

Santosh Kesari: Hello, sir. Congratulations for a good set of numbers. I had a few queries. One is that regarding CIRL, that is CDSL Insurance Repository, we do not seem to have the number of policies growing compared to quarter-on-quarter every year. And it appears that the management is not pushing very hard in terms of business penetration or tie-up with other insurance companies or making the business really acceptable at a large public level the way we have pursued the depository industry. So is that perception correct? Or there is something that's going on that we

are not aware of?

Nehal Vora: See, again, I think from an effort point of view, again, we are like an infrastructure provider, and insurance also is another such set of business. The linkages with insurance companies is there but it's not really mandatory for insurance policies to be converted into a demat. So it's on a voluntary basis. So only as and when people feel the need, they would do it.

The important thing is that we have the right kind of technology and platform to ensure that the value proposition continues to be driven both from a lower cost and a higher efficiency to the market. And the same ethos is continued from an insurance point of view.

Santosh Kesari: Right, sir. At present, there are companies in competition who are tying up with, let's say, Oriental Insurance and other public sector insurance. And there, it becomes a joint DBE of the insurance company as well as the insurance repository company to sell the product and get more business from the clients.

Central Depository Services (India) Limited

February 07, 2024

Page 7 of 16

So if that kind of effort is there, it should be brought in public domain. Because it appears that the number of policies remain stagnant quarter-on-quarter and it's not moving beyond 15 lakhs. As I can see, it is just 13 lakhs or 12 lakhs policies that's there. Even in the last quarter, it was same. So the business has become stagnant. That was my question.

Nehal Vora: No, it means the business is not stagnant. There is a considerable effort, and we are in really ramping up in terms of the senior employees also. So we are hopeful and we continue to invest in that business. I don't see it as an issue.

Santosh Kesari: Yes. So basically, we are not getting into very active tie-up with large insurance companies to be

really big in the space.

Nehal Vora: I don't think this would be the forum to really discuss the strategy on what we are planning to do. Intent is to provide as a broad thought that to ensure that our platform is available. Because it's not about specific insurance. But these are all finally forward-looking statements. So we'll continue to invest and ensure that technology platforms continue to remain the right kind where the value proposition would remain.

Santosh Kesari: Okay. Great. And my second question is regarding the cash balance that you have, the consolidated one. And since it is 25 years. So any consideration from the management side on bonus or share split or any other special dividend?

Nehal Vora: The feedback is taken. It has come through various forums. The Board will take it up at an appropriate time.

Santosh Kesari: Right, sir. And what is the cash balance on a consolidated basis?

Girish Amesara: We have an investment of roughly INR700 crores.

Santosh Kesari: Okay. Thank you so much. Wish you all good luck.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Pratik Shah an individual investor.

Pratik Shah: Yes. So firstly, just congratulations to the CDSL team for the good set of numbers. And also, I'd like to congratulate for having this INR10 crores in active demat account is like a milestone really, and I can see in the presentation, there are a lot of awards CDSL has won this time around. So congratulations for that.

A couple of questions from my side. First one is like, I mean, is CDSL using any of this artificial intelligence technique in any of the processes for you, if you're moving in the security domain? And second question is just you answer that, I mean, since last couple of, CDSL has raised capital from IPO and a lot of cash in Balance Sheet, while parent BSE has also given a buyback and bonus. So why CDSL is not focusing on to gain the investor back? So these are my 2 questions.

Central Depository Services (India) Limited

February 07, 2024

Page 8 of 16

Nehal Vora: So see, artificial intelligence and all are various tools, so CDSL uses various tools in various facets, be it regulation or technology or whatever, to ensure that the value proposition is. So it's finally a tool and there are various such tools which are used in our day to day functioning.

Regards your question on buyback, etc., as I said earlier, it has come as a feedback. We will surely be speaking up with the Board and we'll see at what time and in what form, if at all it comes, will be taken up.

Pratik Shah: Yes, that's it. And hopefully, Nehal Vora will be the MD & CEO continuing for the next 5 years.

Nehal Vora: I would really thank you for your vision. Thank you.

Pratik Shah: Thank you.

Moderator: Next question is from the line of Bhargav Sangi from AMSEC.

Bhargav Sangi: Hello sir, Can you provide the number of folios for the quarter?

Nehal Vora: We generally don't give that number on the public domain.

Bhargav Sangi: Ok. Thank you.

Moderator: Thank you. Next question is from the line of Supratim Datta from Ambit Capital. Please go ahead.

Supratim Datta: Thank you for the opportunity. My first question is on the faster settlement that the regulator has been pursuing. So just wanted to understand what is the current timelines that we are working with on that? And what kind of investment or change in infrastructure, what CDSL has to take to adapt to these changes when it comes to faster settlement? That's the first question.

And the second question is on the compulsory dematerialization of private company shares. Now I understand that all the companies will have to get their shares dematted by September '24. So, when should we start seeing the companies coming up to CDSL and your competitor, NSDL and getting their shares dematted? Should that start happening from the fourth quarter or first quarter next year? When do you start seeing

the volumes? Those are my 2 questions. Thank you.

Nehal Vora: On the first question, SEBI has released a public consultation paper on faster settlement. So once the comments are received, they will kind of be deliberating internally. And once they issue the circulars, then they will kind of be moving. As an optional, there are public consultation talks about an optional T plus zero and instantaneous. So CDSL as part of the ecosystem of the MIIs is working very closely around how the entire processing will have to be done. And we are putting in the right kind of infrastructure as well as processing to ensure that we're able to comply with that.

On your second question sorry?

Central Depository Services (India) Limited
February 07, 2024

Page 9 of 16

Supratim Datta: If I could just have a follow-up on the first one. So I understand that you are putting in the right kind of infrastructure. But when you say right kind, does it mean more people or does it mean more investment in technology? If you could just elaborate on what does right mean.

Nehal Vora: Yes, we don't give forward-looking statements. But technically, it will need people as well as technology both in terms of investment and whether the shorter settlement cycle comes or not, that is kind of the core building blocks for CDSL as we move along and as more and more customers come in. So these are the 2 core areas which needs to be constantly be reviewed and invested on to ensure that the value proposition continues to grow.

And on the second question, as I said earlier, on September '24, it is not for all the private limited companies as per the current rule of MCA. It's for people above share capital of INR4 crores or a turnover of INR40 crores. And only for those companies which are going to either transfer their securities or raise further share capital, where compulsory demat will be required.

So we'll have to wait and watch how that will pan out because of these conditions which are there. So I don't think we'll be able to really predict from whereon that revenue will be able to grow.

And anyway, it's a forward-looking statements, so we don't give forward guidance.

Supratim Datta: Got it, got it. Understood. And just last year, you had given that number of folios. So you had said that it was around 137 million at the end of cycle for you. So is it possible at least to give a relative...

Nehal Vora: I don't think 137 million would have been our number. I think you may have got it from, at least, we have not given that number. So I don't know, I'm a little surprised seeing this number has come from us. But anyways, we don't provide that number. So I don't think we're able to give that.

Supratim Datta: Okay, no problem. Thank you.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: Yes, hi, sir. Thank you for the opportunity. I just wanted to understand a little bit more on the private company side following up on the previous participant's query. So first of all, if you could highlight if you have done any kind of assessment, basically that how many companies would be there from with this turnover and capital limits that you have highlighted, which could be addressed by the depositories. Overall, if you could give us the opportunity size.

And secondly, for the September '24 deadline, which companies would need to dematerialize? Ones who are doing this corporate action in the current financial year, is the rule for them? And then henceforth, as and when companies continue to further do corporate actions, then they will come into ambit of the law. If you could give some bit more granularity on that. That is the first question.

Central Depository Services (India) Limited

Second is in terms of the T plus zero settlement or instantaneous settlement, I understand that

you would not like to give a forward-looking statement. But broadly, sir, when we moved from T plus two to T plus one, could you highlight that had that resulted in a higher proportion of transaction income last time and that had benefited us? If you could give some color on that. That is the second question.

And thirdly, on the online data charges. So the number has been flat in third quarter vis-a-vis second quarter. However, I think in third quarter, particularly towards the end, the number of new demat accounts opened had increased quite significantly. So beside that if you could explain why number is flat.

And also if you can give some color that we understand that January has been fairly strong in line with, I mean, even better than December. But how are you seeing the trends in the first few days of February? Is a similar run rate being maintained? That would be very helpful. Yes, sir. Those are my questions.

Nehal Vora: I just hope I can remember all the questions, but I will try my best. On the first question on the private limited, it is difficult to assess because the kind of the eligibility comes in by September '24. So it could range from a few thousands to a few lakhs companies. But out of that, only those which kind of indulge in any raising of capital or transfer of holding will be required to demat before they can do such a thing.

So it is a condition contingent upon that action, which will prompt them to move into compulsory demat. Voluntary basis, people can anyways do it even now. So therefore, it will be difficult to kind of give a firm number on what would be the opportunity because the number of companies from today to September can grow or can be closed down also. So we'll have to kind of assess in September as to how many number of companies will be there at that.

Your second question on T plus...

Swarnabh Mukherjee: Sir, before we move on to the next question, just a clarification. So the regulation would be saying that the number of companies who will fall in that above the limit of INR4 crores and INR40 crores, they will then from the following period will have to come and demat? Would that be a correct understanding?

Nehal Vora: No, those companies who then want to transfer their share capital or raise any share capital have to compulsory demat before they can...

Swarnabh Mukherjee: Yes, post September '24.

Nehal Vora: So there are 2 limits. The first limit is about this INR40 crores and INR4 crores. And second is that condition contingent that they have to raise any share capital or transfer any share capital, then they have to compulsory demat.

Central Depository Services (India) Limited

February 07, 2024

Swarnabh Mukherjee: Right, sir. Right. And at this current stage, do you have a view on how many would be there? Maybe it might change at September, but currently, whatever data you have, would you like to share some view?

Nehal Vora: See, again, we do our kind of analysis. But again, that information will have no meaning today, it should not give a false picture about what will be the situation in September. So I think it has to wait until September once the rule really comes in before we can go in for that.

On your second question on T plus two to T plus one, I think there has been a significant participation, as you can see in the number of invested accounts, demat accounts, which have grown between T plus two and T plus one. So the credit, the risk in the market goes down. So therefore, the systemic risk goes down. How that will pan out with T plus zero will have to be seen. We don't anywhere give any forward-looking statements, but it will be difficult to assess at this stage.

We'll have to see once it comes, how that pans out. But overall, the ethos of the regulator is to make the market safer and more secure and reduce the systemic risk in the market. And therefore, these new initiatives are being taken.

Your

third question, I'm sorry, could you repeat your third question?

Swarnabh Mukherjee: Yes. Sir, so on the online data charges, Q3 over Q2 has been flat. However, I think the number of demat accounts added in the overall industry was significantly higher in third quarter. So if you could explain why our revenue remained flat despite that addition? And secondly, from public data, we see that January has been, I think, stronger than December as well. So how are the trends panning out in the first few days of February, if you could highlight?

Nehal Vora: Yes. So far as the number of accounts would have increased, but then each of these accounts are linked to one particular PAN itself. So I mean, somebody could have multiple accounts, but it is linked to one PAN. So to that extent, you really cannot compare it. There will be some increase in the income, increase in the demat and broking accounts, but you cannot take into account saying that because the demat and broking accounts have increased by so much the online data charges also has to increase proportionately. It will never be in proportion. I hope that answers your question.

Swarnabh Mukherjee: Yes. Sure, sir. Understood, sir. Any color on February, how it is going?

Nehal Vora: We don't give any forward-looking statements. And again, that once it comes in the public domain, we anyways disseminate the monthly number of accounts at the end of the month. So just wait for a few weeks, and you should be knowing what the number looks like.

Swarnabh Mukherjee: Sure, sir. Got it. Thank you so much. And all the best.

Nehal Vora: Thank you.

Central Depository Services (India) Limited

February 07, 2024

Page 12 of 16

Moderator: Thank you. Next question is from the line of Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Yes. Thank you for the opportunity . Sir, I have a few data keeping questions. First of all, if you can provide data provision number in the current quarter. Because why I'm asking this number is that if this number played a role in increasing the other opex? Or irrespective of that, other opex has grown?

Nehal Vora: I'll ask CFO to answer that.

Girish Amesara: The provision for this quarter is around INR4 crores.

Sanketh Godha: Okay. Sir, which means that even if I take that number, the other admin expenses other than the regulatory cost, because regulatory costs have been flat year on year, quarter-on-quarter, INR10 crores, there has been 8% growth or 57% year-on-year growth in the other and admin expenses. So just wanted to understand, this is largely linked to the operational level growth or some line I think you have answered that question, but just wanted to reconfirm that number has been driven by some other spends which you might have done with respect to technology or instantaneous settlement or something, which is getting reflected here.

Girish Amesara: So in the first question, we had answered this, that there are no one-offs in this quarter, okay? All the expenses which we have incurred in this quarter are more or less directly related to rising operational income, and expenses which are to be required to be incurred continuously over a period of quarter have been incurred.

Sanketh Godha: Okay, sir. And the second question is that again, a data-related question. I think you used to give the data in the past, but if you can share now also it will be great. How much is your pledge income in the current quarter?

Girish Amesara: INR4.5 crores.

Sanketh Godha: Sorry?

Girish Amesara: INR4.5 crores.

Sanketh Godha: Okay. And if you can share your revenue earned from unlisted companies in annual issuer charges?

Girish Amesara: INR1.2 crores, revenue earned in this quarter from unlisted companies.

Sanketh Godha: And how much was it in second quarter, sir, if you can share that data?

Girish Amesara: More or less, it was similar.

Sanketh Godha: Okay, okay. Perfect, sir. And maybe sorry to harp on

this point, but we know a number of companies which are private. And we probably might have done the analysis that out of the Central Depository Services (India) Limited
February 07, 2024

Page 13 of 16

entire population of private companies, how many have a turnover of INR40 crores and INR4 crores net worth. I agree with your point that everyone will not come and raise capital or do a share transfer.

But if I want to identify the outstanding number of companies today based on your assessment which qualify for the first rule, that is INR40 crores turnover and INR4 crores shared capital, if you can give us an indicative number that will be useful just from an industry point of view to understand maybe a long-term opportunity.

Nehal Vora: Again, Sanketh, what I was trying to say that in September i.e between today and September, there's about 5 to 6 months yet left. And there can be companies which will open, which will shut. So again, giving today's numbers, in my opinion, will not have a meaning. We should kind

of reassess this question in September because that is when the true point will be in picture.

Sanketh Godha: Okay, sir perfect. That's it from my side. Thank you very much.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Madhukar Ladha from Nuvama Wealth. Please go ahead.

Madhukar Ladha: Hi, good evening and congratulations on a good set of numbers.

Nehal Vora: Thank you.

Madhukar Ladha: Sir, I wanted to understand just this one thing. There are a lot of new SEBI initiatives, especially on instantaneous settlement, I'm not sure whether this question was asked earlier. But any thoughts on or any sense on how the revenue model will change? That's question number one. And question number two, what would be the likely additional sort of expenses that we would need to incur for this? And what are the current timelines on this? And you could conceptually sort of help us also understand right now, for example, the settlement happens at the end of the day or T plus two is when the shares get debited. So how will it work in that in the new sort of revised framework?

Nehal Vora: So again, see, it is T plus one, it's not T plus two we have right now. So technically, the pain happens today in the morning on T plus one for the cash market equities and generally the securities markets. T plus zero will be on the same day.

The details and all will get finalized after SEBI receives comments from the public consultation paper, and they will firm up their rules as to what time and all that will be announced by SEBI.

As well as the instantaneous settlement also, the contours of how it will work will all get announced after SEBI finalizes the rules on that.

So the intent is that it makes basically the systemic risk lower because you are able to get your securities and funds faster. And hence, therefore, more and more people would want to participate in the securities market.

Central Depository Services (India) Limited

February 07, 2024

Page 14 of 16

I think that's the overall direction in which it is going. And we are today T plus one also, we're now one of the only leading markets to be on T plus one in the world. So I think that is also a great sense of kind of achievement also for the Indian securities markets to ensure that it continues to remain robust in terms of new reforms, etcetera.

Madhukar Ladha: Sure. All right. All the best.

Nehal Vora: Thank you.

Moderator: Thank you. Next question is from the line of Siddhant Dand from Goodwill. Please go ahead.

Siddhant Dand: Hello. I just wanted to really understand the annual issuer charges. So it's the total number of folios divided by total number of working days in a financial year, right?

Nehal Vora: No, no. There is...

Girish Amesara: Sir, we didn't get your question fully understood.

Siddhant Dand: The annual issuer charges, how are they calculated? Can you just explain that again?

Girish Amesara: If you look at our operating instruction, there are two sets of charges mentioned. One is slab-based and another is based on folio. So at the year-end, what we do is we arrive at an average folio of a particular company and then we match with both the criteria. Now if the valuation based on INR11 is higher, then we raise the bill based on the higher amount that is generated.

Siddhant Dand: Okay. And so for the next year because it's quite stable every quarter, right? So for the next year, it will be decided based on this year's data.

Girish Amesara: This invoicing is done in the month of April for the full next year. It is not quarterly billing.

Siddhant Dand: Yes, yes. So on the P&L, I'm saying, of course. So it will be based on this year's data, right?

Girish Amesara: We do appropriation of the yearly invoicing that we have done on an accrual method of accounting.

Siddhant Dand: Correct. But the amount that will be decided for next year will be based on this year's data average?

Girish Amesara: Yes, for next year, the amount will be decided based on the average folio as on 31st of March '24.

Siddhant Dand: Correct. Perfect. Thank you.

Moderator: Thank you. Next question is from the line of Santosh Keshri from Kesari Finance. Please go ahead.

Santosh Keshri: Sir, just I had one more question regarding sorry, sir, I'll come back in the queue. I'm so sorry.

Central Depository Services (India) Limited

February 07, 2024

Page 15 of 16

Nehal Vora: Okay.

Moderator: Next question is from the line of Hiten Jain from Invesco. Please go ahead.

Hiten Jain: Yes, thanks. I have one question. So I'm just trying to understand the growth in the other revenue sources ex of what you reported in your PPT, which is essentially all combined in terms of consolidated statement charges, the e-Voting. So what I've done is I've taken total revenue from operations minus annual issuer, minus transaction business, minus corporate action and minus online data charges.

So that number is coming down to this quarter at INR18.5 crores versus INR26.6 crores previous quarter. So it's sequentially down 30%. And if I take 9 months year-on-year data, it is up just 5%, 9 months growth. So can you just help me why this segment is seeing such low growth and sequentially it is down by 30%?

Girish Amesara: See, other revenues, if you have a question on the breakup of the other income, other income largely consists of 3 major portions. One is investment income, another is annual issuer charges sorry, CAS charges and e-Voting income. Now if you intend to have a breakup of what we have reported for this quarter, I can provide. Because I'm a little confused on your question because we are not able to figure out the difference of INR18 crores anywhere.

Hiten Jain: Yes, yes. So you can help me, what is the 9 months growth for e-Voting and what is the 9 months growth for your consolidated Account Statement i.e. CAS charges? That seems to be weak. Can you just help me understand why is that weak?

Girish Amesara: See, e-Voting, if you see predominantly e-Voting income would accrue majorly in second quarter.

Hiten Jain: But even 9 months growth is weak.

Girish Amesara: So irrespective of. That income would predominantly be at the highest, at the peak in the second quarter. So if you compare 9 months to 9 months, more or less, it is almost same.

Hiten Jain: Okay. So we haven't seen much growth there.

Girish Amesara: Yes.

Hiten Jain: Okay. And CAS charges?

Girish Amesara: You will see growth in the CAS charges because currently, we are sending CAS statement to all the investors.

Hiten Jain: Correct. So what is that number, 9 months versus 9 months absolute?

Girish Amesara: So if you look at in the current 9 months, we have earned an income from CAS at around INR25 crores on a 9-month basis. And in the previous 9 months, we had earned an income of INR17 crores.

Central Depository Services (Indi

a) Limited

February 07, 2024

Page 16 of 16

Hiten Jain: Okay. So it's e-Voting which has not grown much this year versus prior year?

Girish Amesara: It's grown by INR50 lakhs.

Hiten Jain: Okay. All right Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Nehal Vora for closing comments.

Nehal Vora: Thank you all for your questions. I wish you all a very safe, secure and healthy life ahead. Thank you. Take care.

Moderator: Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

(no extractable text — likely a scanned image PDF)

Call: Aug 2024

(no extractable text — likely a scanned image PDF)

Call: Nov 2024

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Central Depository Services (India) Limited
CDSL/CS/NSE/RG/2024/284 November 04, 2024

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst/Investor Call/Conference Call held on October 28, 2024

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir/Madam,

This is with reference to our intimation dated October 21, 2024, for scheduling of
Conference Call on October 28, 2024. In this regard, please find attached the transcript of
the aforesaid Conference Call.

The above information is also available on the website of the Company
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Company Secretary & Head Legal
ACS No.: A20586

Encl: As above

Page 1 of 16

"Central Depository Services Limited
Q2 FY '25 Conference Call"
October 28, 2024

Management: Mr. Nehal Vora–Managing Director and Chief
Executive Officer– Central Depository Services
Limited
Mr. Girish Amesara – Chief Financial Officer –
Central Depository Services Limited

Mr. Sunil Alvares – Managing Director and Chief
Executive Officer -- Central Depository Services
Limited – Ventures Limited
Mr. Latesh Shetty – Chief Executive Officer –
Insurance Repository
Mr. Swaroop Gothi, Financial Controller

Moderator: Mr. Amit Chandra – HDFC Securities

Central Depository Services (India) Limited
October 28, 2024

Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the CDSL Q2 FY '25 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call, which reflects CDSL's outlook for the future or which could be constituted as forward-looking statements must be reviewed in conjunction with the risks that the company faces.

I would now like to hand the conference over to Mr. Amit Chandra from HDFC Securities.

Thank you, and over to you, Mr. Chandra.

Amit Chandra: Yes. Thank you, operator. So good afternoon, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Quarter 2 FY '25 Earnings Call. Today, we have with us the management team of CDSL, represented by Mr. Nehal Vora, MD, and CEO; Mr. Girish Amesara, CFO; and other senior leaders. We will start with a brief overview of the quarter by Mr. Nehal Vora, and then we'll open up the floor for the question-and-answer session. Thank you, and over to you, Nehal, sir.

Nehal Vora: Yes. Thank you so much, Amit. Very, very good afternoon to everyone, and thank you for joining us today to review CDSL's financial results for the second quarter of the financial year '24-'25. We posted a detailed investor presentation on our website for your reference.

I'm joined today by CDSL Group's leadership team, and we are pleased to share the company's progress and recent achievements with you. But before we go into the performance, let's first look at some important developments in the Indian capital markets. In quarter 2 of FY 2024-'25, India's capital markets demonstrated remarkable growth despite some volatility. The domestic investors continue to place their faith in the Indian capital markets, driven by the robust economic fundamentals and a strong growth of India. The long-term vision for economic reform and infrastructure investment continues to make India attractive securities market.

A significant milestone was reached in September, as the total number of Demat accounts in India surpassed 17 crores. CDSL added about 2 crore Demat accounts in the first 6 months of FY '24-'25 and about 1.2 crore demat accounts in quarter 2 of FY '24-'25, underscoring the trust placed by the market in us.

Our continued focus on digital innovation, such as ASBA and enhanced market accessibility and strengthened investor confidence, ensuring a seamless and secure trading experience. These initiatives align the commitment to empowering every investor to become self-sufficient.

We remain dedicated to leveraging technology and expanding our services to drive forward a more inclusive and a technologically advanced securities market. So, as we continue on this path, I would like to extend a heartfelt gratitude to all our stakeholders, beneficial owners, depository participants, issuers, regulators, employees and other market participants for their Central Depository Services (India) Limited

October 28, 2024

Page 3 of 16

steadfast support and partnership. We are especially grateful to our investors for the trust they place in us, which remains the driving force behind our progress.

Finally, on behalf of the CDSL family, I would like to wish you and your family a very happy Diwali and a prosperous New Year. Thank you once again for joining us today. I now hand over to the CFO, Mr. Girish Amesara, to take you through the details.

Girish Amesara: Thank you, Nehal. Good afternoon to all of you. First, I'll start with consolidated financial

results. The quarterly performance on a consolidated basis consists of total income for the quarter ended September 2024 has increased by 56% to INR359 crores as against INR230 crores for the

corresponding period of the previous year.

Our net profit for the quarter ended September 2024 has increased by 49% at INR162 crores as against INR109 crores for the same quarter during the previous year. On the half-yearly numbers for consolidated, the total income is INR645 crores, as against INR404 crores in the previous half year.

The consolidated net profit for the half year has increased by 62% to INR296 crores as against INR183 crores during the first half of the previous period. Speaking on the standalone numbers, the total income for the quarter ended September 2024 has increased by 78% to INR324 crore as against INR182 crores for the same period during previous year. The net profit for the quarter ended September 2024 increased by 95% to INR171 crores as against, INR88 crores for the same quarter during the previous year.

Now for the first half on a stand-alone basis, the total income has increased by 55% to INR545 crores as against INR352 crores during the first half of the previous year. The net profit has also increased by 53% to INR276 crores as against INR180 crores during the first half of the previous year.

Thank you all, and I will now hand over to Mr. Sunil Alvares to speak on the KRA business.

Over to you, Sunil. Thanks.

Sunil Alvares: In FY '24-'25, the first half CVL had a good half year. The total income increased by INR65.19 crores to INR144 crores in the first half of FY '25 and total expenses also increased by INR21 crores to INR55 crores.

The profit before tax was INR88 crores as compared to INR44 crores in the same period last year, which was jump by 98% and the profit after tax increased to INR66 crores from INR32 crores, which was again an increase of 100% as compared to the same period in the last year.

With this, I'll open the floor for question-and-answer.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee: Yes. So, sir, I have a couple of questions. So the first was the other income in the P&L that you have reported in the breakup that you have given on different revenue lines, so just wanted to

Central Depository Services (India) Limited

October 28, 2024

Page 4 of 16

understand that this jump in the other income that we have seen, what would be the underlying heads, which would have led to this kind of growth in the numbers?

If you can give us the breakup of the major parameters that are there, which has led to this growth? And the second question is on the other expenses side. So the breakup that you have provided there, I think there is I guess, there is a taxation element.

So, if you can give us some color on the taxation element, is it because of the capital gains tax change on your treasury book, whether that is impacting? And also, within that, any other head where the expense level has increased, if you can highlight on the same?

Nehal Vora: I'll ask CFO to answer.

Girish Amesara: So, in terms of other income, largely it consists of the consolidated statement that we send and the e-voting income that we earn with a combination of this. So those are at an amount of INR22 crores in terms of consolidated account statement and e-voting income of INR23 crores for the first half. This is the breakup of other income. And in terms of expenditure, we are taxed at 25.12% as per the income tax rate and accordingly, the tax provision has increased due to increase in the overall net profit.

Swarnabha Mukherjee: Okay. All right. So, no impact on the treasury side?

Girish Amesara: Treasury income is largely mark-to-market income. So as and when there is any actual realization of income, the t

ax accrues.

Swarnabha Mukherjee: Sure, sir. Got it. And in terms of the annual issuer chargers, if you could highlight what the breakup between, say, the listed and the unlisted companies and any impact if you were seeing on more unlisted companies coming in due to the recent regulation changes?

Girish Amesara: See, normally, we give the income of unlisted income, okay? So, in this quarter, we have earned a total income of INR9.20 crores from unlisted companies.

Swarnabha Mukherjee: Sure, sir. Sir, this increase, is this because of like more of this small companies coming in. Like it was mandated earlier to get...

Girish Amesara: Yes, it will be largely attributed to the regulated requirement of admitting the capital of small companies.

Moderator: The next question is from Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Sir, my first question is on the transaction charges. Obviously, we had like two rounds of cut in transaction charges and the new rate is applicable from the third quarter onwards from October.

But for this quarter, obviously, we had a strong growth in the transaction revenues. So, if you can quantify what was the impact of the pricing cut for this quarter? And also, in terms of the

pricing, obviously, we have seen two rounds, are we expecting any further like moderation in prices? Because if you see versus competition, we are still lower.
Central Depository Services (India) Limited
October 28, 2024

Page 5 of 16

Nehal Vora: So, the impact of the pricing cuts will start giving effect from 1st of October where single charge as per SEBI circular, we have kind of put in place. And in terms of further cuts that is futuristic, we don't give futuristic answers. But we continue to remain compliant and overall competitive also to the market to ensure that we give the best class of services at a reasonable cost.

Amit Chandra: Okay. So, in this quarter, there was no impact of the pricing cut because last call you said that there can be incremental 1-month or 2-month impact because we went down from 4.5 to 4 and then again 3.5. So is it all volume-driven in this quarter?

Nehal Vora: Yes. So it's a combination of volumes as well as yes, the overall slab had come down as part that was effective of 1st June. But it's a combination of the number of transactions versus the rate out there. It's kind of based on the overall market activity.

Amit Chandra: Okay. And sir, in terms of the issuer charges obviously, you mentioned that there was strong additions from the unlisted side. But also in terms of realization, how different it would be? Is it onetime fees also that we collect, which is the onetime fees and then the annuity compound is also there. So for this INR9.2 crores on revenue from unlisted, how many companies like we would have added in the 3 months, unlisted companies?

Nehal Vora: I'll ask the CFO to answer.

Girish Amesara: Amit, in 3 months, we have added 3,428 companies and onetime fee i.e. issuer admission fee is around INR5.15 crores from such companies.

Amit Chandra: Okay. So out of INR9 crores, INR5 crores is onetime, and the rest is the annuity?

Girish Amesara: Annuity fee.

Amit Chandra: Okay. And sir, in terms of the costing, obviously, we have seen a jump in the employee expenses. So this is largely the annual like bonuses and annual increments or is there any other component to it? And also, we have seen the fall in the technology expenses after a long time. So, can we assume that the elevated era of higher technology expense is behind us, and it can normalize from here on?

Nehal Vora: So on the employees, it's a combination of, obviously year-end appraisal bonuses paid out but also increase in the employee strength as the operations have grown. This is to keep in sync with the increasing kind of activity at CDSL. And this will be continuous to be being on a periodic basis so that we are adequately supported by human resource as and when

required.

Second is on the technology. As I said earlier, we are like an infrastructure company we are an infrastructure company for the market. And technology is something which constantly evolves. So I think it's a more long-term play rather than a quarter-on-quarter play. And I would really urge all of you to look at it from that standpoint because there is a lot of potential yet left in the market and it has to be adequately supported by the technology in terms of the latest to be put as a part of the CDSL ecosystem.

Central Depository Services (India) Limited
October 28, 2024

Page 6 of 16

Amit Chandra: No, so I agree to that, but my question was more that in FY '23 and '24, both we had 45% kind of a Y-o-Y increase in FY '24, 65%. So that kind of elevated technology cost will be seen, or we assume that it will be that elevated or because we have seen some moderation in this quarter. Is there some like one-off or like most of the investments that we planned?

Nehal Vora: No, it's again a part of the overall continuous assessment we've done. we don't give future guidance so we're not able to really give you. But the intent is to ensure that the technology remains sophisticated, remains modern and it remains adequate for the kind of the activity that CDSL has to go through.

Amit Chandra: Okay. And sir, one last question so in the others in terms of revenues, in the PPT, you mentioned that there was a contribution from like PACL activity. Is it a big number or is it or it was there in last quarter also, if you can quantify that?

Girish Amesara: It is more or less similar to last quarter.

Moderator: The next question is from Supratim Datta from Ambit. Please go ahead.

Supratim Datta: My first question is with respect to the transaction charges. I understand that you have...

Nehal Vora: Can you speak up a little bit, your voice is very soft?

Supratim Datta: Yes. So, what I was asking is on the transaction charges, I understand the current rate is INR3.5. Now could you give us some sense that how different is it from the previous blended yield that you would earn on transaction charges? That would be my first question.

And on the second one on cost. Now I understand from the previous participant and the commentary that you gave to his question that you don't give forward-looking guidance on transaction charges. But I wanted to understand -- it was on technology costs, but what I wanted to understand was on the technology, what are the other projects that remain or you are looking at implementing over the next 2 to 3 years? Could you give us some color on that, that would be very helpful?

Nehal Vora: So, on the transaction charges, you can kind of work out what would be the average cost with the in the previous quarter, but it has definitely gone through very rigorous working before we came to the conclusion that INR3.5 would be a reasonable charge given the current scale of the activity. And that is single charge, which is required to be done as per the SEBI circular.

As regards your second question on our technology, so technology will remain as a core input because being a market infrastructure company in the securities market where technology is the key driver, both in terms of sophistication of hardware, applications, security as well as network is going to become a key part of our constant assessment whether A, whether products which are here are there is some small sophistication, which has come and can be really implemented. And B, if there is some kind of more value proposition, which can be brought it into the technology fold in terms of throughput, in terms of speed, in terms of the efficiency is what will need to be continuously assessed as we move forward.

Central Depository Services (India) Limited

October 28, 2024

Page 7 of 16

The intent being that we create an infrastructure, which is secure at the same time kind of efficient so that it is real

ly able to assess the requirements of the market in terms of the efficiency and the time required to really processing this information. So it will be difficult to specify what would be there and that's, again, a futuristic statement. But overall, the ethos is to ensure this what I have just articulated.

Supratim Datta: Got it. And sir, on the first question, could you let us know whether this INR3.5, is that a revenue neutral rate or is it lower than because why I ask is because calculating the blended yield is difficult because we don't know what is the split of the delivered quantities based on the slab.

Nehal Vora: So it will be difficult to answer whether it will be revenue neutral or not, but going by the numbers see, because revenue is a function of number of transactions into the rate. Now the rate is just 1 part of the throughput. It's a number of transactions. So, quarter-on-quarter, how much are the number of transactions will really determine that. The intent being that really the economies of scale should be extended to the overall securities market, and that is what is the endeavour which has been done.

Supratim Datta: Got it. Got it. And my final question is on the private company side. I understand that you have incurred INR9.2 crores in revenues. What would be the cost associated with this? How much -- is there any incremental cost that is associated with it?

Nehal Vora: So the incremental cost will be of the technology of the people. It's the same usual as we call it. It is kind of the blended cost, which is part of the infra, both in terms of human resource and technology. It would not so therefore, it will be difficult to kind of quantify specifically to this activity because it's an overall infrastructure which is getting provided.

Moderator: The next question is from the line of Santosh Keshri from SKK. HUF. Please go ahead.

Santosh Keshri: I must congratulate you for such a great performance. I have two questions. One is about the cash balance that we have in our books. I assume, looking at the balance sheet, by my calculation is something like INR1,400 crores. And as you can see with the rising profits, the cash balances are going up.

So I am not asking a futuristic question, but in terms of the immediate needs of the business has not been there with so much of cash balance and also CDSL completing 25 years, you're issuing bonus shares. Any other plan for rewarding shareholders with some cash dividend or do you have any plans for using this cash for some acquisition purposes?

Nehal Vora: So we will continue to wanting to reward shareholders as and when it goes forward. Our overall endeavour has been to do but also there are newer products and technologies, also the strength of the financial statement is a very critical part of ensuring the robustness of CDSL as it goes forward.

It also builds the trust in people to really invest their hard-earned savings on to the CDSL platform. So we will continue to assess this. And wherever we feel that there is an appropriate opportunity to further reward shareholders, we will continue to do that.

Central Depository Services (India) Limited

October 28, 2024

Page 8 of 16

Santosh Keshri: Yes, sir. But rather than giving dividend every year, it could be quarterly with the profits because the other market participants like CAMS particularly, they give interim dividend at frequent intervals. So that would also be very welcome for a company like CDSL. That's my suggestion.

Nehal Vora: Yes. So as I said that what CAMS does is as per their scale of activity. We have a different scale of activity. I don't think they're comparable in that sense. But however, we have always kept in mind the shareholder interest, but more importantly, the overall market basically resiliency to be the core of our kind of the investment.

And as you have seen that in this last 25th year, we've given the record dividends coupled with a 1:1 b

onus. So, we will definitely not be shy in rewarding the shareholders wherever the opportunity is there. But at the same time, there's the resiliency of the markets and there's resiliency of the infrastructure and CDSL as a company, is the topmost in the mind wisely.

Santosh Keshri: Okay. Understood. And 1 more question regarding the trade receivable balances we have. Last September '23, the balance was something like INR90 crores, INR89.35 crores to be precise.

Now in this half year, as of September 30, '24, the balance is something like INR124 crores. So why this good increase in the trade receivable balance...

Girish Amesara: September '24 vis-à-vis September '23 is something we should avoid because the main reason is that we do any billing in the month of April, okay? And that's quite a chunk of amount. So, this is going to be there till some time, it is fully resolved.

Santosh Keshri: That I agree sir. But the point is that even compared if you compare this with the March balance, there also it's been an increase from INR86 crores to INR124 crores, so is this because of the revenue scaling up, our receivable balances will also go up? Or this is because of some stock balances which are which we hope to realize...

Nehal Vora: No, I think the way you should look at it is as a percentage of the total revenue, which is generated. I think the percentages are nearly the same or profit's lower in this year. And as the scale of activity grows, this will also grow.

Girish Amesara: And also, the scale of revenue growth, it is bound to grow.

Moderator: The next question is from the line of Pratik Shah, who is an individual investor.

Pratik Shah: Firstly, just I would like to congratulate, Nehal, sir, for becoming again MD and CEO for the CDSL. I wish under the leadership; the company will reach its new height in coming years and congratulations to the entire CDSL team for putting a great set of numbers.

I have a couple of questions and one suggestion to the team. Just like to want to know about this insurance repository. As we all know that now onwards this mandatory to dematerialize the insurance policy. What is the progress of that? And what are the kind of advances that company achieving quarter-on-quarter?

Central Depository Services (India) Limited
October 28, 2024

Page 9 of 16

And one suggestion to site side can we put up some kind of numbers for this desktop, mainly for this insurance repository to this our investor presentation so that we'll get to know that what is the progress of each and every quarter and how many policies we are adding by each quarter?

Nehal Vora: So first of all, Pratik, thank you for your warm wishes both personally as well as to CDSL team, they're really valuable. I'll ask the CEO of the Insurance Repository, Latesh Shetty, to answer your second question and suggestion.

Latesh Shetty: Pratik, Happy Diwali in advance. And as you rightly pointed out, with the recent regulatory changes at IRDA end, there has been a slight awareness about insurance repository per se in the market. But largely, we still depend on the life insurance and general insurance companies for giving the business. So that still has not changed.

What we have done at our end is we have now opened the portal for any policyholder to log in and create a free account so that the end policyholder can gain the benefits of insurance repository. So that is one change which we have done. And as the numbers are already published, we are currently in September '24 quarter, we have closed at 3 lakhs and the expenses remained at 85.31 lakh and it is a healthy growth rate, which is coming in.

Moderator: Next question is from Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Sir, you said INR9.2 crores of revenue from the unlisted companies. So and as you highlighted it is because of your regulatory thing. So, I just wanted to understand on incremental new companies which are c

onverting themselves into dematerialized form. How much we are enjoying the market share? Whether we are taking lion market share or we are actively targeting these companies to have a potential market share the way we have it in Demat account? That's my first question. I have two more. If you answer this, then I will ask those 2.

Nehal Vora: So in terms of the market share, there is no published specific numbers across the thing, but we continue to engage and continue to ensure that the value proposition is given for these because

there are some amount which is published, but whether that is total or not that needs to be assessed in overall. So hence, it will be difficult to comment on that question.

Sanketh Godha: Got it, sir. And the second question is on employee cost. Sir, this employee cost what we reported around INR31 crores, just wanted to understand, is there anything one-off variable cost which will not repeat next year in subsequent quarters?

Nehal Vora: No, no, this is part of the regular appraisal process and the new recruitments which we are doing. So, it's a combination...

Sanketh Godha: No onetime bonus kind of thing was paid in the current quarter, right, sir?

Nehal Vora: So, there is no question of onetime bonus. It's an annual appraisal cycle and there is a variable cost as well as the salary increments, which happen every year.

Sanketh Godha: Got it. Got it, sir. Perfect. And the next question was, sir, , if I look at other expenses, which is excluding employee cost, depreciation, and your technology costs, which are INR67 crores in

Central Depository Services (India) Limited

October 28, 2024

Page 10 of 16

this quarter. So the regulatory cost was just INR13-odd crore, still the jump in the other expenses.

Admin and other expenses seem to be very high, around 52 percentage quarter-on-quarter and almost 90 percentage year-on-year.

So still want to understand the color of these expenses, what is leading to it? Because regulatory cost, I understand, it's a variable growth along with the OPM, but still other things has grown meaningfully. Just if you can give a bit of color there would be useful, sir?

Nehal Vora: Yes. I'll ask the CFO to answer that.

Girish Amesara: So if you look at the overall operation, if you look at increasing the operating income, similarly, the operating expenses has also increased. For example -- I can give you an example that due to larger scale of retail operations we have to also send various kinds of SMS alerts, e-mail alerts.

So, we have to also considering that e-voting income largely comes in second quarter. There is similar expenses for e-voting, then we have professional fees. We also have inter-KRA expense on a higher scale, considering the PRA operations on higher skills. So, all put together this is culminating into overall increase in the operating expense.

Sanketh Godha: Got you. Sir, is it fair to assume this expense always to be variable to the top line?

Girish Amesara: Yes.

Sanketh Godha: Okay. Perfect. And lastly, 2 data-keeping questions, if you can give impairment cost in the quarter and the pledge income in the quarter?

Girish Amesara: Impairment cost for the quarter is INR3.28 crores and pledge income is INR7.30 crores.

Moderator: Next question is from Uday Pai from Investec. Please go ahead.

Uday Pai: I just had one question. If you can share the unique Demat account percentage out of total Demat account that you have?

Nehal Vora: We don't give that number out in the public domain as of now. So I would not be able to give that.

Moderator: Next question is from Sanidhya from Unicorn Asset Management. Please go ahead.

Sanidhya: Two questions on the repository side. Sorry, if I missed it, I joined a little late. One, what's the revenue for this quarter? And I can see we added almost a 1 lakh policies on the repository side, if I'm not wrong?

Girish Amesara: So revenue for this quarter is INR359 crores with a

net profit of...

Sanidhya: For the repository business I'm talking about.

Nehal Vora: You're talking about insurance?

Sanidhya: Yes, yes.

Central Depository Services (India) Limited

October 28, 2024

Page 11 of 16

Nehal Vora: INR103 lakhs for the September ended quarter, the revenue.

Sanidhya: And what would be the number of policies that would be added?

Management: The total cumulative policy that we have added is 15.72 lakhs is the cumulative policies so far.

Sanidhya: Okay. And sir, for this quarter?

Latesh Shetty: For this quarter sorry, I don't have the breakup of this quarter.

Nehal Vora: You can just send us a mail; we will send it across to you.

Sanidhya: Sure, sir. Sir, if you go by the last quarter's numbers, so there were nearly INR99 lakh revenue from 1 million or 1 lakh policies that were added. So is it safe to assume that -- like per policy it's like INR100?

Latesh Shetty: No, we do not give the breakup of per policy number, sir.

Sanidhya: No, on an aggregate basis. If we see the yearly, let's say, we this like, let's say, last year, we had

12 lakh then this year, we have 20...

Latest Shetty: Basically a blended cost what you need to see is the blended cost. Now whatever interpretations you want to take from the total revenue and total number of policies and come out with the average cost per policy, that is fine. But whether that is very extrapolatable or as a growth is something which we will we actually would not be able to tell you at this stage.

Sanidhya: Sure. Sure. And secondly, on the same business. So we are seeing that our competitors have been able to grow like a 10 lakh policies a quarter, whereas we are adding like 1, 1.2, 1.4 lakh policies a quarter. So where are we lacking? Like I think CDSL's technology platform, everything, this customer awareness, trust, everything is far better than any private player doing this?

Latest Shetty: So now you will see those changes because the major dependency is still with the insurance companies for us to grow the business. And as you rightly pointed out, the numbers are a bargain number, so the competitor may be giving a better deal. This is not necessarily we also should follow the same path.

As I mentioned earlier, now we have opened the portal for end policyholders to directly open the account and add the policies, so that will see some growth in the numbers. So now we are changing the strategy, and we are going directly to the end policyholders. That will also see some uptick in numbers going forward.

Nehal Vora: So again, that is really expected to see some whether it will happen or not that only the future will tell us.

Sanidhya: Okay. are we launching any applications for the same? And what are the kind of advertising expenses that we are trying to do and what kind of people we are trying to reach through doing this?

Central Depository Services (India) Limited
October 28, 2024

Page 12 of 16

Nehal Vora: It's a general upgrade of the portal itself. So there is no separate application that we are launching, but the core application itself is seeing some upgrades.

Sanidhya: Okay. Any tie-ups with the insurance agents or anything that we are trying, or we are planning or any plans for application as well?

Nehal Vora: Yes. I'm not at the liberty to disclose that right now. But yes, there are continuous efforts to bring in the insurers, which are not participating into the fold.

Sanidhya: Okay. No, I was talking about the individual insurance agents, like would we tie-up with those people so that they may help the customer to reach through CDSL, that's what I meant. And what would be your approach in growing this particular business? Like what kind of growth numbers should we see absolute not in the revenue terms, I'm just asking in terms of policies that we acquire going forward, like 2, 3 years down the line?

Nehal Vora: So, it is difficult to reveal that. It's again a futuristic statement

. Again, our intent is always to bring in the best-in-class technology across all our products and subsidiaries and to create value proposition and leave the rest to the market to figure out and give that kind of participation. So, I think that's really the intent behind all our kind of activities. So, it will be difficult to predict also, and we don't give any futuristic statement also.

Sanidhya: No worries, sure. Just lastly, on any advertising we are planning to do for this business.

Nehal Vora: No, again, there is no specific advertising for this business or that. Wherever it is required that visibility is required, the management will not be shy in really spending that money.

Moderator: Next question is from Supratim Datta from Ambit. Please go ahead.

Supratim Datta: I have just 1 follow-up question. So in the KRA business, I understand your competitor has launched a product, which promises 10 minutes KYC so just wanted to understand that are you planning a similar kind of product or a competitive offer? How are you planning to tackle this competition that is emerging on the KRA side?

Nehal Vora: Sunil if you can answer that?

Sunil Alvares: Yes. So, to answer your question, we already launched a similar facility. So, we complete almost 50% to 60% of whatever KYC records come to us in the first hour itself. And then depending on the clarity of the image, et cetera, we verify the rest. Most of our clients, continue to be with us in spite of the competition, because of the quality of our services we offer.. I hope that answers your question.

Moderator: Next question is from Santosh Keshri from SKK. HUF. Please go ahead.

Santosh Keshri: So this question relates to CVL. As I heard correctly, the profit of CVL for this quarter increased by 96% compared to the last year, correct me if I'm wrong.

Sunil Alvares: Yes.

Central Depository Services (India) Limited
October 28, 2024

Santosh Keshri: Okay. So this is a very good increase in the topline. And I wanted to know about this in the sense that do we get any revenue from CDSL or all our revenues from the third-party players, for example, mutual funds or brokers. How do we get revenue?

Sunil Alvares: See, 99.99% is from the market that is intermediaries like brokers, mutual funds, you name the intermediary in the market. With CDSL, we are doing some PAN verification, so that is the only revenue we get from CVL.

Santosh Keshri: Okay. Okay. Great. And what could be the annual profitability, not for the future, but the last 12 months, if you can just share that number?

Nehal Vora: Profitability over the last 12 months?

Santosh Keshri: Yes, last 12 months, sir.

Girish Amesara: Last year, it was INR86 crores in case of CVL.

Santosh Keshri: So that was for March end financial year ending March '24, you were talking about?

Girish Amesara: Yes. You said last year, right?

Santosh Keshri: Yes. So last 12 months, if we say year ending September '24...

Nehal Vora: So as on September '24.

Girish Amesara: So last year first half was around INR34 crores.

Sunil Alvares: It was INR32.21 crores to be exact.

Santosh Keshri: Okay. And this year, it is something like and what will be the amount for this year, sir?

Girish Amesara: Sorry?

Santosh Keshri: What will be amount for the last 6 months, that is the 6 months ending September '24?

Sunil Alvares: INR66.54 crores is the profit after tax for the first half year of this financial year.

Santosh Keshri: So sir, I have 2 requests on this. One is that if in our PowerPoint, now it's a good amount of profit that's coming from CVL, so if you can give more details, more color in our presentation -
- quarterly presentation about CVL, it will be really helpful in terms of the different revenue breakups and the expenses that we have.

And secondly, now this is a good business, something like INR90 crores, INR95 crores coming as a profit from this business. Any plans for listing this as a

separate entity in the market?

Because I remember when the CDSL was listed, the profit for the CDSL for the entire year was something like under INR100 crores. So then the management the BSE management, your shareholders thought it good to list CDSL in the market. Any plan for listing CVL as a separate entity in the market?

Central Depository Services (India) Limited

October 28, 2024

Nehal Vora: So I just thought I'll clarify the reason why CDSL was listed. BSE had to divest its stake from 54% to 24% at that time and the most democratic and scientific and transparent way of this would be to go through and maybe an offer for sale and hence CDSL was really made to list at that stage. CVL, whether it will be listed or not is something which would continuously be assessed by the CDSL Board and management. And whenever we feel the appropriate time, that time we'll come forward.

Santosh Keshri: Right, sir. Fully agree with you, but that would be a very good way to reward your shareholders without costing CDSL much. You'll be able to that will be a very good exercise in terms of balance sheet management. And as you said, a democratic way to benefit shareholders of CDSL, who have been persisting with the company for a long time. Though it has rewarded, there will be much more reward if this happens.

Nehal Vora: So, we'll we have anyways taken note of your suggestion. We will see it really at an appropriate time. Thank you.

Santosh Keshri: Thank you so much, sir.

Moderator: Thank you. Before we take the next question, a reminder to participants that you may press star and one to join the question queue. The next question is from Parimal Mithani from Credential Investments. Please go ahead.

Parimal Mithani: Sir, thank you for the opportunity and congratulations on a good set of numbers. Sir, I just wanted to know any update on the account aggregator side, sir? What is the status currently right now?

Nehal Vora: No, the account aggregator CDSL has been mandated as per SEBI circular [inaudible 0:48:34]

Parimal Mithani: Sorry, sir, I could not hear you, sir.

Nehal Vora: I'm sorry, as per the SEBI circular, CDSL is a financial information provider, so an FIP, and it continues to be that for people to access their information. We are not in the business of the account aggregator. And as regards the FIU, that will be driven by the SEBI rules as prescribed from time to time.

Parimal Mithani: Okay. And sir, second question is, there is an increase in investment in associates from almost

INR25 crores to INR46 crores. Can you give a breakup on across which subsidiaries you invested sir?

Nehal Vora: I'll ask the CFO to answer that.

Girish Amesara: The investment in associates is basically into the gold bullion doing company at GIFT City. And for GIFT City companies, there are regulatory network requirements prescribed by the IFSCA regulator. So, all the consortium members invested a similar amount in the holding company, which has floated stock exchange and repository in the GIFT City.

Parimal Mithani: Okay, sir. Thank you.

Central Depository Services (India) Limited

October 28, 2024

Page 15 of 16

Moderator: The next question is from Arka Bhattacharjee whose an individual investor. Please go ahead.

Arka Bhattacharjee: Congratulations on the beautiful numbers and also living up to your commitments regarding the bonus that you had a discussion on the last con-call and regarding your shareholders, so we are really grateful for that. I just wanted to know I have two questions, one on the technical stack side and another on the insurance question that asked, which is regarding if you can give you some color on the insurance repository in terms of the...

Nehal Vora: Your voice is not very clear Bhattacharjee. Your voice is a little muffled, so we cannot really understand what you're saying.

Arka Bhattacharjee: Okay. So I'll try to speak a little louder on this. Just a

follow-up question on the previous one. If

you can give me some color on this kind of repository industry that what kind of growth prospects we are looking at? And also, what is the opportunity for investors like us? And also on the technical side for the kind of tech stack that you guys are using, because there is no mention on the annual report as well?

Nehal Vora: I'm sorry, what is we have not mentioned in the annual report? I didn't get that part.

Arka Bhattacharjee: The technical stack that you guys are using because you have given an overview on the safety, security and all these things. But there's no specific mention of kind of technology that you're using. Is there a restriction to that or if you can disclose it to your shareholders on the report?

Nehal Vora: So normally on technology i.e. which technologies are used is never disclosed as a part of within those principles. It is more importantly as to what that technology is able to do and converting it into a value proposition in terms of numbers, in terms of throughput, et cetera, which I think would be more of interest to the shareholders. So typically, in any of our businesses, we don't really state about the technology. And I don't think any other companies also don't really disclose the technology is being used within your company.

And I'm sorry your first question was again, what would be the insurance repositories growth in future? We don't give any future guidance. I'm sorry, I would not be able to give you.

Arka Bhattacharjee: Yes. Right. Okay. And congratulations on the numbers.

Nehal Vora: Thank you.

Moderator: Thank you. The next question is from Shreyansh Jain from Arthya Wealth and Investments. Please go ahead.

Shreyansh Jain: Yes. Thank you for the opportunity. Actually, sir, as you mentioned that we have -- we got -- had an income of e-voting and consolidated account statement in second quarter. So it is included in our other operating income segment, or it is included in our IPO and corporate action segment?

Girish Amesara: Other operating income segment.

Shreyansh Jain: So what are the revenue streamlines for our IPO and corporate action segment, can you give some color on that?

Central Depository Services (India) Limited

October 28, 2024

Page 16 of 16

Girish Amesara: The IPO, corporation action income, if you look at quarter-on-quarter, this quarter, we have a healthy growth. if you look at IPO corporate action charges, it is largely because of on account of IPOs.

Nehal Vora: The IPOs, which come out and the related activity in the repository is supposed to do in terms of the validation. It's linked to that. So finally, from your point of view, it is mainly the IPO-related activities, the listing of the IPO and the validations which are required for the IPO to both.

Shreyansh Jain: Okay. So, in this quarter, the good growth in IPO income is due to higher number of IPOs or is it something related to other activities?

Nehal Vora: So, it is a number of IPOs and the size of the IPOs, both.

Shreyansh Jain: Okay. So, a higher size of IPO, we get better yield?

Nehal Vora: On the yield, it is the number of validations, which needs to be done as a part of the ecosystem.

So, there are charges for those validations. So more the number of applications, more validations.

Shreyansh Jain: Okay. Understood. Thank you so much.

Nehal Vora: Thank you.

Moderator: Thank you. That was the last question in queue. I would now like to hand the conference back to Mr. Nehal Vora for closing comments.

Nehal Vora: Yes. So, I would like to wish all of you a very happy Diwali and Happy New Year. Thank you for all your questions and continue to stay safe and sound. Thanks.

Moderator: Thank you very much. On behalf of HDFC Securities, that concludes this conference. Thank you for joining us, ladies, and gentlemen. You may now disconnect your lines.

Call: Jan 2025

(no extractable text — likely a scanned image PDF)

Call: May 2025

(no extractable text — likely a scanned image PDF)

Call: Aug 2025

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CDSL/CS/NSE/ AD/2025/ 204 August 01, 2025

The Manager,
Listing Compliance Department,
National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai – 400051

Symbol: CDSL
ISIN: INE736A01011

Sub: Analyst/Investor Call/Conference Call held on July 28 , 2025 .

Re: Disclosure under Regulation 30 of Securities and Exchange Board of India
(Listing Obligations and Disclosure Requirements) Regulations, 2015.

Dear Sir /Madam ,

This is with reference to our intimation dated July 22, 2025 , for scheduling of Conference Call on Monday, July 28 , 2025 . In this regard, please find attached the transcript of the aforesaid Conference Call.

The above information is also available on the website of the Company
www.cdslindia.com

This is for your information and record.

Thanking you.

Yours faithfully

For Central Depository Services (India) Limited

Nilay Shah
Company Secretary & Compliance Officer
ACS No.: A20586

Encl: As above

Page
1

of
16

“Central Depository Services (India) Limited
Q1 FY '26 Earnings Conference Call”
July 28, 2025

M
ANAGEMENT
:

Mr. Nehal Vora
—
Managing
Director
and
Chief
Executive Officer
—

Central Depository Services
(India) Limited

Mr. Girish Amesara
—

Chief Financial Officer
—

Central Depository Services (India) Limited

Mr. Sunil Alvares
—

Managing
Director
and
Chief
Executive Officer

--

CDSL Ventures Limited

Mr. Latesh Shetty
—

Managing
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Centrico Insurance Repository
Limited

Mr. Kamalendra Srivastava
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Managing Director &
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Countrywide Commodity
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Mr. Swaroop Gothi, Financial Controller

M
ODERATOR
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Mr. Amit Chandra
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HDFC Securities
Central Depository Services (India) Limited
July 28, 2025
Page 2 of 16

Moderator: Ladies and gentlemen, good day, and welcome to the CDSL Q1 F Y '26 Conference Call hosted by HDFC Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

Ladies and gentlemen, please note that CDSL does not provide specific revenue or earnings guidance. Anything said on this call which reflects CDSL's outlook for the future or which could be constituted as forward-looking statements must be reviewed in conjunction with the risks that the company faces.

I would now like to hand the conference over to Mr. Amit Chandra from HDFC Securities.

Thank you and over to you, Mr. Chandra.

Amit Chandra: Thank you, operator. Good afternoon, everyone. On behalf of HDFC Securities, we welcome you all to the CDSL Q1 F Y '26 Earnings Call. Today, we have with us the management team of CDSL, represented by Mr. Nehal Vohra, MD and CEO, Mr. Girish Amesara, Chief Financial Officer and other senior leaders from the management team. We will start with a brief overview of the quarter by Mr. Nehal and then we will open the floor for the question -and-answer session. Thank you and over to you, Mr. Nehal, sir.

Nehal Vora: Very good afternoon and welcome, everyone. I hope each of you and your loved ones are safe and healthy. Thank you for joining us today to discuss CDSL's financial results for the first quarter of the FY '25-'26.

We posted a detailed investor presentation on our website for your reference. I am joined by the CDSL Group's leadership team. Let me start with the industry highlights and take you through some of the key aspects of our performance.

The average daily turnover at BSE & NSE in Q1 FY '26 was at about INR1.16 lakh crores, a jump of 15% from the last quarter. I am glad to report that we are close to a count of 20 crore s Demat accounts as an industry. CDSL saw more than 56 lakh accounts opened in this quarter, bringing our total to 15.86 crore Demat accounts, maintaining a 79% market share. This is as on June 30, 2025.

In order to further the mission of investor education empowerment, both the depositories have collaborated to introduce a new feature in the respective investor apps, CDSL's app being called MyEasi. This reform enables retail shareholders to access proxy advisory recommendations while voting on company resolutions through the e -voting system.

The intent of doing this is to ensure more shareholder activism and more power and tools to each retail shareholder to responsibly vote for their shareholder meetings. This will also enhance transparency and corporate governance standards across the Indian industry. Having access to the proxy advisory recommendation will also enable investors to make informed decisions with confidence.

Central Depository Services (India) Limited
July 28, 2025

The CDSL Investor Protection Fund also introduced its new awareness platform, a comprehensive online resource made available in English and 11 other languages. This website or microsite has been designed specifically for investors as a one-stop shop for all the investor education and empowerment concepts, including securities market concepts, to encourage responsible investing. The new feature in the investor app and the new website with CDSL IPF were both unveiled by the Honorable SEBI Chairperson Shri Tuhin Kanta Pandey. We invite you to explore both platforms and share them within your circles so together we can continue building a more informed and engaged investor community. I'm also happy to share that CDSL was recognized with the 'Innovation in Market Infrastructure Award' at the Leaders in Custody Asia Awards 2025 by Global Custodian. In June 2025, Mr. Girish Amesara, Chief Financial Officer, was declared as a winner of the FE CFO award in the Small Enterprises segment under services sector. We are humbled by these recognitions and continue to remain committed to serving the Indian securities market.

Before I hand it over to Girish Amesara, Chief Financial Officer, I would like to reaffirm that CDSL's focus remains on enhancing the capital market ecosystem by enhancing efficiency, trust and transparency. We are prioritizing our #Atmanirbhar Investor-focused approach while striving for innovation resulting in consistent and sustainable financial and business performance.

The market with its ebbs and flows has shown incredible resilience in these last few months and we owe it to the strong ecosystem who put their constant faith in us. My appreciation and gratitude to all our stakeholders, regulators, depository participants, investors, issuers and the wider ecosystem and last but not the least the employees of CDSL. Thank you and over to you, Girish.

Girish Amesara: Thank you, Nehal, Good morning to everyone. Speaking on the consolidated quarterly performance, the total income for the quarter ended June 2025 is achieved at INR295 crores as against INR287 crores for the previous corresponding quarter. The net profit for the quarter ended June 2025 is at INR102 crores as against INR134 crores for the corresponding quarter of the previous year.

On a stand-alone basis, the total income for the quarter ended June 2025 is at INR312 crores as against INR221 crores for the corresponding quarter of the previous year. The net profit for the quarter June 2025 is at INR152 crores as against INR105 crores for the corresponding quarter of the previous year.

Now I will hand over to Mr. Sunil Alvares who will take us through our wholly owned subsidiary CDSL Ventures performance. Over to you, Sunil. Thank you.

Sunil Alvares: Thanks, Girish. CVL total income for the three-month FY '26 was at INR43.06 crores as compared to INR64.37 crores for three-month FY '25. The total expenditure was at INR30.35 crores for three-month FY '26 as against INR35.82 crores for three-month FY '25. The profit after tax for three-months FY26 was at INR12.71 crores as against INR28.55 crores. With this, I will open the floor for the questions and answers.

Central Depository Services (India) Limited
July 28, 2025

Page 4 of 16

Moderator: Thank you very much. We will now begin the questions and answer session. First question is from Ashish Kumar from Ampersand Capital Investment Advisors. Please go ahead.

Ashish Kumar: So, my first question is on employee expenses. There has been a sharp rise on QOQ basis. So, what was the reason for this and what kind of growth are we expecting for the full year? Second question is on what kind of IT spends are we looking for the full year and is it going towards any new products or like it is mostly maintenance? Are we looking for some innovative products which are coming in the market? So, those are my two questions.

Nehal Vora: So, one is at the outset, we do not give forward-looking statements. So, I will restrict my comments to the current expenses and what the overall theme and intent is. See, the two important inputs for CDSL as a market infrastructure institution is the technology spend and the human resource spend.

So, as we are growing in size, and I would urge you to even look at the market infrastructure institutions with regulations which SEBI have mooted. For depositories, there is a separate regulation and separate for exchanges and clearing corporation. It constitutes into vertical 1, vertical 2 and vertical 3, where the IT and critical operations form a part of vertical 1, regulation risk and control functions form part of vertical 2 and business and others form part of vertical 3.

So, as per that, the requisite focus needs to be given for continuity of critical operations and technology and as we are growing in size and sophistication, we need the people to get recruited

in all these three verticals at the paramount form. Also, the year-end performance appraisal variable payouts have been reflected in this quarter. So, that is the other thing which you will need to factor in.

Our intent is to build a more long-term resilient infrastructure institution as I have been saying in all my past investor calls. So, it is more of a long-term play which this company is going into, had been, has been and will continue to embark on.

On the technology front, on all the four components of infrastructure, application, security and network is where we are continuously innovating as per the new products which are getting initiated. This is to bring in a lot of nimbleness in our systems but at the same time bring in the best-in-class products. So, it is a combination of building newer platforms and also enhancing the efficiency and the sophistication of the infrastructure.

Ashish Kumar: Thanks, thanks. That is all from my side.

Moderator: Thank you. The next question is from Mr. Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yes, sir. Thanks for the opportunity. So, my question is on the annual issuer charges. So, obviously, we have seen a very sharp jump in the annual issuer charges both on sequential and YOY basis. So, if you can explain now what could be the reason for such a sharp jump here? Is it only increase in the number of retail participants and the folios or is it also because of the unlisted revenue if you can provide some breakup there?

Central Depository Services (India) Limited

July 28, 2025

Page 5 of 16

And how do we see that like moving because we have been accelerating on that front? So, that is my first question. Second would be on the online data drive which is the KYC revenue. This is the third quarter where we are seeing sequential decline and the second quarter we are seeing ROI decline.

And, what is causing this and is there any measures we are taking to correct this? And if you can give the mix between the KYC creation and such and what is exactly causing the decline here? Thank you.

Nehal Vora: Yes. So, on the first count, it is mainly an account of increase in folios which are relevant to the CDSL part as per the framework which SEBI has prescribed on how such charges are supposed to be charged to companies. So, that will answer your first question. In the unlisted front while it is a new source, it is kind of early days in terms of the overall scheme of things.

So, again, going back to my earlier question that we want to build a strong resilient long-term business proposition and which is seamless. So, I think that when you get more and more people using your platform and then that causes the increase in the overall revenue on a long-term sustainable basis.

On the second question, I will ask Sunil to answer that.

Sunil : If you ask the percentage of creation and fetch, it is about 85% to about 15%. And the drop in income was primarily because of market conditions where the number of accounts were lower, which resulted in lower KYC fetches. I hope that answers your question.

Amit Chandra: Okay. My last question would be on the cost side. Obviously, you have mentioned about the increase that we have seen in the employee benefit expenses. But from an overall perspective, based on what this new SEBI regulation suggests, where are we in the journey in terms of the overhamp of our cost structure?

Is it we are going to see similar kind of investments going further into employee? Or are we like invested and we see a steady rise from here in terms of employee benefit expenses? So, I just want to understand in terms of where we are in the journey in terms of the overall t

hat we are

doing in terms of the overall heavy structuring that we are doing internally. And secondly, on the tax rate for this quarter has been on the higher side, if you can explain that. Thank you.

Nehal Vora: Yes. So, on the first one, we again do not give a forward-looking statement. But the ethos is that we currently are in overall the theme which has been laid down in the regulation from a spirit standpoint is being applied.

And it is more of building the right platforms to ensure that we are all set for growth as we move forward. And as the overall Indian economy grows, more and more people are expected to join the ecosystem. CDSL is equipped to ensure that it has the right infrastructure, the right people to handle that load.

So, it is more of a combination of current business operations coupled with a more long-term planning also, so that we are completely in sync with what is expected. Supposedly, like we see

Central Depository Services (India) Limited

July 28, 2025

Page 6 of 16

a growth what we have seen about two or three years ago, post-COVID. And that is more of a

more proactive planning also which is going.

It is also to ensure that the overall sophistication which is expected by the wider ecosystem is also adhered to. And we are able to kind of gauge what the requirements are and nimble enough to restructure our infrastructure as and when required. So, it brings in a lot of sophistication as we move along. On the tax, I will ask the CFO to answer.

Girish Amesara : See Amit, normally we receive dividends from our subsidiary companies. And that we take advantage for the purpose of taxation on a stand-alone basis. So, when we do a consolidation in the first quarter, wherever there is a dividend increase in stand-alone, the tax, deferred portion of the tax tends to increase at a consolidated level. All subsidiary companies taxes are considered in consolidation based on the stand-alone taxes. So, it is an impact of tax adjustment on account of dividend received from subsidiary companies.

Amit Chandra: Okay, sir. Thank you. Thank you.

Moderator: Next question is from Uday Pai from Investec. Please go ahead.

Uday Pai : Hi, thanks for taking my question. I just had one question on the KYC front. So, there is a newflash that government is going to revamp central KYC from March 2026. So, can you give us some color? Is that beneficial to us or how would it impact us, our KYC business? Thank you.

Nehal Vora: So, see overall we will have to see once the new model is announced. But I think the intent is that the existing KRA system is efficient. It is seen by the market. So, how it can be leveraged further to enhancing the benefits of that as we move to the next phase of the KYC model. So, it is kind of really early days, but I am fairly sure and certain that the existing benefits of our system will continue and is at least expected to continue in the new framework also.

Sunil Alvares : Yes, like just what Nehal said, the KRAs will be integrating with the CKYC. That is all we know about it as of now. So, as and when it happens, and we have more details, we will be able to tell you how it is going to happen.

Uday Pai : Sure, sir. Can you just tell me what is the KYC revenue as a percentage of your total console revenue right now?

Girish Amesara : It is around 13% in the current quarter.

Uday Pai : Sure, sir. Thank you. That is it from my side.

Moderator: Thank you. Next question is from Mohit Motwani from Tara Capital. Please go ahead.

Mohit Motwani : Yes, I just need a clarification on the annual issue charges. So, I understand that the revenue for any year is based on the average number of folios in the previous financial year. So, can you just let us know how does it accrue over the four quarters? And does it mean that the addition of issuers in a quarter does not contribute much to revenue? So, if you can just explain

in that, please.

Central Depository Services (India) Limited

July 28, 2025

Page 7 of 16

Nehal Vora: No. So, there are two parts of the annual issuer. One is that what is the going concern of which are already listed is based on the past financial years folios which is getting billed to the issuer at the beginning of the first quarter. And as on there are new issuances, those will be payable by these issuers to depositories based on the size, etc., as and when it happens. And then in the subsequent financial year, it will follow the framework which I described earlier.

Mohit Motwani : Sure. And in regard to the IPO, corporate action revenues, so we saw a sharp decline sequentially in the number of applications, yet the IPO corporate action didn't see a very sharp decline. So, was it like the corporate actions contributed much to the revenues? If you cannot share the number, the qualitative sense would be helpful.

Nehal Vora: Yes. So, you can take an estimate. The number of IPOs is anyway out in the public domain. And that the remaining would be the corporate actions which are consolidated number which is getting reported

Mohit Motwani : Okay. So, corporate action would have contributed more to this quarter revenue. Is that understanding correct?

Nehal Vora: Yes. I mean, as a percentage as compared to the other quarters, the corporate action percentage contribution to this combined bucket will be more because the number of IPOs are comparatively lower.

Mohit Motwani : Sure. Thank you for those answers. Thank you. That's all from my end.

Moderator: Thank you. Next question is from Vaibhav Sharma from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha: So, this is Madhukar Ladha from Nuvama. So, just one on the annual issuer charges. Sir, can you give a breakdown of unlisted and listed? And I think in one of the previous calls, you had also mentioned the number of folios. So, which was, I think INR 22.76 crores for the previous period. So, can you also give me the folio count for what you're using in FY26?

Next on employee cost, you mentioned that there is some bonus provision also in Q1. So, can you give me the bonus provision number as well? So, yes, those would be my two questions?

Nehal Vora: I'll ask the CFO to answer both the questions.

Girish Amesara: So, the folio, average folio for this financial year is INR33.26 crores. In bonus provision, normally we don't give the breakup of the employee cost in financial results. But it is as per the overall policy that we have implemented at CDSL, which is consistently being followed since last couple of years.

Madhukar Ladha: And sir, unlisted charges. So, how much is that for unlisted companies?

Girish Amesara: So, unlisted revenue for this quarter is INR6.39 crores.

Madhukar Ladha: Okay. And is there any one-time element in the annual issuer charges for in Q1?

Central Depository Services (India) Limited

July 28, 2025

Page 8 of 16

Girish Amesara: The application processing fee that we collect is one-time fee, and it is at INR5.23 crores.

Madhukar Ladha: Got it. This is very helpful. Yes, I'll come back in a few.

Moderator: Thank you very much. Next question is from Swarnabh Mukherjee from B&K Securities. Please go ahead.

Swarnabh Mukherjee: Thank you for the opportunity. Most of my questions have been answered. I just wanted to understand that this bonus provision that you have mentioned, that is unlikely to arise or is it like provided over every quarter for the whole year? If you could show some color on that and also some data keeping questions, if you could split out the cash income, voting income and pledge income for the quarter and any impairment cost?

Nehal Vora: Sure. I will ask the CFO to answer.

Girish Amesara: So, the provisions are made on a quarterly basis. And it has been consistently followed on accrual concept. In terms of the

other income breakup that you want, the income from consolidated account statement is at INR13 crores, e-voting at INR6.5 crores. The other part of other income which has been reported in the investor presentation is largely on account of the investment income which is at INR35 crores. Apart from that, we have e-sign and e-KYC income of INR4.5 crores and miscellaneous income of INR7 crores. This gives the breakup of the consolidated amount mentioned in the investor presentation.

Swarnabh Mukherjee: Right, sir. Very helpful. Just one follow-up, sir. You said the unlisted revenue for the quarter is around INR6.23 crores. I mean, I think last year sorry, sir, can you come back?

Girish Amesara: I said INR6.39 crores was the income from unlisted companies.

Swarnabh Mukherjee: Okay, sir. So, I think last call you had mentioned it to be almost about INR36 crores. So, like in case of listed companies, we generally see a stability of the quarterly run rate. Is it any different for the unlisted part?

Girish Amesara: Basically, this is dependent on the companies who intend to do any transactions in their member index. So, as and when there is a requirement at the company's end, they will come to the depository for admitting their security.

Swarnabh Mukherjee: Right, sir. But whatever was admitted last year, there we continue to incur, right?

Girish Amesara: Yes, more or less, yes. They will pay the issuer fees. They will not pay the application fees. Application fees is a one-time fee.

Swarnabh Mukherjee: Okay. Understood, sir. Of last year's INR36 crores, how much will be the application fee component of that?

Girish Amesara: It was INR19.74 crores.

Swarnabh Mukherjee: Okay, sir. Understood. Very helpful. Thank you so much, sir and all the best.

Central Depository Services (India) Limited

July 28, 2025

Page 9 of 16

Moderator: Thank you. Thank you. The next question is from Sanketh Godha from Avendus Spark. Please go ahead.

Sanketh Godha: Thank you for the opportunity. And for the quarter, it was almost 32. So, is it fair to say that for the future, it will rise back to 25 at the console level?

Nehal Vora: That will be difficult to predict. We don't give forward-looking statements. So, we will have to wait and watch as each quarter unfolds.

Sanketh Godha: Okay. Got it, sir. And just one thing on KYC. I think KYC income, we all know that there is a bit of slowdown in Demat account opening incrementally compared to what we witnessed in the past. So, is it fair to say that our KYC income will also see a bit of slowdown with the Demat account opening slowing down? Or you can see that can be more than compensated by probably IPO?

So, basically, the color what I wanted to understand, sir, is that in KYC income, whether Demat account opening contributes the most or MFR or something else contributes most in KYC to understand the legal sustainability of this growth?

Nehal Vora: Yes. So, I think it's a combination. It will be difficult to create specific contributors on a consistent basis. It depends on that market dynamic, as well as the environment. And how the market as an entire unit is kind of accessing whether it's mutual funds versus Demat accounts,

fetch versus creation. So, there is no specific model or percentage. It depends on each quarter - to-quarter.

Sanket Ghoda: Okay. No, sir. The reason why I'm asking is that Demat account in general because we already added so many people in last 5 years is gradually slowing down. So, this slowdown will invariably impact on KYC. That's the reason I was asking that question.

Nehal Vora: Yes. But again, Demat accounts slowing down may not only be because a lot of them added, because lot of people are using .

Sanket Ghoda: Okay. Okay. Got it, sir. Last two more. If you can give a pledge income data and impairment data for the quarter. And lastly, just again on this employee cost

means there is this path is one

time which is getting reflected in the current quarter or this variable path in subsequent quarters .

Because I just wanted to check whether this variable path fully reflected in the current quarter , or we will see due to play out in next quarter too.

Girish Amesara : So, the margin pledge income for this quarter is INR5.05 crore. And there are no onetime costs as far as employee cost is concerned.

Nehal Vora : No, no, he's asking. So, your question if I've understood is right that the payout happens in the first quarter, but the accrual for all of that happens equally as per the accounting standards in each quarter. Payout happens for the entire , like in any other company variable pay is getting paid out based on the performance at the end of the financial year and is therefore paid out.

Central Depository Services (India) Limited

July 28, 2025

Page 10 of 16

Sanket Ghoda: Okay, understood. So, if you can even give me the impairment cost number which you typically spell out.

Nehal Vora: It is a INR3.69 crore s.

Sanket Ghoda: I'm sorry, can you repeat, sir?

Nehal Vora: INR3.69 crore s.

Sanket Ghoda: Okay, INR3.69 crores . And lastly, sir, in the unlisted revenue, which you said is INR6.39 crores. In that you are saying application related income INR5.23 crores. It's part of that INR6.39 crores, right, sir?

Nehal Vora: Yes.

Sanket Ghoda: Okay, okay, perfect. That's it from my side. Thank you.

Moderator: Thank you. Next question is from Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes, hi, sir. S ir, personally on, if I look at your EBITDA margins, we were on a console basis, we are running at 60% thereabouts in most part of last year. And now that you know, it's being at about 50% in the past couple of quarters, any pricing action or either on issuer charges where you are going back to the regulator for a price hike, or for that matter, even transaction charges, you plan to increase or anything of that sort that i s there in the offering?

Nehal Vora: So, the price for issue for the investors or transaction was that that one charge with the circular requires. So that time we had factored in certain economies of scale and made it at 3.5. We are about INR0.50 cheaper than our competition. This is to factor in the economies of scale. And there was an additional INR0.25 discount given for female investors in the first to encourage a lot of diversity in the holdings.

For mutual funds and for bonds individually, there's another INR0.25 discount again to kind of encourage more and more people to hold mutual funds and bonds through the Demat holding. Issuer charges has been increasing on a periodic basis. As you know, depository charges have to be approved by the regulator. So, this is something which is a continuous process of work in progress and as we factor in. So, as and when the necessary approvals come in, it is, I would be able to disclose it only o nce it comes out in the public domain.

Prayesh Jain: So, have you applied for it?

Nehal Vora: Again, we do not generally discuss our conversation with the regulator in the public domain. Confidentiality . So, but as and when the process is approved, we will make sure that it is put out in the public domain.

Prayesh Jain: Got that. And s ir, any strategy that you can talk about with respect to 3 -in-1 accounts, wherein if the ASBA is implemented across various aspects of the business, how well we are versed or how well we are positioned to kind of do the 3 -in-1 accounts for particularly for discount brokers?

Central Depository Services (India) Limited

July 28, 2025

Page 11 of 16

Nehal Vora: So, I think 3 -in-1 accounts is a methodology for each of the DPs to offer. We have the necessary technology APIs and solutions for them to kind of factor that in. It's a bank account versus Demat account. So, we are responsible as a depository

for the Demat account and ensuring that the necessary technology enablement's are already in place. And those will continuously be enhanced and made more sophisticated as we move forward.

So, I think that is the business model of the ecosystem . As CDSL, I need to play my part as a depository to ensure that the Demat side of the business is being properly structured. At the same time, it has a necessary technological connects to facilitate any innovation which is required. How much of this has to be associated with various banks that brokers would have partnered with? So, how much involvement is there with respect to building the association with the customers' banks? You will have to ask those DPs and intermediaries.

Prayesh Jain: How much of this has to be associated with various banks that you or your brokers would have partnered with? So, how much involvement is there with respect to building the association with the broker's bank or the customer's banks?

Nehal Vora : That you will have to ask those DPs and intermediaries.

Prayesh Jain: Okay.

Nehal Vora : I can...

Prayesh Jain: We have a limited role.

Nehal Vora : I can only say about what my business is. So, I can only say that, it's facilitating ease of doing business in terms of ensuring that the technology enablements are necessarily implemented for the process to be smooth.

Prayesh Jain: Got it. And the last question on insurance repository, what's happening there? What is your strategy to gain market share in that particular segment now that, even LIC has onboarded the various insurance repositories? What is the opportunity? What is the strategy there?

Nehal Vora : I'll ask the insurance repository CEO , Latesh Shetty, to answer.

Latesh Shetty: Yes. Hi. Yes , the LIC integration is work in progress. We are expecting the integration to happen soon. Out of the four repositories, three have participated and we are one of them. And as far as the overall opportunity is concerned. Yes, there is a large number of accounts which are still untapped. So, we have gone live with our online opening of account over there and we are expecting a steady growth there as well. We are actually betting to increase the market share in the coming quarters.

Prayesh Jain: What is the kind of number of policies or e -insurance accounts that we have?

Latesh Shetty: We have crossed 18 lakhs policies overall cumulatively.

Prayesh Jain: And e -insurance accounts?

Central Depository Services (India) Limited

July 28, 2025

Page 12 of 16

Latesh Shetty: E-insurance accounts is also in the range of 20 lakhs .

Prayesh Jain: Okay. All right.

Moderator: Thank you. The next question is from Devesh Agarwal from IIFL Capital.

Devesh Agarwal: Good afternoon, sir, and thank you for the opportunity. Firstly, I just wanted to understand on this unlisted space, what would be the total number of companies which are eligible to be converted to be dematerialized? And how much of that would have been done by the end of say FY '25 or 1Q FY '26?

Nehal Vora : So, that will be difficult to assess because there are various conditions. And as and when those conditions get fulfilled, they become really eligible. So, there is no fixed number as such because that's a dynamic condition. And once that condition gets fulfilled, they are required to open the Demat accounts. So, I think make it compulsory Demat . So, I think that is something which is not fixed for any period of time, etc, because it's a condition that keeps on changing and evolving.

Devesh Agarwal: But can we say that the regulation when they came, a larger number of companies would have converted by now and incrementally companies would convert as and when they are required?

Nehal Vora : It will be difficult to assess that, because if you read the conditions then this question would be answered by itself. Because there are certain conditions which needs to get fulfilled.

It has to be

a large private limited company. They want to transfer or raise capital. So , these are all conditions contingent for the Demat to happen.

Even if I may be a large private limited company, but if I don't wish to raise any capital or don't want to transfer, then I don't need to make it compulsory. So how do I answer that whether large number have done or not done? It depends on what they want to do in future.

Devesh Agarwal: Right, sir. And any numbers of how much companies have actually dematerialized within the unlisted space?

Nehal Vora : This you have to answer, Girish.

Girish Amesara: In this quarter, we have admitted 3,486 companies in unlisted space.

Devesh Agarwal: In all, sir? Outstanding number as on date?

Girish Amesara: I don't have that number ready, but it would be in the range of 20,000 plus.

Devesh Agarwal: Understood, sir. And the other question is, sir, on DEMAT account, would you say that the proportion of the Demat account where there are no folio holdings that has been increasing in the system or for you over the last, say, two years, three years?

Nehal Vora : No. It's more or less remaining at the same constant percentage. But again, see, people have holdings, then they sell off those holdings, so they become zero. Then again, it's a constantly dynamic concept. So , I don't think there is any numbers to it. It is more on what the activities and what the intent of the Demat holdings.

Central Depository Services (India) Limited

July 28, 2025

Page 13 of 16

Devesh Agarwal: Right. So ,it's not that three years back, if that number was 10% today, that has become 20%. That is not the case.

Girish Amesara: No.

Nehal Vora : No. More or less. See, again, as I have been saying in all my investor calls ...

Devesh Agarwal: Sorry.

Nehal Vora : We are finally an infrastructure provider. We provide roads, cars will ply on that road like a normal road, as and when there is a value proposition or there's an intent of going from one car to another. That's the process we follow as overall ethos.

Devesh Agarwal: Make sense sir. And sir, any number that you could share? What would be the percentage of Demat without any holding s , say, either FY '25 or 1Q FY '26?

Nehal Vora : We don't give that number.

Girish Amesara: Okay. We don't give that at the moment.

Moderator: Next question is from Mihir Shah from Banyan Tree Advisors.

Mihir Shah : Thank you for taking my question, sir. So, two questions. Firstly, from 2014, we can see that CDSL has gained incremental market share in the number of D emat accounts as against its competition.

And post -2020, it has been able to get the majority market share in terms of D emat accounts.

So, firstly, like what sets you apart from the competition like for the discount purpose, is it the tech or is it the low cost? My first question is that.

And the second question, if you look at the incremental market share in the number of companies getting listed, your competition still has the majority market share in terms of total market share and also incremental market share. So, why are issuers still choosing competition over your company? And why is it happening the inverse in D emat accounts? Thank you.

Nehal Vora: So, on the first question on D emat accounts, I think this has been the since past 5 to 6 years. It has been, it is a culmination of technology platform service standards . So, from an infra stand point , we are a centralized architecture from a cost of holding that infra is lower. There is a variety of measures which has caused this advantage too.

On the private limited, it is a process , and we are continuously working towards that why they have been chosen. Only one reason which I can say that over historically, ISIN issuance was kind of restricted to only one depository. There are, it is a work in process that both the deposit aries will now can issue the I

SIN.

So, possibly the overall optics would be tha t you go to the person issuing the ISIN. But I think we've been able to gain more and more companies also as compared to the previous quarters is

Central Depository Services (India) Limited

July 28, 2025

Page 14 of 16

that we are enhancing our journey in terms of technology and servicing. So, more and more people are wanting to come to our platform also.

Moderator: The next question is from Santosh Keshri from SKK HUF .

Santosh Keshri: Hello. Okay. Sir, I have one question regarding technology expenses. Like we have been seeing for the past 2, 3 years, technology expenses have been rising. And we also have been seeing that the number of Demat accounts have been rising exponentially for CDSL . That's a good thing. But what are we doing to, we can also see that technology expenses has given rise to reduction in the EBITDA margin.

So, are we planning to arrest our EBITDA margin and bring it back to the levels that we saw 2, 3 years back? Or we want to operate on this level only? And the guidance on technology expenses, it may not be futuristic, but we want to know that what is the end plan we have? Is it going to recur forever or it is something that we have reached a plateau and it will go back to 2, 3 years back level?

Nehal Vora: So, I think you need to understand the nature of technology. Technology is something which constantly evolves. And as and when newer technologies will come, I think CDSL aspires to be on, at least on the sophistication front, ease of doing business and bet ter way of operating. Everything goes through a process of evolution. Our journey has always been that we don't give shocks to the market. It's a constant process of gradual changes which are happening. So, it ensures that there is efficiency which is constantly being experienced by the relevant stakeholders.

And also, there is a process of innovation which happens because as the number of Dem at accounts grow, they have to have the number, the necessary technology controls, the technology efficiency. So, to answer your question, I don't think it is basically a start and stop kind of technology expense. It's a constant process of evolution as we embark on a journey. And therefore, there will be a constantly a process of evolving this thing. It is like saying your roads, you have a particular road and you build another road as the traffic grows. Again, you keep on maintaining that road with better material. So, better technology comes in. So, that's the kind of the analogy which needs to be drawn to the technology expense.

Santosh Keshri: Sir, what about the EBITDA margin that we used to enjoy 2 years back, now that seems to be eroding?

Nehal Vora: So, I think I have always gone on my previous interactions also. Our intent is to provide a long - term proposition. Whatever EBITDA we earn, our intent is not to earn a particular EBITDA margin, either high or low. We ensure that the right platform is provided to the market, to the ecosystem.

EBITDA margin is the byproduct of that because I think it's the intent is the long -term intent to ensure that the value proposition continues to be enjoyed by the ecosystem. And then that will lead to whatever the EBITDA margin is. So, I think that is what my take on.

Central Depository Services (India) Limited

July 28, 2025

Page 15 of 16

Santosh Keshri: I do understand that, sir, but I would like to give you a suggestion. Since, as I have told you that the depository numbers have increased and that has led to a lot of transaction expenses also have imploded. So, maybe we can think of revising or collecting depository charges from our single individual customer, just like a road which is used by customers, motorists, they pay toll charges. So, just like that, we should also be looking at this as a business. Rather than becoming a different kind of business, we should be

working on full -profit maintainability and look at this from the perspective of what they just require, rather than just being a market infrastructure institution, unlike other places.

For example, BSE doesn't have so much of technological expenses and they are doing quite well. Hence , didn't have so much. They had an issue, but they expense or maybe look at the recovery of the expense from the depository participants or depository holders. So, that is my suggestion. Maybe you can think about it. Thank you, sir.

Nehal Vora: Okay.

Moderator: Next question is from Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes. So, just a clarification again, sorry on harping on this employee cost front. So, if in a hypothetical situation, if we are not adding any employees in the remainder of the fiscal, this INR39 crore s quarterly run rate will continue? That is the fair way to think, right?

Nehal Vora: We don't give forward -looking guidance. So, that's the call which you will have to think and your hypothesis is also I think not fair , because employees are going to enter and exit both sides. So, it's not going to remain fixed. So, I don't think in terms of future, we don't give forward - looking guidance. So, I'm sorry, I actually would not be able to answer.

Prayesh Jain: So, if you would have provided for INR100 of variable pay that will come INR25, INR25, INR25 and 4 quarters. That is a fair way to think?

Nehal Vora Yes.

Prayesh Jain: Yes. Thank you so much.

Moderator: Thank you. Next question is from Mihir Shah from Banyan Tree Advisors . Please go ahead.

Mihir Shah: Yes. So, I have a question on the divide value per account compared to your competition. Your competition is far more in terms of the divide value per account. So, I'm assuming that they are more of institutional client , and you all have more of detailed plan. Would I be correct in assuming that?

Nehal Vora: I would not be able to comment on what my competition has. I can just say that we present whatever value is there on a fair, transparent basis. It's a combination of institutional retail holdings which are held with CDSL. And so, the answer to that question is a factual number, whatever the number is.

Central Depository Services (India) Limited

July 28, 2025

Page 16 of 16

Mihir Shah: Okay. So, understood. And I'm just trying to understand like what could be the switching cost?

Like why would one depository participant decide to choose your company over your competition and decide like to change that? Is it the low cost? Is it the tech enablement?

Nehal Vora: I think I have actually answered that in a previous question. That is a combination. It's the technology, the cost of infrastructure, the services which we give, the technology, the upgradation, etc. There is no one factor such is a combination.

Mihir Shah: Thank you.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference over to Mr. Nehal Vo ra for closing comments.

Nehal Vora: Thank you so much for all your questions and wish you a very safe and secure life with your loved ones. Thank you. Take care.

Moderator: Thank you very much. On behalf of HDFC Securities, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

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